OFFICIAL STATEMENT DATED NOVEMBER 29, 2017

New Issue **Rating: Moody's Investors Service 'Aaa'**

Subject to the District's compliance with certain covenants, under present law, in the opinion of Bond Counsel, interest on the Bonds is excludable from gross income of the owners thereof for federal income tax purposes and is not included as an item of tax preference in computing the federal alternative minimum tax imposed on individuals and corporations; however, with respect to corporations, such interest is included in computing an adjustment used in determining the federal alternative minimum tax for certain corporations. Interest on the Bonds is not exempt from present Iowa income taxes. The Bonds will NOT be designated as "qualified tax-exempt obligations." See "TAX MATTERS" herein.

IOWA CITY COMMUNITY SCHOOL DISTRICT
JOHNSON COUNTY, IOWA

$58,955,000 General Obligation School Bonds, Series 2017C

Dated: Date of Delivery (December 12, 2017) **Principal Due:** June 1 as shown inside front cover

The $58,955,000 General Obligation School Bonds, Series 2017C (the "Bonds") are being issued by the Iowa City Community School District, Johnson County, Iowa (the "District") pursuant to the provisions of Chapter 296 of the Code of Iowa. The Bonds are being issued for the purpose of providing funds to address health, safety, and accessibility issues in all school buildings, including air conditioning all school buildings, reducing the use of temporary classroom structures in the District, addressing classroom, lunchroom, and gymnasium overcrowding, and dedicating rooms to art, music, prekindergarten, and science by constructing, furnishing and equipping a new building, constructing additions to and/or remodeling, repairing, and improving the school buildings remaining in the District's Facilities Master Plan, as follows: Mann and Lincoln renovations, Liberty High athletic facilities construction and site improvements, new elementary school construction in North Liberty and site improvements, West High renovation, South East and North Central Junior High additions, Shimek renovation, City High addition and upgrades, Wood addition, Wickham upgrades, Garner and Northwest additions, Liberty High addition, Horn renovation, Kirkwood addition, Borlaug, Alexander, and Lemme additions, and Tate High addition and upgrades. The Bonds are general obligations of the District and will be paid from annual taxes levied against all taxable property within the District.

The Bonds will be issued as fully registered Bonds without coupons and, when issued, will be registered in the name of Cede & Co., as nominee of The Depository Trust Company ("DTC"). DTC will act as securities depository for the Bonds. Individual purchases may be made in book-entry-form only, in the principal amount of $5,000 and integral multiples thereof. The purchaser will not receive certificates representing their interest in the Bonds purchased. Principal of the Bonds, payable annually on each June 1, beginning June 1, 2019 and interest on the Bonds payable initially on June 1, 2018 and thereafter on each December 1 and June 1, will be paid to DTC by the District's Registrar/Paying Agent, Bankers Trust Company, Des Moines, Iowa (the "Registrar"). DTC will in turn remit such principal and interest to its participants for subsequent disbursements to the beneficial owners of the Bonds as described herein. Interest and principal shall be paid to the registered holder of a bond as shown on the records of ownership maintained by the Registrar as of the 15th day of the month preceding such interest payment date (the "Record Date").

The Bonds will mature June 1 in the years and amounts as follows:

Year (June 1)	Amount	Interest Rate	Yield	Price	CUSIP Base 462326	Year (June 1)	Amount	Interest Rate	Yield	Price	CUSIP Base 462326
2019	$10,505,000	5.00%	1.25%	105.442	JN0	2029	$2,780,000	2.50%	2.60%	99.013	JY6
2020	1,855,000	5.00%	1.32%	108.911	JP5	2030	2,850,000	2.75%	2.75%	100.000	JZ3
2021	1,945,000	5.00%	1.40%	112.149	JQ3	2031	2,925,000	2.90%	2.90%	100.000	KA6
2022	2,040,000	5.00%	1.50%	115.075	JR1	2032	3,010,000	2.95%	2.95%	100.000	KB4
2023	2,145,000	5.00%	1.61%	117.679	JS9	2033	3,100,000	3.00%	3.00%	100.000	KC2
2024	2,250,000	5.00%	1.71%	120.067	JT7	2034	3,195,000	3.05%	3.05%	100.000	KD0
2025	2,365,000	5.00%	1.82%	122.114	JU4	2035	3,290,000	3.15%	3.15%	100.000	KE8
2026	2,485,000	5.00%	1.90%*	121.491*	JV2	2036	3,395,000	3.20%	3.20%	100.000	KF5
2027	2,605,000	4.00%	2.05%*	113.440*	JW0	2037	3,505,000	3.25%	3.25%	100.000	KG3
2028	2,710,000	2.50%	2.50%	100.000	JX8						

* Priced to the call date of June 1, 2025.

REDEMPTION: Bonds due after June 1, 2025 will be subject to call on said date of any date thereafter upon terms of par plus accrued interest to date of call.

The Bonds are offered, subject to prior sale, withdrawal or modification, when, as, and if issued subject to the legal opinion of Ahlers & Cooney, P.C., Bond Counsel, of Des Moines, Iowa, to be furnished upon delivery of the Bonds. It is expected that the Bonds will be available for delivery on or about December 12, 2017.

JEFFERIES LLC
New York, New York

RAYMOND JAMES & ASSOC., INC.
Memphis, Tennessee

MORGAN STANLEY & CO., INC.
New York, New York

FTN FINANCIAL CAPITAL MARKETS
Memphis, Tennessee

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IOWA CITY COMMUNITY SCHOOL DISTRICT
JOHNSON COUNTY, IOWA

School Board

Name	Position	Term Expires
Janet Godwin	*President*	2021
Lori Roetlin	*Vice President*	2019
JP Claussen	*Board Member*	2021
Shawn Eyestone	*Board Member*	2019
Ruthina Malone	*Board Member*	2021
Phil Hemingway	*Board Member*	2019
Paul Roesler	*Board Member*	2019

School Officials

Stephen Murley	*Superintendent*
Matt Degner	*Assistant Superintendent*
Jane Fry	*Assistant Superintendent/Human Resources*
Amy Kortemeyer	*Assistant Superintendent*
Lisa Glenn	*Director of Special Education*
Adam Kurth	*Director of Technology & Innovation*
Leslie Finger	*Director of Budget & Finance/Board Treasurer*
Craig Hansel	*Chief Financial Officer/Board Secretary*
Kinglsey Botchway	*Director of Equity*
Lora Daily	*Director of Learning Supports*
Kate Callahan	*Director of Off Site Programming*
Diane Schumacher	*Director of Curriculum Instruction & Assessment*

Bond Counsel

Ahlers & Cooney, P.C.
Des Moines, Iowa

Municipal Advisor

PFM Financial Advisors LLC
Des Moines, Iowa

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OFFICIAL STATEMENT

IOWA CITY COMMUNITY SCHOOL DISTRICT
JOHNSON COUNTY, IOWA

$58,955,000 General Obligation School Bonds, Series 2017C

INTRODUCTION

This Official Statement contains information relating to the Iowa City Community School District located within Johnson County, Iowa (the "District") and its issuance of $58,955,000 General Obligation School Bonds, Series 2017C (the "Bonds"). This Official Statement has been executed on behalf of the District and its School Board and may be distributed in connection with the sale of the Bonds. Questions regarding the sale of the Bonds should be directed to the District's Municipal Advisor, PFM Financial Advisors LLC, 801 Grand Avenue, Suite 3300, Des Moines, Iowa, 50309, or by telephoning 515-243-2600 (the "Municipal Advisor"). Information can also be obtained from Mr. Leslie Finger, Director of Budget & Finance/Board Treasurer, Iowa City Community School District, 1725 North Dodge Street, Iowa City, Iowa 52245, or by telephoning 319-688-1000.

AUTHORITY AND PURPOSE

The Bonds are being issued pursuant to Chapter 296 of the Code of Iowa, as approved by over 60% of District voters at an election held on September 12, 2017, for the purpose of providing funds to address health, safety, and accessibility issues in all school buildings, including air conditioning all school buildings, reducing the use of temporary classroom structures in the District, addressing classroom, lunchroom, and gymnasium overcrowding, and dedicating rooms to art, music, prekindergarten, and science by constructing, furnishing and equipping a new building, constructing additions to and/or remodeling, repairing, and improving the school buildings remaining in the District's Facilities Master Plan, as follows: Mann and Lincoln renovations, Liberty High athletic facilities construction and site improvements, new elementary school construction in North Liberty and site improvements, West High renovation, South East and North Central Junior High additions, Shimek renovation, City High addition and upgrades, Wood addition, Wickham upgrades, Garner and Northwest additions, Liberty High addition, Horn renovation, Kirkwood addition, Borlaug, Alexander, and Lemme additions, and Tate High addition and upgrades.

The sources and uses of the Bonds are as follows:

<u>Source of Funds</u>	
Par Amount of the Bonds	$58,955,000.00
Net Premium	3,491,252.10
Cash on Hand	250,000.00
	$62,696,252.10
<u>Uses of Funds</u>	
Deposit to Project Fund	$61,418,593.26
Deposit to Capitalized Interest Fund	1,074,830.61
Underwriter's Discount	73,328.23
Cost of Issuance	129,500.00
Total Uses	$62,696,252.10

INTEREST

Interest on the Bonds will be payable initially on June 1, 2018 and thereafter on each December 1 and June 1. Interest and principal shall be paid to the registered holder of a bond as shown on the records of ownership maintained by the Registrar as of the close of business on the 15th day of the month next preceding the interest payment date (the "Record Date"). Interest will be computed on the basis of a 360-day year of twelve 30-day months and will be rounded pursuant to rules of the Municipal Securities Rulemaking Board.

OPTIONAL REDEMPTION

The Bonds due after June 1, 2025 will be subject to call prior to maturity in whole, or from time to time in part, in any order of maturity and within a maturity by lot on said date or on any date thereafter at the option of the District, upon terms of par plus accrued interest to date of call. Written notice of such call shall be given at least thirty (30) days prior to the date fixed for redemption to the registered owners of the Bonds to be redeemed at the address shown on the registration books.

PAYMENT OF AND SECURITY FOR THE BONDS

The Bonds are general obligations of the District and the unlimited taxing powers of the District are irrevocably pledged for their payment. Upon issuance of the Bonds, the District will levy taxes for the years and in amounts sufficient to provide 100% of annual principal and interest due on the Bonds. If, however, the amount credited to the debt service fund for payment of the Bonds is insufficient to pay principal and interest, whether from transfers or from original levies, the District must use funds in its treasury and is required to levy ad valorem taxes upon all taxable property in the District without limit as to rate or amount sufficient to pay the debt service deficiency.

Nothing in the resolution authorizing the Bonds prohibits or limits the ability of the District to use legally available moneys other than the proceeds of the general ad valorem property taxes levied as described in the preceding paragraph to pay all or any portion of the principal of or interest on the Bonds. If and to the extent such other legally available moneys are used to pay the principal of or interest on the Bonds, the District may, but shall not be required to, (a) reduce the amount of taxes levied for such purpose, as described in the preceding paragraph; or (b) use proceeds of taxes levied, as described in the preceding paragraph, to reimburse the fund or account from which such other legally available moneys are withdrawn for the amount withdrawn from such fund or account to pay the principal of or interest on the Bonds.

The resolution authorizing the Bonds does not restrict the District's ability to issue or incur additional general obligation debt, although issuance of additional general obligation debt is subject to the same constitutional and statutory limitations that apply to the issuance of the Bonds. For a further description of the District's outstanding general obligation debt upon issuance of the Bonds and the annual debt service on the Bonds, see "DIRECT DEBT" under "DISTRICT INDEBTEDNESS" herein. For a description of certain constitutional and statutory limits on the issuance of general obligation debt, see "DEBT LIMIT" under "DISTRICT INDEBTEDNESS" herein.

BOOK-ENTRY-ONLY ISSUANCE

The information contained in the following paragraphs of this subsection "Book-Entry-Only Issuance" has been extracted from a schedule prepared by Depository Trust Company ("DTC") entitled "SAMPLE OFFERING DOCUMENT LANGUAGE DESCRIBING DTC AND BOOK-ENTRY-ONLY ISSUANCE." The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the District believes to be reliable, but the District takes no responsibility for the accuracy thereof.

The Depository Trust Company ("DTC"), New York, NY, will act as securities depository for the securities (the "Securities"). The Securities will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Security certificate will be issued for each issue of the Securities, each in the aggregate principal amount of such issue, and will be deposited with DTC. If, however, the aggregate principal amount of any issue exceeds $500 million, one certificate will be issued with respect to each $500 million of principal amount, and an additional certificate will be issued with respect to any remaining principal amount of such issue.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments from over 100 countries that DTC's participants (the "Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly (the "Indirect Participants"). DTC has Standard & Poor's rating: AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com and www.dtc.org.

Purchases of Securities under the DTC system must be made by or through Direct Participants, which will receive a credit for the Securities on DTC's records. The ownership interest of each actual purchaser of each Security (the "Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Securities are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Securities, except in the event that use of the book-entry system for the Securities is discontinued.

To facilitate subsequent transfers, all Securities deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Securities with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not affect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Securities; DTC's records reflect only the identity of the Direct Participants to whose accounts such Securities are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Securities may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Securities, such as redemptions, tenders, defaults, and proposed amendments to the Security documents. For example, Beneficial Owners of Securities may wish to ascertain that the nominee holding the Securities for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the Registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Securities within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co., nor any other DTC nominee, will consent or vote with respect to Securities unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the District as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Securities are credited on the record date identified in a listing attached to the Omnibus Proxy.

Redemption proceeds, distributions, and dividend payments on the Securities will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the District or Agent, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, Agent, or the District, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC, is the responsibility of the District or Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

A Beneficial Owner shall give notice to elect to have its Securities purchased or tendered, through its Participant, to Tender/Remarketing Agent, and shall effect delivery of such Securities by causing the Direct Participant to transfer the Participant's interest in the Securities, on DTC's records, to Tender/Remarketing Agent. The requirement for physical delivery of Securities in connection with an optional tender or a mandatory purchase will be deemed satisfied when the ownership rights in the Securities are transferred by Direct Participants on DTC's records and followed by a book-entry credit of tendered Securities to Tender/Remarketing Agent's DTC account.

DTC may discontinue providing its services as depository with respect to the Securities at any time by giving reasonable notice to the District or Agent. Under such circumstances, in the event that a successor depository is not obtained, Security certificates are required to be printed and delivered.

The District may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, Security certificates will be printed and delivered to DTC.

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the District believes to be reliable, but the District takes no responsibility for the accuracy thereof.

FUTURE FINANCING

The District has no additional general obligation borrowing plans within the next 90 days of the date of this Official Statement.

LITIGATION

The District is not aware of any threatened or pending litigation affecting the validity of the Bonds or the District's ability to meet its financial obligations.

DEBT PAYMENT HISTORY

The June 1, 2015 interest payment due of $83,811.32 on the General Obligation School Capital Loan Notes, Series 2015, dated December 23, 2014, was not paid on June 1, 2015, due to an error by the Paying Agent, Bankers Trust Company. The District levied and collected the amount of interest due of $83,811.32 which was on hand as of June 1, 2015 and available for payment on June 1, 2015. On June 12, 2015, the interest payment was made. The District knows of no other instance in which it has defaulted in the payment of principal or interest on its debt.

LEGALITY

The Bonds are subject to approval as to certain matters by Ahlers & Cooney, P.C. of Des Moines, Iowa as Bond Counsel. Bond Counsel has not participated in the preparation of this Official Statement and will not pass upon its accuracy, completeness or sufficiency. Bond Counsel has not examined, nor attempted to examine or verify, any of the financial or statistical statements or data contained in this Official Statement, and will express no opinion with respect thereto. The FORM OF LEGAL OPINION as set out in APPENDIX A to this Official Statement will be delivered at closing.

The legal opinion to be delivered concurrently with the delivery of the Bonds expresses the professional judgment of the attorneys rendering the opinions as to legal issues expressly addressed therein. By rendering a legal opinion, the opinion giver does not become an insurer or guarantor of the result indicated by that expression of professional judgment, or of the transaction on which the opinion is rendered, or of the future performance of parties to the transaction. Nor does the rendering of an opinion guarantee the outcome of any legal dispute that may arise out of the transaction.

There is no bond trustee or similar person to monitor or enforce the provisions of the resolution for the Bonds. The owners of the Bonds should, therefore, be prepared to enforce such provisions themselves if the need to do so arises. In the event of a default in the payment of principal of or interest on the Bonds, there is no provision for acceleration of maturity of the principal of the Bonds. Consequently, the remedies of the owners of the Bonds (consisting primarily of an action in the nature of mandamus requiring the District and certain other public officials to perform the terms of the resolutions for the Bonds) may have to be enforced from year to year.

In addition, the enforceability of the rights and remedies of owners of the Bonds may be subject to limitation as set forth in Bond Counsel's opinion. The opinion will state, in part, that the obligations of the District with respect to the Bonds may be subject to bankruptcy, insolvency, reorganization, moratorium and other similar laws affecting creditors' rights heretofore or hereafter enacted to the extent constitutionally applicable, and to the exercise of judicial discretion in appropriate cases.

TAX MATTERS

Tax Exemptions and Related Considerations: Federal tax law contains a number of requirements and restrictions that apply to the Bonds. These include investment restrictions, periodic payments of arbitrage profits to the United States, requirements regarding the proper use of bond proceeds and facilities financed with bond proceeds, and certain other matters. The District has covenanted to comply with all requirements that must be satisfied in order for the interest on the Bonds to be excludable from gross income for federal income tax purposes. Failure to comply with certain of such covenants could cause interest on the Bonds to become includable in gross income for federal income tax purposes retroactively to the date of issuance of the Bonds.

Subject to the District's compliance with the above referenced covenants, under present law, in the opinion of Bond Counsel, interest on the Bonds is excludable from gross income of the owners thereof for federal income tax purposes, and is not included as an item of tax preference in computing the federal alternative minimum tax imposed on individuals and corporations. However, with respect to corporations (as defined for federal income tax purposes), such interest is included in adjusted current earnings for the purpose of determining the federal alternative minimum tax for such corporations.

Interest on the Bonds is not exempt from present Iowa income taxes.

Ownership of the Bonds may result in other state and local tax consequences to certain taxpayers. Bond Counsel expresses no opinion regarding any such collateral consequences arising with respect to the Bonds. The prospective purchaser of the Bonds should consult their tax advisors regarding the applicability of any such state and local taxes.

The prospective purchaser of the Bonds should be aware that ownership of the Bonds may result in collateral federal income tax consequences to certain taxpayers, including, without limitation, corporations subject to the branch profits tax, financial institutions, certain insurance companies, certain S corporations, individual recipients of Social Security or Railroad Retirement benefits and taxpayers who may be deemed to have incurred (or continued) indebtedness to purchase or carry tax-exempt obligations. Bond Counsel will not express any opinion as to such collateral tax consequences. The prospective purchaser of the Bonds should consult their tax advisors as to collateral federal income tax consequences.

NOT Qualified Tax-Exempt Obligations: The District will NOT designate the Bonds as "qualified tax-exempt obligations" under the exception provided in Section 265(b)(3) of the Internal Revenue Code of 1986, as amended (the "Code").

Tax Accounting Treatment of Discount and Premium on Certain Bonds: The initial public offering price of certain Bonds maturing in the year 2029 (the “Discount Bonds”) may be less than the amount payable on such Bonds at maturity. An amount equal to the difference between the initial public offering price of Discount Bonds (assuming that a substantial amount of the Discount Bonds of that maturity are sold to the public at such price) and the amount payable at maturity constitutes original issue discount to the initial purchaser of such Discount Bonds. Owners of Discount Bonds should consult with their own tax advisors with respect to the determination of accrued original issue discount on Discount Bonds for federal income tax purposes and with respect to the state and local tax consequences of owning and disposing of Discount Bonds. It is possible that, under applicable provisions governing determination of state and local income taxes, accrued interest on Discount Bonds may be deemed to be received in the year of accrual even though there will not be a corresponding cash payment.

The initial public offering price of certain Bonds maturing in the years 2019 through 2027 (the “Premium Bonds”) may be greater than the amount of such Bonds at maturity. An amount equal to the difference between the initial public offering price of Premium Bonds (assuming that a substantial amount of the Premium Bonds of that maturity are sold to the public at such price) and the amount payable at maturity constitutes a premium to the initial purchaser of such Premium Bonds. Purchaser of the Premium Bonds should consult with their own tax advisors with respect to the determination of amortizable bond premium on Premium Bonds for federal income tax purposes and with respect to the state and local tax consequences of owning and disposing of Premium Bonds.

Related Tax Matters: The Internal Revenue Service (the “Service”) has an ongoing program of auditing tax-exempt obligations to determine whether, in the view of the Service, interest on such tax-exempt obligations is includable in the gross income of the owners thereof for federal income tax purposes. It cannot be predicted whether or not the Service will commence an audit of the Bonds. If an audit is commenced, under current procedures the Service may treat the District as a taxpayer and the bondholders may have no right to participate in such procedure. The commencement of an audit could adversely affect the market value and liquidity of the Bonds until the audit is concluded, regardless of the ultimate outcome.

Payments of interest on, and proceeds of the sale, redemption or maturity of, tax-exempt obligations, including the Bonds, are in certain cases required to be reported to the Service. Additionally, backup withholding may apply to any such payments to any Bond owner who fails to provide an accurate Form W-9 Request for Taxpayer Identification Number and Certification, or a substantially identical form, or to any Bond owner who is notified by the Service of a failure to report any interest or dividends required to be shown on federal income tax returns. The reporting and backup withholding requirements do not affect the excludability of such interest from gross income for federal tax purposes.

Current and future legislative proposals, including some that carry retroactive effective dates, if enacted into law, or clarification of the Code may cause interest on the Bonds to be subject, directly or indirectly, to federal income taxation, or otherwise prevent the owners of the Bonds from realizing the full current benefit of the tax status of such interest. The introduction or enactment of any such legislative proposals or clarification of the Code may also affect, perhaps significantly, the market price for, or marketability of, the Bonds. It cannot be predicted whether or in what form any such proposal might be enacted or whether if enacted it would apply to Bonds issued prior to enactment. The prospective purchaser of the Bonds should consult their own tax advisors regarding any pending or proposed tax legislation. Bond Counsel expresses no opinion regarding any pending or proposed federal tax legislation.

The opinions expressed by Bond Counsel are based upon existing legislation and regulations as interpreted by relevant judicial and regulatory authorities as of the date of issuance and delivery of the Bonds, and Bond Counsel has expressed no opinion as of any date subsequent thereto or with respect to any proposed or pending legislation, regulatory initiatives or litigation.

Enforcement: There is no bond trustee or similar person to monitor or enforce the terms of the resolution for issuance of the Bonds. In the event of a default in the payment of principal of or interest on the Bonds, there is no provision for acceleration of maturity of the principal of the Bonds. Consequently, the remedies of the owners of the Bonds (consisting primarily of an action in the nature of mandamus requiring the District and certain other public officials to perform the terms of the resolution for the Bonds) may have to be enforced from year to year.

The owners of the Bonds cannot foreclose on property within the boundaries of the District or sell such property in order to pay the debt service on the Bonds. In addition, the enforceability of the rights and remedies of owners of the Bonds may be subject to limitation as set forth in Bond Counsel's opinion. The opinion will state, in part, that the obligations of the District with respect to the Bonds may be subject to bankruptcy, insolvency, reorganization, moratorium and other similar laws affecting creditors' rights heretofore or hereafter enacted to the extent constitutionally applicable, and to the exercise of judicial discretion in appropriate cases.

Opinion: Bond Counsel's opinion is not a guarantee of a result, or of the transaction on which the opinion is rendered, or of the future performance of parties to the transaction, but represents its legal judgment based upon its review of existing statutes, regulations, published rulings and court decisions and the representations and covenants of the District described in this section. No ruling has been sought from the Service with respect to the matters addressed in the opinion of Bond Counsel and Bond Counsel's opinion is not binding on the Service. Bond Counsel assumes no obligation to update its opinion after the issue date to reflect any further action, fact or circumstance, or change in law or interpretation, or otherwise.

ALL POTENTIAL PURCHASERS OF THE BONDS SHOULD CONSULT WITH THEIR TAX ADVISORS WITH RESPECT TO FEDERAL, STATE AND LOCAL TAX CONSEQUENCES OF OWNERSHIP OF THE BONDS (INCLUDING BUT NOT LIMITED TO THOSE LISTED ABOVE).

BONDHOLDERS' RISKS

An investment in the Bonds is subject to certain risks. No person should purchase the Bonds unless such person understands the risks described below and is willing to bear those risks. There may be other risks not listed below which may adversely affect the value of the Bonds.

Secondary Market Not Established: There is no established secondary market for the Bonds, and there is no assurance that a secondary market will develop for the purchase and sale of the Bonds. Prices of municipal bonds traded in the secondary market, if any, are subject to adjustment upward and downward in response to changes in the credit markets and changes in the operating performance of the entities operating the facilities subject to bonded indebtedness. From time to time it may be necessary to suspend indefinitely secondary market trading in selected issues of municipal bonds as a result of the financial condition or market position, prevailing market conditions, lack of adequate current financial information about the entity, operating the subject facilities, or a material adverse change in the operations of that entity, whether or not the subject Bonds are in default as to principal and interest payments, and other factors which, may give rise to uncertainty concerning prudent secondary market practices.

Municipal bonds are generally viewed as long-term investments, subject to material unforeseen changes in the investor's circumstances, and may require commitment of the investor's funds for an indefinite period of time, perhaps until maturity.

Ratings Loss: Moody's Investors Service (Moody's) has assigned a rating of 'Aaa' to the Bonds. Generally, a rating agency bases its rating on the information and materials furnished to it and on investigations, studies and assumptions of its own. There is no assurance the rating will continue for any given period of time, or that such rating will not be revised, suspended or withdrawn, if, in the judgment of Moody's, circumstances so warrant. A revision, suspension or withdrawal of a rating may have an adverse effect on the market price of the Bonds.

Rating agencies are currently not regulated by any regulatory body. Future regulation of rating agencies could materially alter the methodology, rating levels, and types of ratings available, for example, and these changes, if ever, could materially affect the market value of the Bonds.

Matters Relating to Enforceability of Agreements: Holders of the Bonds shall have and possess all the rights of action and remedies afforded by the common law, the Constitution and statutes of the State of Iowa and of the United States of America for the enforcement of payment of the Bonds, including but not limited to, the right to a proceeding in the law or in equity by suit, action or mandamus to enforce and compel performance of the duties required by Iowa law and the resolution for the Bonds.

The practical realization of any rights upon any default will depend upon the exercise of various remedies specified in the resolution for the Bonds. The remedies available to the owners of the Bonds upon an event of default under the resolution for the Bonds, in certain respects, may require judicial action, which is often subject to discretion and delay. Under existing law, including specifically the federal bankruptcy code, certain of the remedies specified in the resolution for the Bonds may not be readily available or may be limited. A court may decide not to order the specific performance of the covenants contained in these documents. The legal opinion to be delivered concurrently with the delivery of the Bonds will be qualified as to the enforceability of the various legal instruments by limitations imposed by general principals of equity and public policy and by bankruptcy, reorganization, insolvency or other similar laws affecting the rights of creditors generally.

No representation is made, and no assurance is given that the enforcement of any remedies with respect to such assets will result in sufficient funds to pay all amounts due under the resolution for the Bonds, including principal of and interest on the Bonds.

Forward-Looking Statements: This Official Statement contains statements relating to future results that are "forward-looking statements" as defined in the Private Securities Litigation Reform Act of 1995. When used in this Official Statement, the words "estimate," "forecast," "intend," "expect" and similar expressions identify forward-looking statements. Any forward-looking statement is subject to uncertainty. Accordingly, such statements are subject to risks that could cause actual results to differ, possibly materially, from those contemplated in such forward-looking statements. Inevitably, some assumptions used to develop forward-looking statements will not be realized or unanticipated events and circumstances may occur. Therefore, investors should be aware there are likely to be differences between forward-looking statements and the actual results. These differences could be material and could impact the availability of funds of the District to pay debt service when due on the Bonds.

Tax Matters and Loss of Tax Exemption: As discussed under the heading "TAX MATTERS" herein, the interest on the Bonds could become includable in gross income for purposes of federal income taxation retroactive to the date of delivery of the Bonds, as a result of acts or omissions of the District in violation of its covenants in the resolution for the Bonds. Should such an event of taxability occur, the Bonds would not be subject to a special prepayment and would remain outstanding until maturity or until prepaid under the prepayment provisions contained in the Bonds, and there is no provision for an adjustment of the interest rate on the Bonds.

It is possible that further legislation will be proposed or introduced that could result in changes in the way that tax exemption is calculated, or whether interest on certain securities are exempt from taxation at all. Prospective purchasers should consult with their own tax advisors regarding any pending or proposed federal income tax legislation.

It is also possible actions of the District after the closing of the Bonds will alter the tax status of the Bonds, and, in the extreme, remove the tax exempt status from the Bonds. In that instance, the Bonds are not subject to mandatory prepayment and the interest rate on the Bonds does not increase or otherwise reset. A determination of taxability on the Bonds, after closing of the Bonds, could materially adversely affect the value and marketability of the Bonds.

Pending Federal Tax Legislation: From time to time, there are Presidential proposals, proposals of various federal committees, and legislative proposals pending in Congress that could, if enacted, alter or amend one or more of the federal (or state) tax matters described herein in certain respects or would adversely affect the market value of the Bonds or otherwise prevent holders of the Bonds from realizing the full benefit of the tax exemption of interest on the Bonds. Further, such proposals may impact the marketability or market value of the Bonds simply by being proposed. It cannot be predicted whether or in what forms any of such proposals, either pending or that may be introduced, may be enacted and there can be no assurance that such proposals will not apply to the Bonds. In addition regulatory actions are from time to time announced or proposed and litigation threatened or commenced, which if implemented or concluded in a particular manner, could adversely affect the market value, marketability or tax status of the Bonds. It cannot be predicted whether any such regulatory action will be implemented, how any particular litigation or judicial action will be resolved, or whether the Bonds would be impacted thereby.

Tax Levy Procedures

The Bonds are general obligations of the Issuer, payable from and secured by a continuing ad valorem tax levied against all of the property valuation within the Issuer. As part of the budgetary process each fiscal year, the Issuer will have an obligation to request a debt service levy to be applied against all of the taxable property within the Issuer. A failure on the part of the Issuer to make a timely levy request or a levy request by the Issuer that is inaccurate or is insufficient to make full payments of the debt service of the Bonds for a particular fiscal year may cause Bond holders to experience delay in the receipt of distributions of principal of and/or interest on the Bonds. In the event of a default in the payment of principal of or interest on the Bonds, there is no provision for acceleration of maturity of the principal of the Bonds. Consequently, the remedies of the owners of the Bonds (consisting primarily of an action in the nature of mandamus requiring the Issuer and certain other public officials to perform the terms of the resolution for the Bonds) may have to be enforced from year to year.

Revenues and Expenses: Several factors not within the control of the District could affect the District's ability to generate sufficient net revenues to pay the debt service on the Bonds. These factors include, but are not limited to, inflation and adverse economic conditions, increases in operation and maintenance costs, unexpected repairs, replacements or improvements and the ability of the District to supply the services demanded. Any one of the above factors, among others, individually or combined may cause the District to be unable to generate sufficient net revenues to pay debt service on the Bonds.

DTC-Beneficial Owners: Beneficial Owners of the Bonds may experience some delay in the receipt of distributions of principal of and interest on the Bonds since such distributions will be forwarded by the Registrar to DTC and DTC will credit such distributions to the accounts of the Participants which will, thereafter, credit them to the accounts of the Beneficial Owner either directly or indirectly through indirect Participants. Neither the District nor the Registrar will have any responsibility or obligation to assure any such notice or payment is forwarded by DTC to any Participants or by any Participant to any Beneficial Owner.

In addition, since transactions in the Bonds can be effected only through DTC Participants, indirect participants and certain banks, the ability of a Beneficial Owner to pledge the Bonds to persons or entities that do not participate in the DTC system, or otherwise to take actions in respect of such Bonds, may be limited due to lack of a physical certificate. Beneficial Owners will be permitted to exercise the rights of registered Owners only indirectly through DTC and the Participants. See "Book-Entry Only Issuance."

Summary: The foregoing is intended only as a summary of certain risk factors attendant to an investment in the Bonds. In order for potential investors to identify risk factors and make an informed investment decision, potential investors should become thoroughly familiar with this entire Official Statement and the Appendices hereto to make a judgment as to whether the Bonds are an appropriate investment.

RATING

The Bonds are rated 'Aaa' by Moody's. In addition, the District's outstanding School Infrastructure Sales, Services and Use Tax Revenue debt is rated 'A+' by S&P Global Ratings. Such ratings reflect only the views of the rating agencies and any explanation of the significance of such rating may only be obtained from the rating agency. There is no assurance that such ratings will continue for any period of time or that they will not be revised or withdrawn. Any revision or withdrawal of the ratings may have an effect on the market price of the Bonds.

MUNICIPAL ADVISOR

The District has retained PFM Financial Advisors LLC, Des Moines, Iowa as Municipal Advisor in connection with the preparation of the District's issuance of the Bonds. The Municipal Advisor is not obligated to undertake, and has not undertaken, an independent verification of the accuracy, completeness, or fairness of the information contained in the Official Statement. PFM Financial Advisors LLC is an independent advisory firm and is not engaged in the business of underwriting, trading or distributing municipal securities or other public securities.

CONTINUING DISCLOSURE

In order to assist bidders in complying with paragraph (b)(5) of the Rule 15c2-12 promulgated by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as amended (the "Rule"), the District will undertake, pursuant to the resolution for the Bonds and the Continuing Disclosure Certificate, to provide certain annual financial information and notices of the occurrence of certain material events (the "Undertakings"). A description of the Undertakings is set forth in APPENDIX C of this Official Statement. The District will deliver the Continuing Disclosure Certificate at closing, and any failure on the part of the District to deliver the same shall relieve the Purchaser of its obligations to purchase the Bonds.

During the past five years, to the best of its knowledge, the District has complied in all material respects with its previous continuing disclosure undertakings entered into under the Rule. However, for the continuing disclosure undertakings for fiscal year ending June 30, 2012, the District did not file a coversheet to direct interested readers to otherwise timely published annual financial information filings not originally linked to all applicable debt issuances. Further, the District did not timely file a notice of failure to file related thereto.

Breach of the Undertakings will not constitute a default or an "Event of Default" under the Bonds or the resolution for the Bonds. A broker or dealer is to consider a known breach of the Undertakings, however, before recommending the purchase or sale of the Bonds in the secondary market. Thus, a failure on the part of the District to observe the Undertakings may adversely affect the transferability and liquidity of the Bonds and their market price.

SALE AT COMPETITIVE BIDDING

After competitive bids were received on November 14, 2017, the Bonds were awarded to the syndicate of Jefferies LLC; Raymond James & Assoc., Inc.; Morgan Stanley & Co., Inc., and FTN Financial Capital Markets for an aggregate price of $62,372,923.87.

CERTIFICATION

The District has authorized the distribution of this Official Statement for use in connection with the initial sale of the Bonds. I have reviewed the information contained within the Official Statement prepared on behalf of the Iowa City Community School District by PFM Financial Advisors LLC, Des Moines, Iowa, and to the best of our knowledge, information and belief said Official Statement does not contain any material misstatements of fact nor omission of any material fact which is necessary to make the statements and information herein, in light of the circumstances under which they are made, not misleading regarding the issuance of $58,955,000 General Obligation School Bonds, Series 2017C.

BY ORDER OF THE SCHOOL BOARD

Mr. Leslie Finger
Director of Budget & Finance/Board Treasurer
Iowa City Community School District

PROPERTY VALUES

IOWA PROPERTY VALUATIONS

In compliance with Section 441.21 of the Code of Iowa, the State Director of Revenue annually directs the county auditors to apply prescribed statutory percentages to the assessments of certain categories of real property. The Johnson County Auditors adjusted the final Actual Values for 2016. The reduced values, determined after the application of rollback percentages, are the taxable values subject to tax levy. For assessment year 2016, the taxable value rollback rate was 56.9391% of actual value for residential property; 82.500% of actual value for multiresidential property; 47.4996% of actual value for agricultural property; and 90% of actual value for commercial, industrial, and railroad property. No adjustment was ordered for utility property because its assessed value did not increase enough to qualify for reduction. Utility property is limited to an 8% annual growth.

The Legislature's intent has been to limit the growth of statewide taxable valuations for the specific classes of property to 3% annually. Political subdivisions whose taxable values are thus reduced or are unusually low in growth are allowed to appeal the valuations to the State Appeal Board, in order to continue to fund present services.

PROPERTY VALUATIONS (1/1/2016 Valuations for Taxes Payable July 1, 2017 through June 30, 2018)

	100% Actual Value	Taxable Value (With Rollback)
Residential	$7,189,017,551	$4,051,187,676
Ag. Land	83,153,271	39,377,101
Ag. Buildings	3,217,208	1,528,123
Commercial	1,155,374,039	999,353,662
Industrial	85,527,768	75,468,339
Multiresidential	500,373,843	409,405,129
Railroads	16,486,794	14,838,114
Utilities w/o Gas & Electric	41,161,870	41,161,870
Gross valuation	$9,074,312,344	$5,632,320,014
Less military exemption	(4,528,140)	(4,528,140)
Net valuation	$9,069,784,204	$5,627,791,874
TIF increment (used to compute debt service levies and constitutional debt limit)	$538,110,013	$538,050,473
Taxed Separately:		
Utilities – Gas & Electric	$150,689,538	$63,545,815

TREND OF VALUATIONS

Assessment Year	Payable Fiscal Year	100% Actual Valuation	Taxable Valuation	Taxable TIF Increment Valuation
2012	2013-14	$8,144,347,064	$4,794,967,427	$405,673,537
2013	2014-15	8,543,277,631	4,993,657,947	477,348,344
2014	2015-16	8,816,310,107	5,113,546,050	486,930,987
2015	2016-17	9,479,737,585	5,462,098,208	516,392,330
2016	2017-18	9,758,583,755	5,691,337,689	538,050,473

The 100% Actual Valuations, before rollback, and after reduction of military exemption, include Ag. Land, Ag. Buildings, TIF Increment and all Utilities. The Taxable Valuations, with the rollback and after reduction of military exemption, include Ag. Land, Ag. Buildings and all Utilities, but exclude the Taxable TIF Increment. Iowa school districts certify operating levies against Taxable Valuation excluding Taxable TIF Increment. Debt Service and PPEL levies are certified against Taxable Valuation including the Taxable TIF Increment.

2016 GROSS TAXABLE VALUATION BY CLASS OF PROPERTY [1)]

	Gross Taxable Valuation	% of Total
Residential	$4,051,187,676	71.12%
Commercial and Industrial	1,074,822,001	18.87%
Multiresidential	409,405,129	7.19%
Ag. Land and Ag. Buildings	40,905,224	0.72%
Railroads	14,838,114	0.26%
All Utilities	104,707,685	1.84%
Total Taxable Valuation	$5,695,865,829	100.00%

1) Gross Taxable Valuation includes Ag. Land, Ag. Buildings and all Utilities, but excludes Taxable TIF Increment.

LARGER TAXPAYERS

Set forth in the following table are the persons or entities which represent larger taxpayers within the boundaries of the District, as provided by the Johnson County Auditor's Office. No independent investigation has been made of and no representation is made herein as to the financial condition of any of the taxpayers listed below or that such taxpayers will continue to maintain their status as major taxpayers in the District. The District's mill levy is uniformly applicable to all of the properties included in the table, and thus taxes expected to be received by the District from such taxpayers will be in proportion to the assessed valuations of the properties. The total tax bill for each of the properties is dependent upon the mill levies of the other taxing entities which overlap the properties.

Taxpayer [1)]	Type of Property/Business	1/1/2016 Taxable Valuation [2)]	% of District's Total Taxable Valuation [3)]
Coral Ridge Mall LLC	Commercial	$76,127,846	1.22%
Mid American Energy	Utility	57,336,928	0.92%
ACT Inc.	Commercial/Ag	47,642,231	0.76%
City of Coralville	Commercial/Ag/Residential	33,449,572	0.54%
Hawk Landlord (IA) LLC	Commercial	25,804,710	0.41%
Ann S Gerdin Revocable Trust	Commercial/Ag	23,012,613	0.37%
Midwestone Bank	Commercial	22,268,394	0.36%
Hy-Vee Inc.	Commercial	20,018,579	0.32%
Dealer Properties IC LLC	Commercial	18,937,557	0.30%
Procter & Gamble Hair Care LLC	Industrial	16,459,144	0.26%
			5.47%

1) This list represents some of the larger taxpayers in the District, not necessarily the 10 largest taxpayers.
2) The January 1, 2016 Taxable valuations listed represents only those valuations associated with the title holder and may not necessarily represent the entire taxable valuation.
3) Calculated based on the District's total January 1, 2016 Taxable Valuation of $6,229,388,162, which includes taxable TIF increment valuation.

Source: Johnson County Auditor's Office.

PROPERTY TAX LEGISLATION

During the 2013 legislative session, the Iowa General Assembly enacted Senate File 295 (the "Act"), which the Governor signed into law on June 12, 2013. Among other things, the Act (i) reduced the maximum annual taxable value growth percent, due to revaluation of existing residential and agricultural property to 3%, (ii) assigned a "rollback" (the percentage of a property's value that is subject to tax) to commercial, industrial and railroad property of 90%, (iii) created a new property tax classification for multi-residential properties (mobile home parks, manufactured home communities, land-lease communities, assisted living facilities and property primarily used or intended for human habitation containing three or more separate dwelling units) ("Multiresidential Property"), and assigned a declining rollback percentage of 3.75% to such properties for each year until the 2021 assessment year (the rollback percentage for Multiresidential Properties is equal to the residential rollback percentage in the 2022 assessment year and thereafter) and (iv) exempted a specified portion of the assessed value of telecommunication properties.

The Act included a standing appropriation to replace some of the tax revenues lost by local governments, including tax increment districts, resulting from the new rollback for commercial and industrial property. Beginning in Fiscal Year 2017-18 the standing appropriation cannot exceed the actual Fiscal Year 2016-17 appropriation amount. The appropriation does not replace losses to local governments resulting from the Act's provisions that reduce the annual revaluation growth limit for residential and agricultural properties to 3%, the gradual transition for Multiresidential Property to the residential rollback percentage, or the reduction in the percentage of telecommunications property that is subject to taxation.

Given the wide scope of the statutory changes, and the State of Iowa's discretion in establishing the annual replacement amount that is appropriated each year commencing in Fiscal Year 2017-18, the impact of the Act on the District's future property tax collections is uncertain and the District is unable to accurately assess the financial impact of the Act's provisions on the District's future operations.

Notwithstanding any decrease in property tax revenues that may result from the Act, Iowa Code section 76.2 provides that when an Iowa political subdivision issues general obligation bonds, "the governing authority of these political subdivisions before issuing bonds shall, by resolution, provide for the assessment of an annual levy upon all the taxable property in the political subdivision sufficient to pay the interest and principal of the bonds within a period named not exceeding twenty years. A certified copy of this resolution shall be filed with the county auditor or the auditors of the counties in which the political subdivision is located; and the filing shall make it a duty of the auditors to enter annually this levy for collection from the taxable property within the boundaries of the political subdivision until funds are realized to pay the bonds in full."

From time to time, other legislative proposals may be considered by the Iowa General Assembly that would, if enacted, alter or amend one or more of the property

DISTRICT INDEBTEDNESS

DEBT LIMIT

Article XI, Section 3 of the State of Iowa Constitution limits the amount of debt outstanding at any time of any county, municipality or other political subdivision to no more than 5% of the actual value of all taxable property within the corporate limits, as taken from the last state and county tax list. The debt limit for the District, based on its 2016 actual valuation currently applicable to the fiscal year 2017-18, is as follows:

2016 Actual Valuation of Property	$9,763,111,895
Less: Military Exemption	(4,528,140)
Net Valuation for Debt Limit Purposes	$9,758,583,755
Legal Debt Limit of 5%	0.05
Legal Debt Limit	$487,929,188
Less: General Obligation Debt Subject to Limit	(69,175,000) 1)
Net Debt Limit	$418,754,188

1) It has not been determined whether Sales Tax Revenue Bonds count against the District's constitutional debt limit. If Sales Tax Revenue Bonds were to count against the District's constitutional debt limit, the aggregate outstanding debt would increase by $95,160,000 and the Net Debt Limit would be $323,594,188.

DIRECT DEBT

General Obligation Debt Supported by the Debt Service Levy (Includes the Bonds)

Date of Issue	Original Amount	Purpose	Final Maturity	Principal Outstanding As of 12/12/17
3/12A	$4,480,000	Refunding	6/18	$780,000
3/12B	11,410,000	Refunding	6/18	2,425,000
12/12C	58,955,000	School Buildings & Facilities	6/37	58,955,000
Total General Obligation Debt Subject to Limit				$62,160,000

General Obligation Debt Supported by the PPEL Levy

Date of Issue	Original Amount	Purpose	Final Maturity	Principal Outstanding As of 12/12/17
12/14	$9,430,000	School Buildings & Equipment	6/25	$7,015,000

Total General Obligation Debt Subject to the Debt Limit **$69,175,000**

Annual Fiscal Year G.O. Debt Service Payments Paid by the Debt Service Levy (Includes the Bonds)

	Current Outstanding		The Bonds		Total	
Fiscal Year	Principal	Principal & Interest	Principal	Principal & Interest	Principal	Principal & Interest
2017-18	$3,205,000	$3,249,175 [1)]	$0	$250,000 [2) 3)]	$3,205,000	$3,499,175 [1) 3)]
2018-19			10,505,000	12,794,580	10,505,000	12,794,580
2019-20			1,855,000	3,619,330	1,855,000	3,619,330
2020-21			1,945,000	3,616,580	1,945,000	3,616,580
2021-22			2,040,000	3,614,330	2,040,000	3,614,330
2022-23			2,145,000	3,617,330	2,145,000	3,617,330
2023-24			2,250,000	3,615,080	2,250,000	3,615,080
2024-25			2,365,000	3,617,580	2,365,000	3,617,580
2025-26			2,485,000	3,619,330	2,485,000	3,619,330
2026-27			2,605,000	3,615,080	2,605,000	3,615,080
2027-28			2,710,000	3,615,880	2,710,000	3,615,880
2028-29			2,780,000	3,618,130	2,780,000	3,618,130
2029-30			2,850,000	3,618,630	2,850,000	3,618,630
2030-31			2,925,000	3,615,255	2,925,000	3,615,255
2031-32			3,010,000	3,615,430	3,010,000	3,615,430
2032-33			3,100,000	3,616,635	3,100,000	3,616,635
2033-34			3,195,000	3,618,635	3,195,000	3,618,635
2034-35			3,290,000	3,616,188	3,290,000	3,616,188
2035-36			3,395,000	3,617,553	3,395,000	3,617,553
2036-37			3,505,000	3,618,913	3,505,000	3,618,913
Total	$3,205,000		$58,955,000		$62,160,000	

1) Excludes December 1, 2017 interest payments.
2) Excludes $824,831 of capitalized interest.
3) $250,000 to be paid using cash on hand.

Annual Fiscal Year G.O. Debt Service Payments Paid by the PPEL Levy

	Total	
Fiscal Year	Principal	Principal and Interest
2017-18	$825,000	$967,963
2018-19	835,000	961,163
2019-20	845,000	954,463
2020-21	865,000	957,562
2021-22	880,000	955,262
2022-23	900,000	957,662
2023-24	920,000	959,662
2024-25	945,000	996,262
Total	$7,015,000	

OTHER DEBT

School Infrastructure Sales, Services & Use Tax Revenue Debt

Date of Issue	Original Amount	Purpose	Final Maturity	Principal Outstanding As of 12/12/17
9/15	$60,030,000	School Buildings	6/29	$52,775,000
12/16	10,000,000	School Buildings	6/29	10,000,000
1/17A	11,185,000	School Buildings	6/29	11,185,000
8/17B	21,200,000	School Buildings	6/29	21,200,000
Total				$95,160,000

OVERLAPPING DEBT

Taxing District	1/1/2016 Total Taxable Valuation [1)]	Portion of Taxable Valuation Within the District	Percent In District	G.O. Debt [2)]	District's Proportionate Share
Johnson County	$8,417,314,468	$6,229,388,162	74.01%	$7,770,000	$5,750,577
City of Iowa City	3,702,743,110	3,542,816,957	95.68%	51,645,000	49,413,936
City of Coralville	1,688,986,673	1,289,631,569	76.36%	168,365,000	128,563,514
City of North Liberty	967,530,334	679,055,464	70.18%	33,430,000	23,461,174
City of University Heights	75,791,737	75,791,737	100.00%	950,000	950,000
City of Hills	48,236,814	48,236,814	100.00%	0	0
Kirkwood Comm. College	25,113,133,985	6,229,388,162	24.81%	154,470,210	38,324,059
District's total share of overlapping debt					$246,463,260

1) Taxable Valuation is less military exemption and includes Ag. Land & Buildings, Taxable TIF Increment and all Utilities.
2) Includes general obligation Bonds, PPEL Bonds, certificates of participation and new jobs training certificates.

DEBT RATIOS

	G.O. Debt	Debt/Actual Market Value ($9,758,583,755) [1)]	Debt Per Capita (105,355) [2)]
District's Total General Obligation Debt	$69,175,000	0.71%	$656.59
District's Proportionate Share of Overlapping Debt	246,463,260	2.53%	2,339.36
District's Net Overall Debt	$315,638,260	3.24%	$2,995.95

1) Based on the District's 1/1/2016 Actual Valuation including Ag. Land & Buildings, Taxable TIF Increment and all Utilities.
2) Population based on the District's population listed in the 2018 Iowa Educational Directory.

TAX RATES

City of Iowa City Resident Tax Rates

	FY 2013-14 $/$1,000	FY 2014-15 $/$1,000	FY 2015-16 $/$1,000	FY 2016-17 $/$1,000	FY 2017-18 $/$1,000
Johnson County	6.73712	6.74168	6.90337	6.77140	6.85143
City of Iowa City	16.80522	16.70520	16.65096	16.58305	16.33305
Iowa City CSD	13.68792	13.69999	13.86773	13.98935	13.95855
Kirkwood Comm. College	1.06473	1.05754	1.06125	1.08048	1.13174
City Assessor	0.25873	0.23866	0.24325	0.24339	0.25141
County Ag. Extension	0.08160	0.08119	0.08129	0.07781	0.07585
State of Iowa	0.00330	0.00330	0.00330	0.00330	0.00310
Total Tax Rate Iowa City Resident	38.63862	38.52756	38.81115	38.74878	38.60513

Other City Resident Tax Rates

	FY 2013-14 $/$1,000	FY 2014-15 $/$1,000	FY 2015-16 $/$1,000	FY 2016-17 $/$1,000	FY 2017-18 $/$1,000
Johnson County	6.73712	6.74168	6.90337	6.77140	6.85143
City of Coralville	13.52770	13.52771	13.52771	13.52779	13.52770
City of North Liberty	11.03264	11.03264	11.03264	11.03264	11.03264
City of University Heights	10.90073	10.88143	11.05210	11.08828	10.79874
City of Hills	8.10000	8.10000	8.10000	8.10000	8.10000
Iowa City CSD	13.68792	13.69999	13.86773	13.98935	13.95855
County Assessor	0.26472	0.30944	0.35488	0.29377	0.31448
Ag. Extension	0.08160	0.08119	0.08129	0.07781	0.07585
Kirkwood Community College	1.06473	1.05754	1.06125	1.08048	1.13174
State of Iowa	0.00330	0.00330	0.00330	0.00330	0.00310
Total City Resident Tax Rates:					
City of Coralville Resident	35.36709	35.42085	35.79953	35.74390	35.86285
City of North Liberty Resident	32.87203	32.92578	33.30446	33.24875	33.36779
City of University Heights Resident	32.74012	32.77457	33.32392	33.30439	33.13389
City of Hills Resident	29.93939	29.99314	30.37182	30.31611	30.43515

LEVIES AND TAX COLLECTIONS

Fiscal Year	Levy	Collected During Collection Year	Percent Collected During Collection Year
2013-14	$66,618,533	$65,588,892	98.45%
2014-15	69,536,651	69,445,214	99.87%
2015-16	72,055,630	71,828,276	99.68%
2016-17	77,594,186	77,537,625	99.93%
2017-18	80,680,381	----------- In process of collection -----------	

Taxes in Iowa are delinquent each October 1 and April 1 and a late payment penalty of 1% per month of delinquency is enforced as of those dates. If delinquent taxes are not paid, the property may be offered at the regular tax sale on the third Monday of June following the delinquency date. Purchasers at the tax sale must pay an amount equal to the taxes, special assessments, interest and penalties due on the property and funds so received are applied to taxes. A property owner may redeem from the regular tax sale but, failing redemption within three years, the tax sale purchaser is entitled to a deed which in general conveys the title free and clear of all liens except future tax installments.

Source: Johnson County

FUNDS ON HAND (Cash and Investments as of June 30, 2017)

General Fund	$36,965,401
Management Fund	2,131,460
Physical Plant and Equip. Fund	1,507,984
Capital Projects Fund	12,409,006
Debt Service Fund	297,575
Insurance Fund	16,704,994
Food Service Fund	2,497,116
Activity Fund	1,019,613
Total:	$73,533,149

INVESTMENT OF PUBLIC FUNDS

The District invests its funds pursuant to Chapter 12B of the Code of Iowa. Presented below are the District's investing activities as of June 30, 2017.

Type of Investment	Amount Invested
Cash	$19,497,765
Local Bank Savings	0
Local Bank Time CDs	17,172,162
The Education Liquidity Fund (TELF)	36,863,222
Total	$73,533,149

THE DISTRICT

SCHOOL DISTRICT

The Iowa City Community School District (the "District") is headquartered in Iowa City and is located in Johnson County. The District is located in southeastern Iowa and is approximately 115 miles east of Des Moines, 20 miles south of Cedar Rapids and 55 miles west of Davenport. The district covers 133 square miles and serves the communities of Iowa City, Coralville, Hills, North Liberty, University Heights, and the surrounding rural areas. Iowa City is the county seat of Johnson County, and is the home of the State University of Iowa, which is the oldest educational institution in Iowa.

The District provides educational services for 12,411 students enrolled in kindergarten through 12th grade general education programs, and 1,571 students in special schools and programs for a total student population served in Fiscal Year 2016-17 of 13,982. The District has several pre-school sites, 20 elementary schools, three junior high schools, three senior high schools, one alternative school for ninth through twelfth graders, and an off-site building for various district programs. The District maintains average regular education class sizes of 24-32 students, depending on grade level and school configuration. The District employs 1,965 people and operates on an annual budget of approximately $155,000,000. It is the fifth largest school district in the State of Iowa and the third largest employer in the Iowa City metropolitan area.

ORGANIZATION AND ADMINISTRATION

The District's School Board (the "Board") consists of seven community members who are elected at-large to four-year terms. They volunteer their time to attend bi-monthly meetings and serve on sub-committees of the board.

The Board is a policy-making, planning and appraisal body and as such, delegates the day-to-day operation of the District to the superintendent and other staff members. The Board elects its own president and vice president, appoints its secretary and treasurer and hires the district superintendent.

ENROLLMENT

Listed below are certified enrollment figures, open enrollment figures, and projected enrollment figures for the District.

Total Certified Enrollment

Count Date	Fiscal Year	Enrollment
October 2012	2013-14	12,774.4
October 2013	2014-15	13,159.9
October 2014	2015-16	13,328.0
October 2015	2016-17	13,671.2
October 2016	2017-18	13,981.6

Open Enrollment

Students in Iowa are allowed to choose to enroll into and out of the District. The District has participated in an open enrollment plan supported by the State Department of Children, Families and Learning since its inception. The additional students are measured in terms of Weighted Average Daily Membership (WADM). According to the open enrollment program, the District's revenues per pupil are adjusted for any net gains and/or losses in enrollment. Listed below are the recent open enrollment numbers.

Count Date	Fiscal Year	Enrolled In	Enrolled Out	Net
October 2012	2013-14	113.2	393.1	(279.9)
October 2013	2014-15	131.0	400.4	(269.4)
October 2014	2015-16	112.4	404.8	(292.4)
October 2015	2016-17	93.7	425.9	(332.2)
October 2016	2017-18	82.0	439.1	(357.1)

Projected Enrollment

To calculate projected enrollment, the District contracts with DeJong-Richter to project Certified Enrollment. DeJong-Richter has assisted the District in projecting Certified Enrollments through the October 1, 2025 count date utilizing various factors including live births, historical enrollment, census data, building permits and open enrollment. The projections of the certified enrollment for the next six count dates are provided below.

Count Date	Fiscal Year	DeJong-Ritcher Projected Enrollment
October 2017	2018-19	14,198
October 2018	2019-20	14,450
October 2019	2020-21	14,678
October 2020	2021-22	14,870
October 2021	2022-23	15,076

Source: The District.

SCHOOL BUILDINGS

The District currently owns and operates twenty-eight school buildings comprising of four high schools, three middle schools and twenty-one elementary schools.

School Buildings	Grade Levels	Dates of Construction or Remodeling	October 2017 Enrollment [1)]
City High School	9-12	1939, 1974, 1982, 1990, 1995, 2005	1,623
Liberty High School	9-12	2017	743
West High School	9-12	1969, 1983, 1986, 1993, 1996, 2005	1,595
Elizabeth Tate Alternative High School	9-12	2005	165
North Central Junior High School	7-8	2006	557
Northwest Junior High School	7-8	1971, 1995	735
South East Junior High School	7-8	1959, 1982, 1995	767
Archibald Alexander Elementary School	K-6	2015	421
Bouhmil Shimek Elementary School	K-6	1970, 1991	215
Buford Garner Elementary School	K-6	2010	659
Coralville Central Elementary School	K-6	1948, 1959, 2016	431
Ernest Horn Elementary School	K-6	1969, 1978, 2015	413
Grant Wood Elementary School	K-6	1969, 1993, 2006	306
Helen Lemme Elementary School	K-6	1970, 1975, 1998	376
Herbert Hoover Elementary School	K-6	1954, 1968, 1986	262
Hills Elementary School	K-6	1965, 1969	205
Horace Mann Elementary School	K-6	1917	224
Irving Weber Elementary School	K-6	1993, 2001, 2017	469
James Van Allen Elementary School	K-6	2005, 2015	506
Kate Wickham Elementary School	K-6	1997	485
Lincoln Elementary School	K-6	1926, 1988	229
Longfellow Elementary School	K-6	1917	307
Mark Twain Elementary School	K-6	1954, 1961, 2015	337
Norman Borlaug Elementary School	K-6	2012	458
Penn Elementary School	K-6	1961, 1985, 1995, 2016	639
Robert Lucas Elementary School	K-6	1962, 1978, 1990	459
Samuel Kirkwood Elementary School	K-6	1963, 1968, 1987	328
Theodore Roosevelt Elementary School [2)]	K-6	1931, 1961	40

1) Amounts listed represent actual enrollment by building as of October 2017.
2) This facility is being used for various programs to serve students of the District.

STAFF

Presented below is a list of the District's full-time equivalent ("FTE") positions for Fiscal Year 2017-18. FTE's are based on an eight hour work day. The District has 1,018.33 teachers and 765.35 other FTE positions. The FTE positions are filled by 1,965 full-time and part-time employees.

Employment Classification	Number of FTEs FY 2017-18
Teachers	1,018.33
Coordinators	5.06
Counselors	33.85
Nurses	6.21
Administrators	58.50
Specialists [1)]	46.00
Associates	319.60
Clerical	102.00
Food Service	70.00
Operations, Transportation, Crafts	124.13
Total	1,783.68

1) Includes athletic trainers and tech/supervisory employees.

DISTRICT TAX RATES

The District levies property taxes to support different funds. The General Fund accounts for all sources used to finance District operations and maintenance, except for those required to be accounted for in another fund. The Management Fund is authorized by Iowa Code Section 298.4 and accounts for transactions related to unemployment, early retirement, judgments and settlements and the cost of liability insurance as it relates to property and casualty. The Physical Plant and Equipment Levy (the "PPEL") Fund is authorized by Iowa Code Section 298.2 and accounts for transactions related to the improvement of facilities and grounds, construction of schoolhouses, certain equipment expenditures and other expenditures authorized in Iowa Code Section 298.3. There are both non-voted ("Regular") and voted ("Voted") levies available for PPEL. The Public Education and Recreation Levy (the "PERL") Fund is authorized by Iowa Code Section 300.2 and accounts for transactions related to schoolhouse playgrounds and recreational activities within the District. This fund also accounts for community education activity. The District has not utilized the PERL levy in the past five years. The Debt Service Fund accounts for the accumulation of resources for, and the payment of, general long-term debt principal, interest, and related costs. Below is a table of the District's current and historic property tax rates.

Fiscal Year	General Fund	Management Fund	PPEL Fund (Voted)	PPEL Fund (Regular)	Debt Service	Total Rate
2013-14	10.57374	0.80918	1.34000	0.33000	0.63500	13.68792
2014-15	10.61064	0.82104	1.34000	0.33000	0.59831	13.69999
2015-16	11.02493	0.58668	1.34000	0.33000	0.58612	13.86773
2016-17	11.02182	0.74736	1.34000	0.33000	0.55017	13.98935
2017-18	10.96919	0.79068	1.34000	0.33000	0.52868	13.95855

DISTRICT REVENUE MIX

The school foundation formula in Iowa has two primary sources of revenue: State of Iowa general fund appropriations or state aid, and locally raised property and income surtax taxes. The District has a mix of property tax revenue, income surtax revenues and state foundation aid revenues and other state aid revenues in the General Fund as follows:

Fiscal Year	Property and Income Surtax Tax Revenues	All State Aid Revenues
2012-13	$56,684,066	61,319,723
2013-14	57,164,387	66,084,084
2014-15	59,509,870	71,034,809
2015-16	63,426,883	76,749,193
2016-17 [1)]	67,171,466	80,336,962

1) Fiscal Year 2016-17 is preliminary; subject to final audit adjustments.

SUPPLEMENTAL STATE AID

Supplemental State Aid (formally known as "Allowable Growth") is the rate by which State cost per pupil and District cost per pupil will increase from one budget year to the next. The growth rate is set two budget years in advance and is subject to reduction resulting from statewide budget cuts.

Fiscal Year	Supplemental State Aid Rate
2012-13	2.00%
2013-14	2.00%
2014-15	4.00%
2015-16	1.25%
2016-17	2.25%

Source: Iowa Association of School Boards

DISTRICT'S GENERAL OPERATING COST PER PUPIL

Presented below is the District's general operating cost per pupil for the period indicated. The District's general operating cost per pupil is calculated as total general fund expenditures divided by certified enrollment. A calculated average per pupil for school districts in the State is also listed below, calculated as the total general fund expenditures for all districts by the total statewide certified enrollment.

Fiscal Year	District's General Operating Cost Per Pupil [1)]	State Average General Fund Expenditures Per Pupil [2)]
2011-12	$10,975	$8,948
2012-13	11,731	9,158
2013-14	11,877	9,430
2014-15	11,276	9,662
2015-16	11,934	N/A [3)]

1) Source: Iowa City Community School District.
2) Source: Iowa Department of Education's 2016 Annual Condition of Education Report.
3) Fiscal Year 2015-16 expenditures will be disclosed in the 2017 Annual Condition of Education Report expected to be available in early 2018.

PENSIONS

Iowa Public Employees Retirement System ("IPERS"): Employees of the District are provided with pensions through IPERS, which is a cost-sharing multiple-employer, contributory defined benefit public employee retirement system administered by the State of Iowa. IPERS provides retirement and death benefits which are established by State statute to plan members and beneficiaries.

IPERS is authorized to adjust the total contribution rate up or down each year, by no more than 1 percentage point, based upon the actuarially required contribution rate. The District's contributions to IPERS for the Fiscal Years ended June 30, 2015, 2016 and 2017[1)] as shown below equal the required contributions for each year.

	FY 2014-15	FY 2015-16	FY 2016-17[1)]
IPERS District Contribution	$8,092,164	$8,527,680	$9,056,979

On March 24, 2017, IPERS Investment Board voted to approve changes to economic assumptions used in calculating IPERS' liabilities. This action followed an economic assumption study presentation by the consulting actuarial firm of Cavanaugh Macdonald of Bellevue, NE.

The new assumptions are:

- Inflation drops from 3 percent to 2.6 percent
- Interest on member accounts drops from 3.75 percent to 3.5 percent
- Investment return drops from 7.5 percent to 7 percent
- Wage growth drops from 4 percent to 3.25 percent
- Payroll growth drops from 4 percent to 3.25 percent

The study applied these assumptions to the 2016 data to illustrate their impact on key funding measurements. The funded ratio is a "snapshot in time" and indicates the financial health of a pension system. Using the new assumptions, with the 2016 data, IPERS' funded ratio dropped from 84 percent to 80 percent. These assumptions will first be applied in the June 30, 2017 valuation, which will be used to determine the contribution rates effective July 1, 2018.

The net result of these changes will be a lower funded ratio and an increase in liabilities of $1.4 billion. Even though these changes will have a negative impact on IPERS' funded ratio, the Investment Board believes that these modifications will provide a more accurate valuation of future liabilities. Each year an investment return is less than the assumed return adds to the liability and increases the needed return in future years which can lead to even higher contribution rates.

The IPERS Comprehensive Annual Financial Report ("CAFR") is available on the IPERS website, https://www.ipers.org/financial-and-investment, or by contacting IPERS at 7401 Register Drive P.O. Box 9117, Des Moines, IA 50321.

Bond Counsel, the District and the Municipal Advisor undertake no responsibility for and make no representations as to the accuracy or completeness of the information available from the IPERS discussed above or included on the IPERS website, including, but not limited to, updates of such information on the State Auditor's website or links to other Internet sites accessed through the IPERS website.

Pursuant to Governmental Accounting Standards Board ("GASB") Statement No. 68, the District reported a liability of $82,149,169 as of June 30, 2017[1)] for its proportionate share of the net pension liability. The net pension liability is the amount by which the total actuarial liability exceeds the pension plan's net assets or fiduciary net position (essentially the market value) available for paying benefits. The net pension liability was measured as of June 30, 2016, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the contributions of all IPERS participating employers. At June 30, 2016, the District's collective proportion was 1.343% which was an increase of 0.260% from its proportion measured as of June 30, 2015.

1) Fiscal Year 2016-17 amounts are unaudited as of the date of this Official Statement.

OTHER POST-EMPLOYMENT BENEFITS

Plan Description: The District operates a single employer retiree benefit plan which provides medical, dental and prescription drug benefits for retirees and their spouses. There are currently 1,688 active and 31retired members in the plan. The benefits are provided until the participant is Medicare eligible, are self-insured by the District and administered through First Administrators, Inc.

All participants of the postemployment medical, dental and prescription drug plan are required to contribute an amount equal to the premium equivalent. Since the premium equivalent is developed from the claims experience of active employee and retiree lives, an implicit subsidy is provided to retirees and their spouses. The implicit subsidy results from a lower premium equivalent that a retiree would otherwise pay had the claims experience been based just on retiree health claims.

Funding Policy: The current funding policy of the District is to pay health claims as they occur. This arrangement does not qualify as OPEB plan assets under GASB Statement No. 43. The District establishes and amends contribution requirements annually.

The required contribution is based on projected pay-as-you-go financing. For Fiscal Year 2017[1)], the District contributed approximately $336,000. Contributions are required for both retiree and dependent coverage. The active and retiree premium equivalents effective July 1, 2017, are provided in the tables below:

Medical Benefit

Rate Tier	Premium Equivalents
Retiree only	$675
Retiree + Family	$1,410

Dental Benefit

Rate Tier	Premium Equivalents
Retiree only	$31
Retiree + Family	$93

Annual OPEB Cost and Net OPEB Obligation: The District's annual OPEB cost is calculated based on the annual required contribution (ARC) of the District, an amount actuarially determined in accordance with GASB Statement No. 45. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover normal cost each year and amortize any unfunded actuarial liabilities over a period not to exceed 30 years.

The following table shows the components of the District's annual OPEB cost for the Fiscal Year 2016-17[1)], the amount actually contributed to the plan and changes in the District's net OPEB obligation:

Annual required contribution	$876,000
Interest on net OPEB obligation	103,000
Adjustment to annual required contribution	(91,683)
Annual OPEB cost	$887,317
Contributions made	336,000
Increase in net OPEB obligation	$551,317
Net OPEB obligation beginning of year	2,569,683
Net OPEB obligation end of year	$3,121,000

1) Fiscal Year 2016-17 amounts are unaudited as of the date of this Official Statement.

The District's annual OPEB cost, the percentage of annual OPEB cost contributed to the plan and the net OPEB obligation for Fiscal Year ended June 30, 2017[1)] and the two preceding years are summarized as follows:

Year Ended	Annual OPEB Cost	Percent of Annual OPEB Cost Contributed	Net OPEB Obligation
June 30, 2015	$901,307	41.0%	$1,876,000
June 30, 2016	1,060,683	35.0%	2,569,683
June 30, 2017	887,317	37.9%	3,121,000

Funded Status and Funding Progress: As of July 1, 2016, the most recent actuarial valuation date, the plan was 0% funded. The actuarial accrued liability for benefits was $6,737,000 with no actuarial value of assets, resulting in an unfunded actuarial accrued liability (UAAL) of $6,737,000. The covered payroll (annual payroll of active employees covered by the plan) was $104,280,247, and the ratio of the UAAL to covered payroll was 6.46%. As of June 30, 2017 there were no trust fund assets.

Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far in to the future. Examples include assumptions about future employment, mortality and the health care cost trend. Amounts determined regarding the funded status of the plan and annual required contributions of the employer are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future.

1) Fiscal Year 2016-17 amounts are unaudited as of the date of this Official Statement.

LABOR CONTRACTS

The District currently has negotiated contracts with the employee groups shown in the table below.

Employee Group	Contract Expiration Date
Physical Plant	June 30, 2018
Teachers	June 30, 2019
Paraprofessionals	June 30, 2019
Food Service	June 30, 2018
School Year Secretaries	June 30, 2018

GENERAL INFORMATION

LARGER EMPLOYERS

A representative list of larger employers in the District is as follows:

Employer	Type of Business	Approximate Number of Employees [1)]
University of Iowa	Education	18,650
University of Iowa Hospitals	Healthcare	8,704
Iowa City Comm. School District	Education	1,965
Veteran's Health Administration	Health Services	1,562
Mercy Hospital	Health Services	1,559
ACT, Inc.	Education Programs	1,350
Pearson Educational Measurement	Business Consulting	1,200
City of Iowa City	Government	1,123
Hy-Vee (multiple locations)	Grocery	1,166
Systems Unlimited	Assisted Living	890
International Automotive Components	Plastic Foam Products	750
Rockwell Collins	Electronic Circuit Boards	700
Wal-Mart (multiple locations)	Retail - General Merchandise	678
Procter & Gamble	Health & Beauty Products	600
Schenker Logistics Inc.	Transportation/Trucking	600
Integrated DNA Technologies	Manufacturing	620
Oral B Laboratories	Toothbrush Manufacturing	530
Geico	Auto Insurance	500
Johnson County Administration	Government	435
Centro	Plastic Rotational Molding	399
Alpha of Iowa	Plastic Bottles	360
Hills Bank & Trust	Banking Services	359

1) Includes full and part-time as well as seasonal employees.

Source: Iowa City Area Development Group, 2017 and company inquiries as of October 2017.

U.S. CENSUS DATA

Populations for school districts are not calculated by the U.S. Census Bureau. The population of the county within which the District is located best illustrates school district population trends. Johnson County, Iowa populates the Iowa City Community School District. The population trends for Johnson County as well as for the Cities of Clive, Grimes, Urbandale, Waukee and West Des Moines are as follows:

Year	Johnson County	City of Iowa City	City of Coralville	City of North Liberty	City of University Heights	City of Hills
1990	96,119	59,738	10,347	2,926	1,042	662
2000	111,006	62,220	15,123	5,367	987	679
2010	130,882	67,862	18,907	13,374	1,051	703

Source: U.S. Census Bureau

UNEMPLOYMENT RATES

		City of Iowa City	Johnson County	State of Iowa
Annual Averages:	2013	3.3%	3.4%	4.7%
	2014	3.0%	3.1%	4.3%
	2015	2.6%	2.7%	3.8%
	2016	2.4%	2.6%	3.7%
	2017 1)	2.3%	2.6%	3.3%

1) Through August 2017.

Source: Iowa Workforce Development Center and the Bureau of Labor Statistics websites.

RETAIL SALES AND BUYING INCOME

Presented below are Effective Buying Income ("EBI") and Retails Sales statistics for Johnson County and the State of Iowa for the periods indicated:

	Median Household EBI		Retail Sales	
Year	Johnson County	State of Iowa	Johnson County	State of Iowa
2012	$39,999	$38,089	$2,079,642,466	$44,629,676,496
2013	42,141	39,920	2,260,513,988	46,733,146,874
2014	43,725	43,917	3,166,359,788	54,160,249,228
2015	46,354	45,457	3,070,358,841	54,757,355,015
2016	47,797	46,280	3,254,930,737	61,560,253,821

Source: Claritas, Inc.

FINANCIAL STATEMENTS

The District's COMPREHENSIVE ANNUAL FINANCIAL REPORT for the Fiscal Year ended June 30, 2016 is reproduced in APPENDIX B. The District's certified public accountant has not consented to distribution of the audited financial statements and has not undertaken added review of their presentation. Further information regarding financial performance and copies of the District's prior Comprehensive Annual Financial Report may be obtained from the District's Municipal Advisor, PFM Financial Advisors LLC.

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APPENDIX A

FORM OF LEGAL OPINION

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AHLERS COONEY
ATTORNEYS

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December 12, 2017

We hereby certify that we have examined a certified transcript of the proceedings of the Board of Directors of the Iowa City Community School District in the County of Johnson, State of Iowa, and acts of administrative officers of the School District (the "Issuer"), relating to the issuance of General Obligation School Bonds, Series 2017C, dated December 12, 2017, in the denominations of $5,000 or multiples thereof, in the aggregate amount of $58,955,000 (the "Bonds").

We have examined the law and certified proceedings and other papers as we deem necessary to render this opinion as bond counsel.

As to questions of fact material to our opinion, we have relied upon representations of the Issuer contained in the Resolution authorizing issuance of the Bonds (the "Resolution") and in the certified proceedings and other certifications of public officials furnished to us, without undertaking to verify the same by independent investigation.

Based on our examination and in reliance upon the certified proceedings and other certifications described above, we are of the opinion, under existing law, as follows:

1. The Issuer is duly created and validly existing as a body corporate and politic and political subdivision of the State of Iowa with the corporate power to adopt and perform the Resolution and issue the Bonds.

2. The Bonds are valid and binding general obligations of the Issuer.

3. All taxable property in the territory of the Issuer is subject to ad valorem taxation without limitation as to rate or amount to pay the Bonds. Taxes have been levied by the Resolution for the payment of the Bonds and the Issuer is required by law to include in its annual tax levy the principal and interest coming due on the Bonds to the extent the necessary funds are not provided from other sources.

4. Interest on the Bonds is excludable from gross income for federal income tax purposes and is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations; however, such interest is taken into account in determining adjusted current earnings for the purpose of computing the alternative minimum tax imposed on certain corporations. The opinion set forth in the preceding sentence is subject to the condition that the Issuer comply with all requirements of the Internal Revenue Code of 1986, as amended, that must be satisfied subsequent to the issuance of the Bonds in order that the interest thereon be, and continue to be, excludable from gross income for federal income tax purposes. The Issuer has covenanted to comply with all such requirements. Failure to comply with certain

of such requirements may cause interest on the Bonds to be included in gross income for federal income tax purposes retroactively to the date of issuance of the Bonds.

We express no opinion regarding the accuracy, adequacy, or completeness of the official statement or other offering material relating to the Bonds. Further, we express no opinion regarding tax consequences arising with respect to the Bonds other than as expressly set forth herein.

The rights of the owners of the Bonds and the enforceability of the Bonds are limited by bankruptcy, insolvency, reorganization, moratorium, and other similar laws affecting creditors' rights generally, and by equitable principles, whether considered at law or in equity.

This opinion is given as of the date hereof, and we assume no obligation to revise or supplement this opinion to reflect any facts or circumstances that may hereafter come to our attention, or any changes in law that may hereafter occur.

AHLERS & COONEY, P.C.

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APPENDIX B

JUNE 30, 2016 COMPREHENSIVE ANNUAL FINANCIAL REPORT

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Iowa City Community School District
Iowa City, Iowa

Comprehensive Annual Financial Report
Year Ended June 30, 2016

Iowa City Community School District
Iowa City, Iowa

Comprehensive Annual Financial Report
Year Ended June 30, 2016

Official Issuing Report:
Craig Hansel
Chief Financial Officer

Office Issuing Report:
Central Administration Office

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Compliance Section

Iowa City Community School District

Educational Services Center

Stephen F. Murley Superintendent of Schools

1725 North Dodge Street • Iowa City, IA 52245 • (319) 688-1000 • Fax (319) 688-1009 • www.iowacityschools.org

November 22, 2016

The Board of Education and Residents
Iowa City Community School District

I am pleased to submit the Comprehensive Annual Financial Report of the Iowa City Community School District (the District) for the fiscal year ended June 30, 2016. The report has been prepared to conform to guidelines recommended by the Association of School Business Officials International and the Government Finance Officers Association of the United States and Canada. The responsibility for the accuracy and completeness of the presentation, including all disclosures, rests with the officials of the District's Central Administration staff. We believe that the data is accurately presented, in all material respects; that the data is presented to fairly set forth the financial position and results of operations of the District as measured by the financial activity of the various funds; and that all necessary disclosures have been included in order to enable the reader to gain the maximum understanding of the District's financial affairs.

RSM US LLP, Certified Public Accountants, have issued an unmodified ("clean") opinion on the District's basic financial statements for the year ended June 30, 2016. The independent auditor's report is located at the front of the financial section of this report.

The Comprehensive Annual Financial Report is presented in four sections: introductory, financial, statistical and single audit compliance. The introductory section includes this transmittal letter, the District's organizational chart and a list of principal District officials. The financial section includes the independent auditor's report, the Management's Discussion and Analysis, the basic financial statements, and the combining and individual fund financial statements and schedules. The statistical section includes selected financial and demographic information, generally presented on a multi-year basis.

Management's discussion and analysis (MD&A) immediately follows the independent auditor's report and provides a narrative introduction, overview and analysis of the basic financial statements. The MD&A complements this letter of transmittal and should be read in conjunction with it.

The District was required to undergo a single audit in conformity with the provisions of the Single Audit Act Amendments of 1996 and U. S. Office of Management and Budget Circular A-133, *Audits of States and Local Governments and Nonprofit Organizations*. Information related to this single audit, including a schedule of expenditures of federal awards, summary schedule of prior audit findings, the independent auditor's report on internal control over financial reporting and on compliance and other matters, independent auditor's report on compliance with requirements applicable to each major program and internal control over compliance, a schedule of findings and questioned costs and corrective action plan are included in the single audit compliance section of this report.

This report includes all funds of the Iowa City Community School District. The District provides a full range of programs and services including instructional, administrative, transportation, food service, maintenance of sites and facilities, custodial, clerical, extra co-curricular and athletic activities and community education.

Profile of the Government

In Iowa, school districts operate in accordance with Dillon's Rule with local control and have fiscal independence from other governmental entities. The District operates in compliance with the accounting principles generally accepted in the United States of America (GAAP) and currently prepares its financial statements per the Governmental Accounting Standards Board (GASB) Statement No. 34.

The Iowa City Community School District is a political subdivision of the state of Iowa and operates public schools for children in grades pre-school through twelve. The District is governed by a seven member Board of Education whose members serve four year terms and are elected on a nonpartisan basis. The Board of Directors is a policy-making and planning body whose decisions are carried out by school administrators.

The Iowa City Community School District serves nearly 110,000 people who live in Iowa City, Coralville, University Heights, Hills and North Liberty and the surrounding predominately agricultural territory in central Johnson County. Covering nearly 140 square miles, the District has developed around the City of Iowa City and The University of Iowa. The District has experienced consistent growth over the last 19 years, growing from 10,444 in 1997 to 13,981 in October 2016. The District is currently the fifth largest public school in the state of Iowa.

The District operates two comprehensive high schools, an alternative high school, three junior high schools, 20 elementary schools and center for offsite programs. The District also maintains a maintenance/warehouse facility, two athletic complexes and an administrative office/professional development center. The Iowa City Community School District provides a comprehensive educational program appropriate to students in early childhood and grades pre-school through twelve. These services include basic, regular and enriched academic education, special education, vocational education and numerous individualized programs such as instruction for students at-risk, gifted and talented or limited English proficiency (LEP).

Relevant financial policies

The Iowa City Community School District operates under the laws as defined in the Code of Iowa and policies as determined by the local Board of Directors. A comprehensive accounting system is promulgated by the Iowa Department of Education including account numbers for revenues and expenditures by function and object. The District additionally tracks revenues by source of funds and expenditures by location, curricular program and funding source. Annual budgets are provided to the Department of Management and annual financial reports are provided to the Iowa Department of Education in their prescribed formats. Periodic financial reports are submitted to the Iowa Department of Education or other granting agencies for many federal and state grants.

The Iowa City Community School District's Board of Education takes its fiduciary responsibility very seriously. It has adopted policies defining a budgeting process, quarterly financial reporting, purchasing, facilities planning, insurance and cash management. Idle cash is invested in Board approved allowable investments which include certificates of deposit, money markets and pooled investment trusts. A quarterly investment report is provided indicating performance of investments to a comparative benchmark.

Economic Condition and Outlook

The District is located in the eastern part of the state, within the larger Iowa City metropolitan area and ranks as one of the top growth areas of the state. The economic condition and outlook of the District has remained strong during the past ten years despite some economic downturns experienced in many areas, including several years of high economic growth and steady enrollment growth in the local area. This growth has had a positive effect on employment and the District's tax base. The District has experienced steady increases in its tax base over the past 25 years and continued with an increase during 2016 at the rate of more than six percent.

Major employers within the District include The University of Iowa and The University of Iowa Hospitals and Clinics, American College Testing and Pearson (formerly National Computer Systems) as well as two other hospitals. These employers provide a strong employment base in the education and health care industries. The unemployment rate of the Iowa City area is consistently one of the lowest in the state of Iowa and well below national averages even during periods of recessionary trends. In addition, the Iowa City area is served by two nearby regional airports and two major interstate highways. The economic development organizations of Johnson County have teamed with similar organizations in Linn County to the north to develop a "technology corridor" which combines the strong health care and education industries of Johnson County with numerous manufacturing and financial service organizations in Linn County for a wide range of economic and employment opportunities. Iowa City is also consistently promoted in major business publications as one of the best places in the United States for business, schools and quality of life. These recognitions include a #3 ranking for best place to live in America by Outside Magazine in August 2016, #2 ranked "Least Stressed City in U.S." by Smartasset.com in June 2016, #8 for "Top 30 Small Cities" by Area Development Magazine in June 2015, #5 "Best-Performing Cities (small cities)" by Milken Institute in January 2015 and #6 on the "The 10 Smartest Cities in America" by MarketWatch in January 2015. The area has also been recognized for its quality as a best college town, city for college grads and easiest city to find a job by various sources. Iowa City was also designated by UNESCO as the world's third City of Literature in 2008, the only designation in North or South America and is home to the International Writing Program.

The tax base for the area is estimated to continue to grow in the three percent range. The District has experienced an enrollment growth of nearly 2,000 students over the last seven years. Future projections indicate a continued trend for enrollment increases at a similar annual rate over the next five years. The District has experienced an increase in its October 2016 official enrollment of 310 students.

Retail sales, building permits and population increases in the area continue to exceed that of most other areas in the state of Iowa during the past several years. Future increases are projected to continue, however current economic conditions on the national and state levels and several natural disasters in the area have slowed the level of local growth and recovery. A large percentage of the past area increases have occurred within the School District boundaries.

The District's budget is largely dependent on the Iowa school funding formula and various economic factors. For the years 2001-2004, the state of Iowa experienced an economic downturn that hampered its ability to fund schools at the same level as in prior years. In 2005, the economy of the state of Iowa returned to positive growth conditions. However, the economic recession type conditions that have affected both state and national economies during the prior years resulted in the Governor of the state of Iowa issuing an executive order for an across the board reduction of state funding by 10 percent on October 8, 2009. The District experienced a reduction of $5,600,000 during the fiscal year 2010 from this action and used its General Fund balance to absorb the reduction. The District also implemented a cash reserve levy for fiscal year 2011 to partially replenish the fund balance. The District maintained significantly all of its programs and services during these conditions. The impact of these economic conditions has reduced funding from the Iowa Legislature compared to years prior to these conditions and the impact on future periods is unknown as funding is determined on an annual basis by the Iowa Legislature.

The District serves the nearly 14,000 students in buildings built from 1917 to 2015. The District has maintained a building envelope and roof maintenance program for many years to monitor the physical considerations of its facilities. District officials have also developed a 10 year facility master plan for planning the maintenance and capital project needs of the district, including life cycle programs for major maintenance and equipment needs, remodeling and renovation of existing facilities and the construction of new facilities throughout the District.

The District has completed numerous construction projects during the last ten years. During 2005-2006, the District completed renovations to five elementary school buildings. North Central Junior High was completed in August 2006 and opened for classes that month. A large fine arts addition at Iowa City West High School was completed in January 2008 and a new gymnasium and classroom addition at South East Junior High was completed and place in service in October 2008. The District opened Buford Garner Elementary for classes in August 2010. The District completed a major addition on Horn Elementary that was opened in August 2011 and Norman Borlaug Elementary School was opened for classes in August 2012. The District has also completed construction of a fine arts addition at City High School that opened in August 2013. The District opened Alexander Elementary School in August 2015 and completed major additions on three elementary schools and an eight classroom addition at City High School during 2015-2016. Construction of a third comprehensive high school in

North Liberty, Iowa began in May 2015 with an anticipated completion in August 2017 and a total projected cost of $57 million for the facility and athletic complexes.

During 2006, the U.S. Green Building Council awarded the District a silver certificate for Leadership in Energy and Environmental Design (LEED) in connection with the construction of James Van Allen Elementary School. In 2013, the district received an Excellence in Energy Efficient Design award for the efforts in reducing energy use for Norman Borlaug Elementary School. The District has also received energy efficiency awards for the recent renovation of Penn Elementary School and construction of Alexander Elementary School.

The District owns 10 acres of land in the northern portion of the District for the future construction of an elementary school. During the year ending June 30, 2014, the District purchased land for Alexander Elementary School that opened in August 2015 and Hoover (east) Elementary School that is expected to open in August 2017 and Liberty High School with an expected completion in August 2017l. The District also purchased the land and building utilized by the District's transportation provider. In July 2016, the District purchased a parcel of land containing approximately 18 acres near North Liberty that will be used for a future elementary school.

In February 2007, the residents of Johnson County approved a resolution and Revenue Purpose Statement for a 1 percent local option sales tax for a period of 10 years that began on July 1, 2007. The sales tax resulted in revenues of approximately $13-14 million annually for the first five years and then $10 million annually for the subsequent years. In February 2013, district voters approved the extension of the sales tax Revenue Purpose Statement through June 30, 2029. The District is using these sales tax revenues to fund various projects in the facility master plan as allowed in the Code of Iowa and the approved Revenue Purpose Statement.

The two comprehensive high schools offer athletic programs in 19 different sports. State championship honors have been earned in boys' soccer, tennis, swimming and basketball while state placing went to boys' and girls cross country, football, track, volleyball and girls' tennis and basketball during the last four years.

The high schools also provide a full selection of opportunities in their music departments. Each year, the District has a high number of all-state musicians in addition to consistently earning Division I ratings at state contests. Each of the high schools has earned at least one Grammy Award for their music department in recent years.

The high schools also support strong programs in math, debate and journalism which regularly receive state, regional and national recognition.

Students of the District continue to achieve high rankings on college entrance exams and are recognized as National Merit Scholars. The composite averages on these exams are consistently in the top 5 percent of the state and significantly exceed the national averages. These students achieved a graduation rate of nearly 93 percent in 2014 with nearly 92 percent planning to continue their education at colleges and universities.

Other Financial Information

Management of the District is responsible for establishing and maintaining an internal control designed to ensure that its assets are protected from loss, theft or misuse and to ensure that adequate accounting data are compiled to allow for the preparation of the basic financial statements in accordance with accounting principles generally accepted in the United States of America. The internal control is designed to provide reasonable, but not absolute, assurances that these objectives are met. The concept of reasonable assurance recognizes that the cost of a control should not exceed the benefits likely to be derived and the valuation of costs and benefits requires estimates and judgments by management.

Single Audit. As a recipient of federal, state and county financial assistance, the District also is responsible for ensuring that an adequate internal control is in place to ensure compliance with applicable laws and regulations related to those programs. This internal control is subject to periodic evaluation by management and external auditors.

As a part of the District's single audit, described earlier, tests are made to determine the adequacy of the internal control over financial reporting and its compliance with applicable laws and regulations, including those related to major federal awards programs. The results of the District's single audit for the fiscal year ended June 30, 2016 provided no violations of applicable laws and regulations.

Budgetary Controls. In addition, the District maintains budgetary controls. The objective of these budgetary controls is to ensure compliance with legal provisions embodied in the annual appropriated budget approved by the Board of Education. Activities of the General Fund, special revenue funds, Debt Service Fund, enterprise funds and Capital Projects Fund are included in the annual appropriated budget by program. Project length financial plans are adopted for the capital projects funds and budgeted accordingly on an annual basis. The level of statutory budgetary control (that is, the level at which expenditures cannot legally exceed the appropriated amount) is established at the function level for all funds combined rather than at the individual fund level.

Basis of Presentation. The charts and accounts used by the District have been prepared in conformity with accounting principles generally accepted in the United States of America as prescribed by the Governmental Accounting Standards Board and Audits of State and Local Governmental Units issued by the American Institute of Certified Public Accountants. In addition, the District's accounting records conform to the Uniform Accounting System for Iowa Schools, Chapter 11 of the Code of Iowa and Area Educational Agencies issued by the Department of Education, state of Iowa. The chart of accounts manual is updated annually and the District is in full compliance with these requirements.

Cash Management. Cash, while temporarily idle during the year, was invested in money market deposit accounts and other short term investments as allowed by law. Interest rates were primarily less than 1/2 percent during the year, compared to higher rates available in previous years. This aspect of the District's finances has gained importance in recent years as the District has sought to maximize the yield on our investments in accordance with the Board approved investment policy without forfeiting the use of fund balances.

Risk Management. The District utilizes a single medical care facility for its workers compensation program to lower the claim expense and experience modification factor as it relates to workers' compensation. A safety committee has been operational for several years and meets periodically to review the District's facilities and programs. The District manages a self-funded health insurance plan for its employee medical and prescription program. The health plan is funded at the maximum expected claim levels and coverage for individual and aggregate stop loss coverage is purchased by the plan. The District is also managing the health plan in accordance with the provisions of the Patient Protection and Affordable Care Act.

Awards and Acknowledgments

Independent Audit. The accounting firm of RSM US LLP was selected to perform the annual audit in accordance with Chapter 11 of the Code of Iowa. In addition to meeting the requirements set forth in state statutes, the audit was designed to meet the requirements of the federal Single Audit Act Amendments of 1996 and related OMB Circular A-133. The auditor's report on the basic financial statements, combining and individual fund statements and other schedules is included in the financial section of this report.

Awards. The Government Finance Officers Association of the United States and Canada (GFOA) awards a Certificate of Achievement in Financial Reporting and the Association of School Business Officials International, (ASBO) awards a Certificate of Excellence in Financial Reporting. The Iowa City Community School District received both of these Certificates for its comprehensive annual financial report for the fiscal year ended June 30, 2015. Each Certificate is a prestigious national award, recognizing conformance with the highest standards for preparation of government financial reports.

In order to be eligible to receive the Certificates, a governmental unit must publish an easily readable and efficiently organized Comprehensive Annual Financial Report (CAFR) whose contents conform to program standards. This report must satisfy both accounting principles generally accepted in the United States of America and applicable legal requirements.

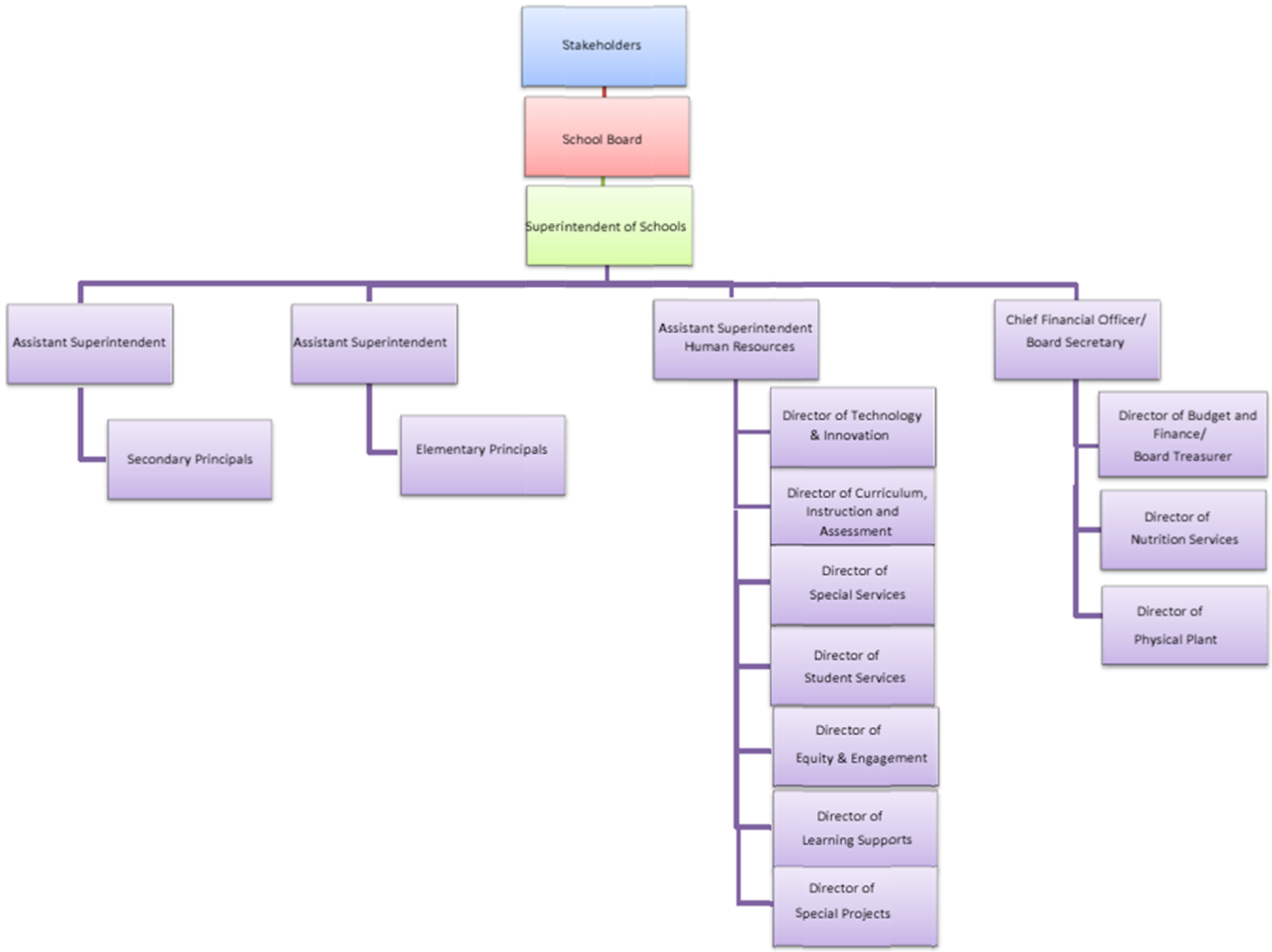
These Certificates are valid for a period of one year only. The Iowa City Community School District has received these awards for the ten previous fiscal years Comprehensive Annual Financial Report. I believe that our current CAFR conforms to the requirements for both awards and, therefore, we are submitting to the GFOA and ASBO to determine its eligibility for each Certificate. The Iowa City Community School District had not applied for the Certificates in any years prior to 2006.

Acknowledgment: The preparation of this report on a timely basis could not have been accomplished without the efficient and dedicated efforts of the accounting staff and our auditors, RSM US LLP. I would like to express my appreciation to all staff members who assisted and contributed to this report as well as members of city and county governments. Also, appreciation is expressed for the interest and support of the Board of Education in conducting the financial operations of the District in a most responsible and progressive manner.

Respectfully submitted,

Leslie J. Finger
Director of Budget and Finance, Treasurer

Iowa City Community School District Organizational Structure



Iowa City Community School District

Board of Education and School District Officials
Year Ended June 30, 2016

Name	Title	Term Expires
Board of Education		
For the Period July 1, 2015 through September 13, 2015		
Chris Lynch	President	September 2017
Brian Kirschling	Vice President	September 2017
Tuyet Dorau	Board Member	September 2017
Patti Fields	Board Member	September 2015
Jeff McGinness	Board Member	September 2015
Marla Swesey	Board Member	September 2015
Orville Townsend *	Board Member	September 2015

* Appointed July 22, 2014 to serve remainder of term of resigned member.

For the Period September 13, 2015 to June 30, 2016:		
Chris Lynch	President	September 2017
Brian Kirschling	Vice President	September 2017
LaTasha DeLoach	Board Member	September 2019
Phil Hemingway	Board Member	September 2019
Chris Liebig	Board Member	September 2017
Lori Roetlin	Board Member	September 2019
Tom Yates *	Board Member	September 2019

* Resigned effective May 13, 2016 and the position was filled by Paul Roesler via special election on July 19, 2016.

School District Officials

Stephen Murley	Superintendent	
Craig Hansel	Secretary	Appointed
Leslie J. Finger	Treasurer	Appointed
Joe Holland	Attorney	Appointed

ASSOCIATION OF
SCHOOL BUSINESS OFFICIALS
INTERNATIONAL

The Certificate of Excellence in Financial Reporting Award
is presented to

Iowa City Community School District

for its Comprehensive Annual Financial Report (CAFR)
for the Fiscal Year ending June 30, 2015

The CAFR has been reviewed and met or exceeded
ASBO International's Certificate of Excellence standards

Brenda R. Burkett

Brenda R. Burkett, CPA, CSBA, SFO
President

John D. Musso

John D. Musso, CAE, RSBA
Executive Director

Government Finance Officers Association

Certificate of Achievement for Excellence in Financial Reporting

Presented to

Iowa City

Community School District

For its Comprehensive Annual
Financial Report
for the Fiscal Year Ended

June 30, 2015

Executive Director/CEO

Independent Auditor's Report

To the Board of Education
Iowa City Community School District
Iowa City, Iowa

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, business-type activities, each major fund and the aggregate remaining fund information of the Iowa City Community School District (the District) as of and for the year ended June 30, 2016, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the District as of June 30, 2016, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

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Other Matters
Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis on pages 3 through 14, the schedule of the district's proportionate share of the net pension liability and schedule of district contributions for the Iowa Public Employees' Retirement System on pages 57 through 59, other postemployment benefit plan schedule of funding progress on page 60, and budgetary comparison information on pages 61 through 63 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The accompanying combining nonmajor governmental fund financial statements, statement of changes in fiduciary assets and liabilities – agency funds and the accompanying schedule of expenditures of federal awards, as required by the Single Audit Act and Subpart F of Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (*Uniform Guidance) are presented for purposes of additional analysis and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

The accompanying introductory and statistical sections are presented for purposes of additional analysis and are not a required part of the basic financial statements. Such information has not been subjected to the auditing procedures applied in the audits of the basic financial statements, and accordingly, we do not express an opinion on or provide any assurance on them.

Other Reporting Required by *Government Auditing Standards*
In accordance with *Government Auditing Standards*, we have also issued our report dated November 21, 2016 on our consideration of the District's internal control over financial reporting and our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

RSM US LLP

Davenport, Iowa
November 21, 2016

Iowa City Community School District provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2016. We encourage readers to consider this information in conjunction with the District's financial statements.

Financial Highlights
Total net position increased $18,108,017 from $162,998,078 in 2015 to $181,106,095 in 2016. Total revenues for the fiscal year 2016 increased $8,278,077 from 2015. Total expenses increased from $156,111,186 in 2015 to $169,338,533 in 2016.

General Fund revenues increased from $140,870,647 in fiscal year 2015 to $149,586,127 in fiscal year 2016, while General Fund expenditures increased from $138,493,219 in fiscal year 2015 to $144,928,058 in fiscal year 2016. In addition, the District transferred $172,000 to other funds during fiscal year 2016. This resulted in an increase in the District's General Fund balance from $15,944,282 in fiscal year 2015 to $20,430,351 in fiscal year 2016.

The increase in General Fund revenues for fiscal year 2016 was attributable to an increase in property tax revenues, 1.25 percent supplemental state aid (formerly allowable growth) as provided in the state funding formula as provided by the Iowa Legislature and approximately $4M from the Teacher Leadership and Compensation (TLC) grant. The District was able to control expenditures for fiscal year 2016 utilizing budget adjustments from the prior year regarding class size staffing ratios, reductions of certain positions, and controlling the purchase of supplies and materials. These budget adjustments maintained expenditures at a similar level to the prior year after increases in negotiated salary and benefits for all employee groups and the additional expenditures of the TLC grant.

Overview of the Financial Statements
This report consists of three parts: management's discussion and analysis (this section), the basic financial statements and required supplementary information. The basic financial statements include two kinds of statements that present different views of the District.

- The first two statements are government-wide financial statements that provide both short-term and long-term information about the District's overall financial status.
- The remaining statements are fund financial statements that focus on individual parts of the District, reporting the District's operations in more detail than the government-wide statements.
    - ✓ The governmental fund statements explain how basic services, such as regular and special education, were financed in the short term as well as what remains for future spending.
    - ✓ The statements for proprietary funds offer short-term and long-term financial information about the activities the District operates like businesses, such as food services.
    - ✓ The statements for fiduciary funds provide information about the financial relationships in which the District acts solely as a trustee or agent for the benefit of others.

The financial statements also include notes that explain some of the information in the statements and provide more detailed data. The statements are followed by a section of required supplementary information that further explains and supports the financial statements with a comparison of the District's budget for the year.

Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.

Figure A-1
Iowa City Community School District Annual Financial Report

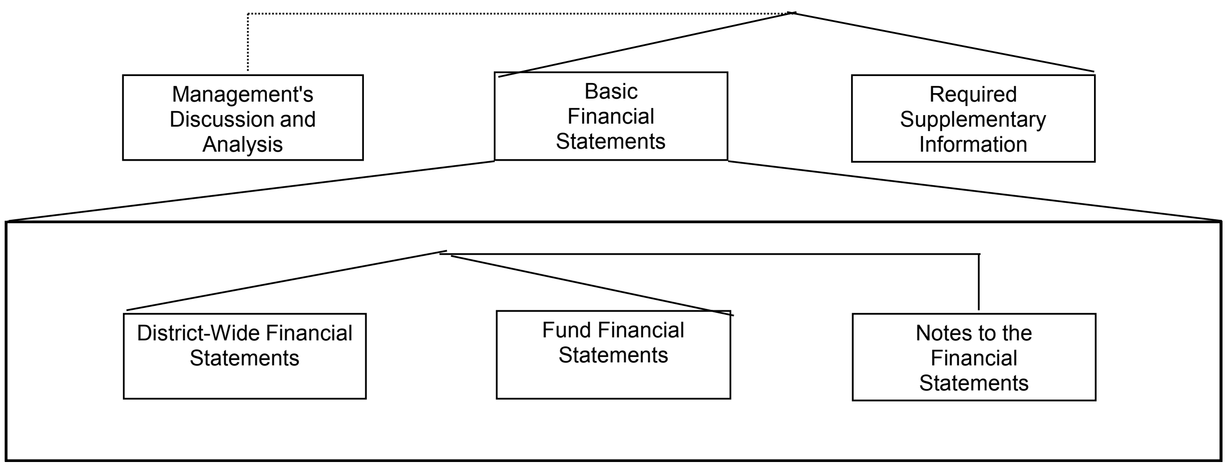

Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain. The remainder of this overview section of the management's discussion and analysis highlights the structure and contents of each of the statements.

Figure A-2
Major Features of the Government-Wide and Fund Financial Statements

	Government-Wide Statements	Fund Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire District (except fiduciary funds)	The activities of the District that are not proprietary or fiduciary, such as special education and building maintenance	Activities the District operates similar to private businesses: food services and adult education	Instances in which the District administers resources on behalf of someone else, such as scholarship programs and student activities monies
Required financial statements	Statement of net position Statement of activities	Balance sheet Statement of revenues, expenditures and changes in fund balances	Statement of fund net position Statement of revenues, expenses and changes in net position Statement of cash flows	Statement of fiduciary net position Statement of changes in fiduciary net position
Accounting basis and measurement focus	Accrual accounting and economic resources focus	Modified accrual accounting and current financial resources focus	Accrual accounting and economic resources focus	Accrual accounting and economic resources focus
Type of asset/liability information	All assets and liabilities, both financial and capital, short-term and long-term	Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets and liabilities, both financial and capital, and short-term and long-term	All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can
Type of inflow/outflow information	All revenues and expenses during the year, regardless of when cash is received or paid	Revenues for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter	All revenues and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

Government-Wide Statements
The government-wide statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The statement of net position includes all of the District's assets, liabilities and deferred inflows/outflows of resources. All of the current year's revenues and expenses are accounted for in the statement of activities, regardless of when cash is received or paid.

The two government-wide statements report the District's net position and how they have changed. Net position – the difference between the District's assets and deferred outflows of resources and liabilities and deferred inflows of resources – are one way to measure the District's financial health or position. To assess the District's overall health, you need to consider additional nonfinancial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities.

For the government-wide financial statements, the District's activities are divided into two categories:

- Governmental activities: Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property tax and state aid finance most of these activities.
- Business-type activities: The District charges fees to help cover the costs of certain services it provides. The District's school nutrition program is included as a business-type activity.

Fund Financial Statements
The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds – not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

- Some funds are required by state law and by bond covenants.
- The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds or to show that it is properly using certain revenues such as federal grants.

The District has three kinds of funds:

- Governmental funds. Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs. Because this information does not encompass the additional long-term focus of the government-wide statements, additional information following the governmental fund statements explains the relationship or differences between the two statements.
  - ✓ The District's governmental funds include the General Fund, Physical Plant and Equipment Levy Fund, Management Fund, Student Activity Fund, Debt Service Fund and Capital Projects Fund.
- Proprietary funds. Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide statements.
  - ✓ The District's enterprise fund, one type of proprietary fund, is encompassed in the District's business-type activities, but provide more detail and additional information, such as cash flows. The District currently has one enterprise fund, the School Nutrition Fund.
  - ✓ Internal service funds, the other type of proprietary fund, are optional and available to report activities that provide supplies and services for other District programs and activities. The District currently uses an Internal Service Fund to account for its self-insured health insurance and dental insurance funds.

- Fiduciary funds. The District is the trustee, or fiduciary, for assets that belong to others. These funds include Private-Purpose Trust and Agency funds.
  - ✓ Private-Purpose Trust Fund – The District accounts for assets for scholarships for individual students in this fund according to the terms of the donor's request.
  - ✓ Agency Fund – These are funds for which the District administers and accounts for certain assets in a fiduciary capacity as an agent on behalf of others.

The District is responsible for ensuring that the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

Financial Analysis of the District as a Whole

Net position: Figure A-3 below provides a summary of the District's net position for the year ended June 30, 2016 compared to 2015:

Figure A-3
Condensed Statement of Net Position

	Governmental Activities		Business-Type Activities		Total School District		Total Change
	2016	2015	**2016**	2015	**2016**	2015	2016-2015
Current and other assets	**$ 179,420,809**	$150,353,178	**$ 2,561,553**	$ 2,927,191	**$ 181,982,362**	$ 153,280,369	$ 28,701,993
Capital assets	**248,018,597**	194,568,925	**528,403**	518,311	**248,547,000**	195,087,236	53,459,764
Total assets	**427,439,406**	344,922,103	**3,089,956**	3,445,502	**430,529,362**	348,367,605	82,161,757
Deferred outflows of resources	**22,894,385**	13,811,840	**476,566**	284,244	**23,370,951**	14,096,084	9,274,867
Long-term obligations	**133,892,009**	69,328,628	**1,329,481**	1,092,971	**135,221,490**	70,421,599	(64,799,891)
Other liabilities	**37,634,394**	29,907,255	**303,124**	282,856	**37,937,518**	30,190,111	(7,747,407)
Total liabilities	**171,526,403**	99,235,883	**1,632,605**	1,375,827	**173,159,008**	100,611,710	(72,547,298)
Deferred inflows of resources	**99,511,374**	98,437,073	**323,836**	416,828	**99,835,210**	98,853,901	(981,309)
Net position:							
Net investment in capital assets	**203,709,702**	176,170,719	**528,403**	518,311	**204,238,105**	176,689,030	27,549,075
Restricted	**36,650,711**	18,444,336	**-**	-	**36,650,711**	18,444,336	18,206,375
Unrestricted	**(61,064,399)**	(33,554,068)	**1,081,678**	1,418,780	**(59,982,721)**	(32,135,288)	(27,847,433)
Total net position	**$ 179,296,014**	$161,060,987	**$ 1,610,081**	$ 1,937,091	**$ 180,906,095**	$ 162,998,078	$ 17,908,017

The District's total assets increased by 23.6 percent during the year ended June 30, 2016. The increase occurred primarily as a result of the investment in capital assets as detailed in Note 5. During the year ended June 30, 2016, the District began construction on a new elementary school, major classroom additions for three elementary schools and continued construction of a new comprehensive third high school as part of the ten year facility master plan. In addition, the District completed approximately $500,000 of safety and security upgrades and expended over $700,000 of technology infrastructure upgrades.

The total net position of the District's business-type activities decreased by $327,010 over the prior year's balance. This decrease is due primarily to increased expenditures for staff and food to serve additional students and federal requirements for certain meal components.

Changes in net position – Figure A-4 shows the changes in net position for the years ended June 30, 2016 and 2015:

Figure A-4
Changes in Net Position

	Governmental Activities		Business-Type Activities		Total School District	
	2016	2015	**2016**	2015	**2016**	2015
Revenues:						
Program revenues:						
Charges for service and sales	**$ 1,264,023**	$ 1,571,049	**$ 2,357,084**	$ 2,320,575	**$ 3,621,107**	$ 3,891,624
Operating grants and contributions	**28,901,876**	24,461,796	**3,498,804**	3,212,336	**32,400,680**	27,674,132
Capital grants and contributions	**641,945**	939,553	**-**	-	**641,945**	939,553
General revenues:						
Property taxes	**78,977,678**	76,047,133	**-**	-	**78,977,678**	76,047,133
Sales tax	**12,615,660**	12,515,712	**-**	-	**12,615,660**	12,515,712
Unrestricted state grants	**57,802,551**	56,396,516	**-**	-	**57,802,551**	56,396,516
Unrestricted investment earnings	**465,432**	233,928	**6,803**	7,509	**472,235**	241,437
Other	**714,694**	1,462,366	**-**	-	**714,694**	1,462,366
Gain on sale of capital assets	**-**	-	**-**	-	**-**	-
Total revenues	**181,383,859**	173,628,053	**5,862,691**	5,540,420	**187,246,550**	179,168,473
Program expenses:						
Governmental activities:						
Instruction	**107,177,328**	100,335,876	**-**	-	**107,177,328**	100,335,876
Support services	**53,642,433**	49,085,735	**-**	-	**53,642,433**	49,085,735
Noninstructional programs	**368,506**	605,079	**-**	-	**368,506**	605,079
Other expenses	**1,960,565**	262,491	**-**	-	**1,960,565**	262,491
Business-type activities, nutritional services	**-**	-	**6,189,701**	5,822,005	**6,189,701**	5,822,005
Total expenses	**163,148,832**	150,289,181	**6,189,701**	5,822,005	**169,338,533**	156,111,186
Change in net position	**18,235,027**	23,338,872	**(327,010)**	(281,585)	**17,908,017**	23,057,287
Net position, beginning of year	**161,060,987**	137,722,115	**1,937,091**	2,218,676	**162,998,078**	139,940,791
Net position, end of year	**$ 179,296,014**	$ 161,060,987	**$ 1,610,081**	$ 1,937,091	**$ 180,906,095**	$ 162,998,078

Property and sales taxes and unrestricted state grants account for 80 percent and 81 percent of the total revenue for the years ended June 30, 2016 and 2015, respectively. The District's expenses primarily relate to instruction and support services which account for 95 percent and 92 percent of the total expenses for the years ended June 30, 2016 and 2015, respectively.

Governmental Activities

Revenues for governmental activities were $181,583,859 and expenses were $163,148,832. This difference of $18,435,027 was used for the repayment of the general obligations bonds, capital loan notes and sales tax revenue bonds as scheduled and described in Note 6 to the basic financial statements and approximately $27,000,000 in construction in progress that have been capitalized. Revenues in the governmental activities increased approximately $7,956,000 or 4.6 percent over 2015. Most of this increase is due to the increase from state sources as provided from supplemental state aid and the Teacher Leadership and Compensation grant. In addition, property tax revenues increased approximately $2,930,000 from assessed valuation growth in both the general and physical plant and equipment levy funds.

The increase in expenses in governmental activities of $12,859,651 or 8.6 percent is related to expenditures from the teacher leadership grant, increased salary and benefits from negotiated contract settlements and amounts recorded as pension expense from the implementation of GASB 68. The District also recorded $693,683 in the current year for other postemployment benefit obligations which is attributable to the statutory requirement that the District allows retirees the ability to purchase District sponsored health insurance at the employee's own cost. The District does not offer any voluntary postretirement benefits.

The following table presents the total and net cost of the District's major governmental activities: instruction, support services, noninstructional programs and other expenses.

Figure A-5
Total and Net Cost of Governmental Activities

	2016		2015	
	Total Cost of Services	**Net Cost of Services**	Total Cost of Services	Net Cost of Services
Instruction	**$ 107,177,328**	**$ (83,124,575)**	$ 100,335,876	$ (80,288,412)
Support services	**53,642,433**	**(46,887,342)**	49,085,735	(42,160,801)
Noninstructional programs	**368,506**	**(368,506)**	605,079	(605,079)
Other expenses	**1,960,565**	**(1,960,565)**	262,491	(262,491)
Totals	**$ 163,148,832**	**$ (132,340,988)**	$ 150,289,181	$ (123,316,783)

- The cost financed by users of the District's programs was $1,264,023 for 2016 and $1,571,049 for 2015.
- Federal and state governments subsidized certain programs with grants and contributions totaling $29,543,821 for 2016 and $22,409,895 for 2015.
- The remaining net cost of governmental activities was financed with property tax, sales tax, state foundation aid and investment earnings.

Business-Type Activities
Revenues of the District's business-type activities were $5,855,888, excluding $6,803 of investment earnings, and expenses were $6,189,701. The District's business-type activities include the School Nutrition Fund. Revenues of these activities were comprised of charges for service, federal and state reimbursements and interest income. Revenues increased by approximately 5.8 percent due to an increase in the number of meals served, a higher number of qualifying student enrollments and higher reimbursement rates from federal and state programs compared to prior years. Expenses increased by approximately 6.3 percent primarily due to the negotiated costs for personnel and increased food supply costs from additional meals served.

Financial Analysis of the District's Funds

As previously noted, the Iowa City Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

Governmental fund highlights: The financial performance of the District as a whole is reflected in its governmental funds as well. As the District completed the year, its governmental funds reported combined fund balances of $54,622,851 which was an increase from last year's ending fund balances of $32,359,520. The primary reason for the net increase in combined fund balances in fiscal year 2016 is due to increases in the District's Capital Projects Fund.

- The District's General Fund financial position is the product of many factors. The primary factor resulting in the General Fund's increased balance for the year ending June 30, 2016 was due to the District's control of the operating expenditures and supplemental state aid for fiscal year 2016 being approximately equal to negotiated salary and benefit increases.
- The Physical Plant and Equipment Levy (PPEL) Fund balance decreased from a balance of $8,318,245 in fiscal year 2015 to $4,851,589 in fiscal year 2016. The decrease is primarily due to the expenditures for facility expenditures related to the District's facility master plan. The funding for these projects were provided from sale of Capital Loan Notes in December 2014.
- The Capital Projects Fund balance increased from a balance of $4,879,464 in fiscal year 2015 to $26,006,769 in fiscal year 2016. This increase is primarily due to the sale of approximately $60 million of sales tax revenue bonds. These funds were used for the construction expenditures for a new elementary school, classroom additions and renovations to existing elementary schools and the continued construction on a comprehensive third high school as part of the District's ten year facility master plan.

Proprietary fund highlights: The School Nutrition Fund's net position decreased from $1,105,638 as of June 30, 2015 to $839,319 as of June 30, 2016, representing a decrease of approximately 24.1 percent for 2016 compared to a decrease of 20.6 percent for 2015. The decrease was primarily due to the increased expenditures to operate the district nutrition program.

The Internal Service Fund for the District's self-insured health insurance fund and dental insurance funds decreased net position from $15,587,964 in 2015 to $13,711,689 in 2016. This decrease was due to the increase in health insurance claims compared to prior years and the increase to the liability for unpaid claims as of June 30, 2016.

Budgetary Highlights

In accordance with the Code of Iowa, the Board of Education annually adopts a certified budget following required public notice and hearing for all funds, except its internal service, private-purpose trust and agency funds. The legal level of control is at the aggregated functional level, not at the fund or fund type level. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's certified budget is prepared on the GAAP basis. Over the course of the year, the District amended its annual (operating) budget one time to reflect additional revenue and expenditures associated with programs and activities added or changed during the fiscal year. A schedule showing the original certified and final budget amounts compared to the District's actual financial activity is included in the required supplementary information section of this report.

Legal budgetary highlights: The District's total actual revenues were $8,346,769 less than the total budgeted revenues, a variance of 4.25 percent from the final budget.

Total expenditures were more than budgeted. It is the District's practice to budget expenditures at the maximum authorized spending authority as defined by the Code of Iowa. The District then manages or controls General Fund spending through its line-item budget. As a result, the District's certified budget should always exceed the actual expenditures during the year. In addition, the Board of Directors has implemented and maintained certain budget controls to manage the expenditure levels with available resources. The increased expenditures related to the budget were in the other expenditure category due to construction expenditures as planned in the District's facility master plan and funded by capital loan notes and sales tax revenue bonds in fiscal years 2015 and 2016, respectively.

Capital Asset and Debt Administration

Capital assets: As of June 30, 2016, the District had invested $248.5 million, net of accumulated depreciation, in the broad range of capital assets, including land, buildings, athletic facilities, computers and equipment. (See Figure A-6) This amount represents a net increase of $53.5 million from last year. More detailed information about capital assets is available in Note 5 to the financial statements. Depreciation expense for the year was $6,237,275.

The original costs of the District's capital assets was over $339.9 million. Governmental funds account for approximately $338.3 million with the remainder of $1.6 million in the Proprietary, School Nutrition Fund.

The largest change in capital asset activity during the year occurred in the building and construction in progress categories. The building category increased primarily from the construction of Alexander Elementary School that opened in August 2015 and expenditures related to multi-classroom additions at Penn, Twain and Van Allen Elementary Schools. The construction-in-progress category increased from the continued construction on a third comprehensive high school projected to open in August 2017 and the construction of a new elementary school projected to open in August 2017.

Figure A-6
Capital Assets, Net of Depreciation

	Governmental Activities		Business-Type Activities		Total School District		Total Change
	2016	2015	**2016**	2015	**2016**	2015	2016-2015
Land	**$ 8,947,961**	$ 8,941,759	**$ -**	$ -	**$ 8,947,961**	$ 8,941,759	$ 6,202
Construction-in-progress	**57,109,432**	40,010,055	**-**	-	**57,109,432**	40,010,055	17,099,377
Buildings	**167,031,948**	132,656,764	**-**	-	**167,031,948**	132,656,764	34,375,184
Improvements other than buildings	**12,580,456**	11,043,659	**-**	-	**12,580,456**	11,043,659	1,536,797
Furniture and equipment	**2,348,800**	1,916,688	**528,403**	518,311	**2,877,203**	2,434,999	442,204
Total	**$ 248,018,597**	$ 194,568,925	**$ 528,403**	$ 518,311	**$ 248,547,000**	$ 195,087,236	$ 53,459,764

Long-Term Debt: As of June 30, 2016, the District had $78,2 million in general obligation and other long-term debt outstanding. This represents an increase of approximately $58,3 million from last year. The increase in the early retirement obligation is due to an increase in the retirement incentive offered by the district and a greater number of employees accepting the District's early retirement incentive in 2016 than 2015. The reduction of general obligation bonds and capital loan notes by approximately $3.8 million was part of the previously stated maturities. The District issued $60,030,000 of Sales Tax Revenue Bonds in September 2015 with the first payment of $3,950,000 made in June 2016. (See Figure A-7) More detailed information about the District's long-term liabilities are available in Note 6 to the financial statements.

Figure A-7
Outstanding Long-Term Obligations

	Total School District		Total Change
	2016	2015	2016-2015
General obligation bonds	**$ 6,320,000**	$ 9,345,000	$ (3,025,000)
Premium on general obligation bonds	**313,240**	521,080	(207,840)
Capital loan notes	**7,830,000**	8,630,000	(800,000)
Sales tax revenue bonds	**56,080,000**	-	56,080,000
Premium on sales tax revenue bonds	**4,272,252**	-	4,272,252
Early retirement	**2,121,534**	1,367,353	754,181
Compensated absences	**750,516**	546,938	203,578
Totals	**$ 77,687,542**	$ 20,410,371	$ 57,277,171

Factors Bearing on the District's Future

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The District received allowable growth of two percent, zero percent and two percent for fiscal year 2011, 2012 and 2013, respectively, supplemental state aid (formerly allowable growth) of two percent and a one-time two percent supplemental state aid allocation for fiscal year 2014 and supplemental state aid at four percent and 1.25 percent for fiscal years 2015 and 2016, respectively. For the fiscal year 2017, the District received supplemental state aid of 2.25 percent. At this time, the District is unable to determine the level of the supplemental state aid rates from the State of Iowa for any future fiscal periods. As the District's General Fund budget is comprised of approximately 85 percent salary and benefits, wage and salary adjustments realized through the formal negotiations process will have a significant impact on future budget spending decisions.
- The Iowa school funding formula is highly dependent upon student enrollment. The District has experienced enrollment growth of 107,170, 443, 321, 386, 168 and 343 students in the last seven years, respectively. The enrollment growth of 310 students in fiscal year ending 2017 will assist the District's budget in fiscal year ending 2018. These continued increases in enrollment require additional staff and materials for educational programs and the demand for additional space to the existing facilities and construction of new facilities. New facilities as well as additions and renovations to existing facilities are included in the District's Facility Master Plan and will also increase expenditures related to utilities, custodial, maintenance and support staff.

- In March 2012, the District issued General Obligation Refunding Bonds to refund previously issued bonds. The District anticipates a reduction of interest expense on the outstanding bonds of approximately $400,000 between July 1, 2012 and June 30, 2018 as a result of the refunding. This reduction of interest expense on the outstanding bonds will reduce the property tax levy necessary for debt service during this period. As required for all outstanding debt, the District must complete certain compliance and reporting requirements as defined by the Securities and Exchange Commission (SEC). Self-reporting options offered by the SEC have been completed by the District and the District believes it is in compliance with all requirements.
- In December 2014, the District sold Capital Loan Notes of $9,435,000. The proceeds from the sale of these Notes will fund various construction projects in the Facility Master Plan and will be repaid from the existing Physical Plant and Equipment Levy (PPEL) through 2025. In addition, the District sold approximately $60 million of School Infrastructure Sales, Services and Use Tax Revenue Bonds in September 2015. These funds will be used for projects at Coralville Central Elementary, City High School and the construction of Liberty High School. The Revenue Bonds will be repaid from sales tax revenues collected through 2029.
- The construction of Liberty High School, a new comprehensive high school, began in May 2015 with anticipated opening in August 2017 with a projected enrollment of 700-800 students. The total projected cost of the building and fields is approximately $57 million. Transition planning for curriculum programs, staffing and attendance areas are in various stages for the new high school. The District anticipates additional projected operating costs of approximately $2 million annually for this high school. In addition to the building, the District is in the process of designing and planning for construction of athletic venues surrounding the high school building. The funding and completion of these athletic fields will be dependent on future funding options including general obligation bond funding. Administrative and custodial staffing for Liberty High School started during fiscal year 2017 with an anticipated cost of $480,000 in that budget year. The remainder of the staffing for instruction, support, custodial and administrative services will be added in fiscal year 2018 with an anticipated increase in expenditures of $1.7 million. In addition, the District anticipates expending approximately $350,000 in fiscal year 2017 from the general fund for the purchase of supplies and equipment prior to the opening of the building in August 2017.
- The District is in the process of construction a new Hoover elementary school. New Hoover will replace the existing school by the same name and is expected to be opened in the fall of 2017. The operating costs for this new building are expected to be similar to the existing facility. According to the facility master plan, Grant Elementary School, to be located in the Scanlon Coralville subdivision is expected to open in the fall of 2019 with additional projected operating costs of $800,000 annually. Both facilities are being constructed as part of the Facility Master Plan and will require the District to make adjustments to current attendance areas, however, the construction costs of Grant Elementary will be dependent on future funding options including general obligation bond funding. In addition, the District purchased approximately 22 acres in the City of North Liberty in July 2016 for the construction of an elementary school.
- The enrollment increases experienced in recent years has included significant additional student needs for students requiring English language learning programs. The District has had to hire additional staff with the appropriate certifications to serve these students. The District expended approximately $1,000,000 more during the year ended June 30, 2016 than the prior year to provide these services and anticipates additional increases in future years. The District will continue to request additional spending authority for its Limited English Program from the School Budget Review Committee to support these expenditures in future periods.

- The District was subject to various insurance coverage and reporting provisions of the Patient Protection and Affordable Care Act (ACA) during fiscal year 2016 with additional requirements for future years. The transitional reinsurance fees included in the ACA rules are being paid from the current premium levels of the self-funded insurance plan and the District anticipates the impact of the coverage and reporting rules to be minimal based upon existing insurance benefits offered to its staff. The District believes it has completed all coverage and reporting requirements of ACA in a timely and complete manner and anticipates it will continue to meet these ACA requirements.
- The District's Board of Directors has recently revised and update attendance areas within the District for the opening of new facilities in fiscal periods 2018 to 2020. These decisions will impact certain staffing and transportation expenditures for future fiscal periods, however, the impact of these decisions has not been determined at this time.
- The ten year Facility Master Plan, originally approved in December 2013 and subsequently updated in April 2015, includes nearly $200 million of future construction and renovation projects that will require additional funding sources. The District has initiated plans for requesting funding from its taxpayers through the approval and sale of general obligation bonds. This bond referendum vote is planned for September 12, 2017. In addition, legislative proposals regarding the extension of the sales tax sunset provisions past 2029 would impact the amounts to be requested as general obligation bonds, however, the impact of this legislation and property taxes has not been determined.
- The instructional programs of the district have been impacted by the Teacher Leadership and Compensation grant. Funding for this grant have been provided by the State of Iowa but has resulted in the addition of over 40 FTE to the district's certified teaching staff. These increases in staff require additional space, professional development, curriculum and support services for the district. The Iowa Legislature has also deferred the requirements related to third grade retention and testing requirements to fiscal year periods 2018 and beyond. The District anticipates these legislative requirements will increase expenditures by $350,000 annually when implemented.

Contacting the District's Financial Management
This financial report is designed to provide the District's citizens, taxpayers, customers, investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact Craig Hansel, District Chief Financial Officer, Iowa City Community School District, 1725 North Dodge Street, Iowa City, Iowa 52245.

Iowa City Community School District

Statement of Net Position
June 30, 2016

	Governmental Activities	Business-Type Activities	Total
Assets			
Current assets:			
Cash, cash equivalents, and investments	$ 84,491,382	$ 1,633,932	$ 86,125,314
Restricted Cash	5,587,205	-	5,587,205
Receivables:			
Property tax:			
Current year	252,882	-	252,882
Succeeding year	77,594,186	-	77,594,186
Income surtax	6,393,586	-	6,393,586
Sales taxes	500,000	-	500,000
Other	173,561	-	173,561
Due from other governments	4,066,887	29,973	4,096,860
Internal balances	(767,818)	767,818	-
Inventories	-	56,871	56,871
Prepaid expenses	1,128,938	72,959	1,201,897
Total current assets	179,420,809	2,561,553	181,982,362
Noncurrent assets:			
Capital assets:			
Nondepreciable:			
Land	8,947,961	-	8,947,961
Construction-in-progress	57,109,432	-	57,109,432
Depreciable capital assets, net of accumulated depreciation	181,961,204	528,403	182,489,607
Total noncurrent assets	248,018,597	528,403	248,547,000
Total assets	427,439,406	3,089,956	430,529,362
Deferred Outflows of Resources			
Deferred amounts on refunding	49,417	-	49,417
Pension related amounts	22,844,968	476,566	23,321,534
Total deferred outflows of resources	22,894,385	476,566	23,370,951

See notes to basic financial statements.

	Governmental Activities	Business-Type Activities	Total
Liabilities			
Current liabilities:			
Accounts payable	11,063,983	8,923	11,072,906
Salaries and benefits payable	13,723,860	294,201	14,018,061
Claims payable	2,464,078	-	2,464,078
Accrued interest payable	217,789	-	217,789
Unearned, grant revenues	68,582	-	68,582
General obligation bonds	3,115,000	-	3,115,000
Capital loan notes	815,000	-	815,000
Revenue bonds	3,305,000	-	3,305,000
Early retirement	2,110,586	-	2,110,586
Compensated absences	750,516	-	750,516
Total current liabilities	37,634,394	303,124	37,937,518
Noncurrent liabilities:			
Other postemployment benefit	2,569,683	-	2,569,683
Early retirement	10,948	-	10,948
Net pension liability	63,730,886	1,329,481	65,060,367
General obligation bonds, net of unamortized premium	3,518,240	-	3,518,240
Capital loan notes	7,015,000	-	7,015,000
Revenue bonds, net of unamortized premium	57,047,252	-	57,047,252
Total noncurrent liabilities	133,892,009	1,329,481	135,221,490
Total liabilities	171,526,403	1,632,605	173,159,008
Deferred Inflows of Resources			
Property tax	77,594,186	-	77,594,186
Income surtax	6,393,586	-	6,393,586
Pension related amounts	15,523,602	323,836	15,847,438
Total deferred inflows of resources	99,511,374	323,836	99,835,210
Net Position			
Net investment in capital assets	203,709,702	528,403	204,238,105
Restricted for:			
Capital improvements and equipment	31,557,048	-	31,557,048
Federal and state programs	3,963,463	-	3,963,463
Student activities	1,130,200	-	1,130,200
Unrestricted	(61,064,399)	1,081,678	(59,982,721)
Total net position	$ 179,296,014	$ 1,610,081	$ 180,906,095

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Iowa City Community School District

Statement of Activities
Year Ended June 30, 2016

		Program Revenues		
Functions/Programs	Expenses	Charges for Services and Sales	Operating Grants, and Contributions	Capital Grants, and Contributions
Governmental Activities				
Instruction:				
Regular instruction	$ 69,484,658	$ 478,835	$ 13,626,411	$ -
Special instruction	32,653,406	533,318	6,524,009	-
Other instruction	5,039,264	1,250	2,888,930	-
	107,177,328	1,013,403	23,039,350	-
Support services:				
Student services	4,835,646	-	-	-
Instructional services	9,576,097	-	-	-
Administration services	13,741,415	-	-	-
Operation and maintenance	15,242,048	235,782	-	641,945
Transportation services	4,593,145	14,838	208,444	-
Other support services, AEA flowthrough	5,654,082	-	5,654,082	-
	53,642,433	250,620	5,862,526	641,945
Noninstructional programs	368,506	-	-	-
Other:				
Long-term debt interest	1,925,504	-	-	-
Depreciation (unallocated), excluding direct depreciation	35,061	-	-	-
	1,960,565	-	-	-
Total governmental activities	163,148,832	1,264,023	28,901,876	641,945
Business-type activities, nutritional services	6,189,701	2,357,084	3,498,804	-
Total primary government	$ 169,338,533	$ 3,621,107	$ 32,400,680	$ 641,945

General revenues:
Property taxes levied for:
General purposes
Debt service
Capital outlay
State-wide sales taxes
Unrestricted state grants
Unrestricted investment earnings
Other
Total general revenues

Changes in net position

Net position, beginning of year

Net position, end of year

See notes to basic financial statements.

Net (Expense) Revenue and Changes in Net Position		
Governmental Activities	Business-Type Activities	Total
$ (55,379,412)	$ -	$ (55,379,412)
(25,596,079)	-	(25,596,079)
(2,149,084)	-	(2,149,084)
(83,124,575)	-	(83,124,575)
(4,835,646)	-	(4,835,646)
(9,576,097)	-	(9,576,097)
(13,741,415)	-	(13,741,415)
(14,364,321)	-	(14,364,321)
(4,369,863)	-	(4,369,863)
-	-	-
(46,887,342)	-	(46,887,342)
(368,506)	-	(368,506)
(1,925,504)	-	(1,925,504)
(35,061)	-	(35,061)
(1,960,565)	-	(1,960,565)
(132,340,988)	-	(132,340,988)
-	(333,813)	(333,813)
(132,340,988)	(333,813)	(132,674,801)
66,430,760	-	66,430,760
3,259,578	-	3,259,578
9,287,340	-	9,287,340
12,615,660	-	12,615,660
57,802,551	-	57,802,551
465,432	6,803	472,235
714,694	-	714,694
150,576,015	6,803	150,582,818
18,235,027	(327,010)	17,908,017
161,060,987	1,937,091	162,998,078
$ 179,296,014	$ 1,610,081	$ 180,906,095

Iowa City Community School District

Balance Sheet - Governmental Funds
June 30, 2016

	General	Physical Plant and Equipment Levy
Assets		
Cash, cash equivalents, and investments	$ 33,270,812	$ 6,751,910
Restricted cash	-	-
Receivables:		
Property tax:		
Current year	200,376	30,974
Succeeding year	60,238,767	9,984,079
Income surtax	6,393,586	-
Sales tax	-	-
Other	173,561	-
Due from other governments	1,978,107	-
Due from other funds	11,132	-
Prepaid items	1,127,628	-
Total assets	$ 103,393,969	$ 16,766,963
Liabilities, Deferred Inflows of Resources and Fund Balances		
Liabilities:		
Accounts payable	$ 1,895,636	$ 1,925,110
Salaries and benefits payable	13,706,046	-
Due to other funds	661,001	6,185
Unearned revenue	68,582	-
Total liabilities	16,331,265	1,931,295
Deferred inflows of resources:		
Unavailable revenue - property tax	60,238,767	9,984,079
Unavailable revenue - income surtax	6,393,586	-
Unavailable revenue - sales tax	-	-
Total deferred inflows of resources	66,632,353	9,984,079
Fund balance:		
Nonspendable	1,127,628	-
Restricted	3,963,463	4,851,589
Unassigned	15,339,260	-
Total fund balances	20,430,351	4,851,589
Total liabilities, deferred inflows of resources and fund balances	$ 103,393,969	$ 16,766,963

See notes to basic financial statements.

Capital Projects	Nonmajor Governmental Funds	Total Governmental Funds
$ 24,869,975	$ 3,373,663	$ 68,266,360
5,587,205	-	5,587,205
-	21,532	252,882
-	7,371,340	77,594,186
-	-	6,393,586
500,000	-	500,000
-	-	173,561
2,088,780	-	4,066,887
571,353	89,648	672,133
1,310	-	1,128,938
$ 33,618,623	$ 10,856,183	$ 164,635,738
$ 7,094,040	$ 149,198	$ 11,063,984
17,814	-	13,723,860
-	1,503	668,689
-	-	68,582
7,111,854	150,701	25,525,115
-	7,371,340	77,594,186
-	-	6,393,586
500,000	-	500,000
500,000	7,371,340	84,487,772
1,310	-	1,128,938
26,005,459	3,334,142	38,154,653
-	-	15,339,260
26,006,769	3,334,142	54,622,851
$ 33,618,623	$ 10,856,183	$ 164,635,738

Iowa City Community School District

Reconciliation of Total Governmental Fund Balances to Net Position of Governmental Activities
June 30, 2016

Total governmental fund balances		$ 54,622,851
Amounts reported for governmental activities in the statement of net position are different because:		
Capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in the governmental funds.		248,018,597
Other long-term assets are not available to pay for current period expenditures and, therefore, are reported as a deferred inflow of resources in the funds.		500,000
Internal service funds are used by management to charge the costs of certain services to individual funds. The assets and liabilities of the internal service funds are included in governmental activities in the statement of net position:		
Current assets	$ 16,225,022	
Liabilities	(2,513,333)	13,711,689
Internal service funds allocated to business-type activities		(770,762)
Accrued interest payable on long-term liabilities is not due and payable in the current period and, therefore, is not reported as a liability in the governmental funds.		(217,788)
Pension related deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore, are not reported in the governmental funds, as follows:		
Deferred outflows	22,844,968	
Deferred inflows	(15,523,602)	7,321,366
Long-term liabilities, including bonds payable and compensated absences, are not due and payable in the current period and, therefore, are not reported as liabilities in the governmental funds:		
General obligation bonds, current	(3,115,000)	
General obligation bonds, noncurrent	(3,205,000)	
Capital loan notes, current	(815,000)	
Capital loan notes, noncurrent	(7,015,000)	
Sales tax revenue bonds, current	(3,305,000)	
Sales tax revenue bonds, noncurrent	(52,775,000)	
Early retirement, current	(2,072,779)	
Net pension liability	(63,730,886)	
Other postemployment benefits	(2,569,683)	
Compensated absences, current	(750,516)	
Deferred amounts on refunding bonds	49,417	
Unamortized premium	(4,585,492)	(143,889,939)
Net position of governmental activities		$ 179,296,014

See notes to basic financial statements.

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Iowa City Community School District

Statement of Revenues, Expenditures and Changes in Fund Balances
Governmental Funds
Year Ended June 30, 2016

	General	Physical Plant and Equipment Levy
Revenues:		
Local sources:		
Local tax	$ 63,426,883	$ 9,287,340
Tuition	1,183,814	-
Other	1,645,777	199,756
State sources	76,749,193	322,534
Federal sources	6,580,460	-
Total revenues	149,586,127	9,809,630
Expenditures:		
Current:		
Instruction:		
Regular instruction	63,581,824	-
Special instruction	32,548,466	-
Other instruction	1,800,677	-
	97,930,967	-
Support services:		
Student services	4,763,197	-
Instructional services	9,713,120	-
Administration services	11,775,373	-
Operation and maintenance	11,887,926	235,751
Transportation services	3,176,446	1,076,520
Other support services, AEA flowthrough	5,654,082	-
	46,970,144	1,312,271
Noninstructional programs	26,947	-
Capital outlay	-	10,988,803
Debt service:		
Principal	-	-
Interest and fiscal charges	-	-
	-	-
Total expenditures	144,928,058	12,301,074
Excess (deficiency) of revenues over expenditures	4,658,069	(2,491,444)
Other financing sources (uses):		
Transfers in	-	-
Transfers out	(172,000)	(975,212)
Issuance of sales tax revenue bonds	-	-
Premium on sales tax revenue bonds	-	-
Total other financing sources (uses)	(172,000)	(975,212)
Net change in fund balances	4,486,069	(3,466,656)
Fund balances, beginning of year	15,944,282	8,318,245
Fund balances, end of year	$ 20,430,351	$ 4,851,589

See notes to basic financial statements.

Capital Projects	Nonmajor Governmental Funds	Total Governmental Funds
$ -	$ 6,263,455	$ 78,977,678
-	-	1,183,814
799,993	2,730,871	5,376,397
12,715,660	220,951	90,008,338
-	-	6,580,460
13,515,653	9,215,277	182,126,687
-	1,237,186	64,819,010
-	-	32,548,466
-	2,731,395	4,532,072
-	3,968,581	101,899,548
-	-	4,763,197
-	-	9,713,120
95,718	711,169	12,582,260
-	968,685	13,092,362
-	340,179	4,593,145
-	-	5,654,082
95,718	2,020,033	50,398,166
358,818	-	385,765
50,815,185	-	61,803,988
-	7,775,000	7,775,000
260,818	2,064,365	2,325,183
260,818	9,839,365	10,100,183
51,530,539	15,827,979	224,587,650
(38,014,886)	(6,612,702)	(42,460,963)
-	6,729,315	6,729,315
(5,582,103)	-	(6,729,315)
60,030,000	-	60,030,000
4,694,294	-	4,694,294
59,142,191	6,729,315	64,724,294
21,127,305	116,613	22,263,331
4,879,464	3,217,529	32,359,520
$ 26,006,769	$ 3,334,142	$ 54,622,851

Iowa City Community School District

Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances of Governmental Funds to the Statement of Activities
Year Ended June 30, 2016

Net change in fund balances, total governmental funds		$ 22,263,331
Amounts reported for governmental activities in the statement of activities are different because:		
Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures. However, for governmental activities, those costs are shown in the statement of net position and allocated over their estimated useful lives as depreciation expense in the statement of activities. This is the amount by which capital outlay exceeds depreciation expense in the period:		
Capital outlay	$ 59,615,068	
Depreciation expense	(6,159,485)	53,455,583
Net effect of various miscellaneous transactions involving capital asset is to decrease net position:		
Net loss on disposal of capital assets		(5,911)
Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds, change in unavailable revenues.		(100,000)
Proceeds from issuing long-term liabilities provide current financial resources to governmental funds, but issuing debt increases long-term liabilities in the statement of net position. Repayment of long-term liabilities is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the statement of net position and does not affect the statement of activities.		
Repayment of long-term debt	7,775,000	
Proceeds from sale of revenue bonds	(60,030,000)	
Premium on issued bonds	(4,694,294)	(56,949,294)
Interest on long-term debt in the statement of activities differs from the amount reported in governmental funds because interest is recorded as an expenditure in the funds when due. In the statement of activities, however, interest expense is recognized as the interest accrues, regardless of when it is due.		(181,745)
The current year employer share of IPERS contributions are reported as expenditures in the governmental funds, but are reported as a deferred outflow of resources in the statement of net position.		8,408,520
Some expenses reported in the statement of activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds:		
Change in other postemployment benefits	(693,683)	
Pension expense	(5,688,444)	
Change in early retirement	(835,593)	
Change in compensated absences	(203,578)	(7,421,298)
Internal service funds are used by management to charge the costs of certain activities to individual funds. The change in net position in the internal service fund is reported with governmental activities in the statement of activities.		(1,876,275)
Change in Internal Service Fund allocation to business-type activities.		60,691
Amortization of bond premium	629,882	
Amortization of deferred amount on refunding	(48,457)	581,425
Change in net position of governmental activities		$ 18,235,027

See notes to basic financial statements.

Iowa City Community School District

Statement of Net Position
Proprietary Funds
June 30, 2016

	Nonmajor Enterprise Fund - School Nutrition	Internal Service Fund
Assets		
Current assets:		
Cash, cash equivalents, and investments	$ 1,633,932	$ 16,225,022
Due from other governments	29,973	-
Inventories	56,871	-
Prepaid expenses and deposits	72,959	-
Total current assets	1,793,735	16,225,022
Noncurrent assets, capital assets, net of accumulated depreciation	528,403	-
Total assets	2,322,138	16,225,022
Deferred outflows of resources, pension related amounts	476,566	-
Total assets and deferred outflows of resources	$ 2,798,704	$ 16,225,022
Liabilities		
Current liabilities:		
Accounts payable	$ 8,923	$ -
Salaries and benefits payable	294,201	-
Due to other funds	2,944	500
Claims payable	-	2,464,078
Early retirement	-	37,807
Total current liabilities	306,068	2,502,385
Noncurrent liabilities:		
Early retirement	-	10,948
Net pension liability	1,329,481	-
Total liabilities	1,635,549	2,513,333
Deferred inflows of resources, pension related amounts	323,836	-
Net position		
Investment in capital assets	528,403	-
Unrestricted	310,916	13,711,689
Total net position	839,319	13,711,689
Total liabilities, deferred inflows of resources and net position	$ 2,798,704	$ 16,225,022
Total enterprise funds net position	$ 839,319	
Amounts reported for business-type activities in the statement of net position are different because:		
Internal service funds are used by management to charge the costs of certain services to individual funds. Certain assets and liabilities of the internal service funds are included in business-type activities in the statement of net position.	770,762	
Net position of business-type activities	$ 1,610,081	

See notes to basic financial statements.

Iowa City Community School District

Statement of Revenues, Expenses and Changes in Net Position
Proprietary Funds
Year Ended June 30, 2016

	Nonmajor Enterprise Fund - School Nutrition	Internal Service Fund
Operating revenue:		
Charges for services:		
Food sales	$ 2,357,084	$ -
Internal service charges	-	10,170,580
Employee contributions	-	2,935,152
Total operating revenue	2,357,084	13,105,732
Operating expenses:		
Food consumed	2,748,147	-
Salaries and benefits	2,496,060	-
Supplies, services and repairs	336,077	-
Administration expense	60,000	-
Depreciation	52,759	-
Food and meal delivery:		
Salaries and benefits	402,536	-
Truck expenses	8,400	-
Depreciation	25,031	-
Claims, losses and administrative fees	-	14,857,216
Other	-	183,201
Total operating expenses	6,129,010	15,040,417
Operating (loss)	(3,771,926)	(1,934,685)
Nonoperating revenues:		
Federal appropriations	3,003,547	-
State appropriations	67,658	-
Federal food commodities	427,599	-
Interest income	6,803	58,410
Total nonoperating revenues	3,505,607	58,410
Changes in net position	(266,319)	(1,876,275)
Net position, beginning of year	1,105,638	15,587,964
Net position, end of year	$ 839,319	$ 13,711,689

See notes to basic financial statements.

Iowa City Community School District

Reconciliation of Changes in Net Position of Enterprise Funds to the Statement of Activities
Year Ended June 30, 2016

Net changes in net position in enterprise funds.	$	(266,319)
Amounts reported for proprietary activities in the statement of activities are different because:		
Internal service funds are used by management to charge the costs of various activities internally to individual funds. The net expense of certain activities of internal service funds is reported with business-type activities.		(60,691)
Change in net position of business-type activities	$	(327,010)

See notes to basic financial statements.

Iowa City Community School District

Statement of Cash Flows
Proprietary Funds
Year Ended June 30, 2016

	Nonmajor Enterprise Fund - School Nutrition	Internal Service Fund
Cash flows from operating activities:		
Cash received from sales of breakfasts and lunches	$ 2,357,084	$ -
Cash received from charges for service	-	10,170,580
Cash received from employees for benefits	-	2,935,152
Cash payments to suppliers for goods and services	(2,675,777)	(183,201)
Cash payments to employees for services	(2,033,641)	-
Cash payments for employee benefits	(924,525)	-
Cash payments for claims, losses and administrative fees	-	(14,601,612)
Net cash used in operating activities	(3,276,859)	(1,679,081)
Cash flows from noncapital financing activities:		
Operating grants received	3,047,352	-
Proceeds from (payments to) interfund accounts	(81,240)	3,052
Net cash provided by noncapital financing activities	2,966,112	3,052
Cash flows from capital and related financing activities, acquisition of capital assets	(87,882)	-
Cash flows from investing activities, interest on cash and cash equivalents	6,803	58,410
Net decrease in cash and cash equivalents	(391,826)	(1,617,619)
Cash and cash equivalents:		
Beginning	2,025,758	17,842,641
Ending	$ 1,633,932	$ 16,225,022
Operating (loss)	$ (3,771,926)	$ (1,934,685)
Adjustments to reconcile operating (loss) to net cash used in operating activities:		
Depreciation	77,790	-
Federal food commodities consumed	427,599	-
Change in assets and liabilities:		
Decrease in purchased inventory	4,812	-
Decrease in prepaid expenses and deposits	6,075	-
(Decrease) in accounts payable	(10,443)	-
Increase in salaries and benefits payable	38,038	-
(Decrease) in net pension liability	(48,804)	-
Increase in claims payable	-	337,015
(Decrease) in early retirement	-	(81,411)
Total adjustments	495,067	255,604
Net cash used in operating activities	$ (3,276,859)	$ (1,679,081)
Noncash item, noncapital financing activities, food commodities donated to the District from the U.S. Department of Agriculture	$ 427,599	$ -

See notes to basic financial statements.

Iowa City Community School District

Statement of Fiduciary Net Position
Fiduciary Funds
June 30, 2016

	Private Purpose Trust Fund	
	Winbigler Estate Trust Fund	Agency Funds
Assets, cash and cash equivalents	$ 71,576	$ 338,263
Liabilities, due to private individuals	27	338,263
Net Position, restricted for needs of students in need of financial assistance	$ 71,549	$ -

See notes to basic financial statements.

Iowa City Community School District

Statement of Changes in Fiduciary Net Position
Fiduciary Funds
Year Ended June 30, 2016

	Private Purpose Trust Fund
	Winbigler Estate Trust Fund
Net position held in trust, beginning of year	$ 71,549
Net position held in trust, end of year	$ 71,549

See notes to basic financial statements.

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies

Nature of operations: The Iowa City Community School District (the District) is a political subdivision of the state of Iowa and operates public schools for children in grades pre-school through twelve. The geographic area served includes the cities of Iowa City, Coralville, University Heights, Hills, and North Liberty and the surrounding predominately agricultural territory in central Johnson County. The District is governed by a Board of Education whose members are elected on a nonpartisan basis.

Reporting entity: For financial reporting purposes, the Iowa City Community School District has included all funds, organizations, agencies, boards, commissions and authorities for which the District is financially accountable. The District has also considered all potential component units for which it is financially accountable, and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board (GASB) has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body, and (1) the ability of the District to impose its will on the organization, or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on, the District. In addition, the GASB issued Statement No. 39, which sets forth additional criteria to determine whether certain organizations for which the District is not financially accountable should be reported as component units based on the nature and significance of their relationship with the District. These criteria include 1) the economic resources being received or held by the separate organization being entirely or almost entirely for the direct benefit of the District, its component units or its constituents, 2) the District being entitled to, or having the ability to otherwise access, a majority of the economic resources received or held by the Organization and 3) the economic resources received or held by an individual organization that the District is entitled to, or has the ability to otherwise access, are significant to the District. Based on these criteria, the District is considered a primary government and there are no other organizations or agencies whose financial statements should be combined and presented with these basic financial statements.

The District participates in several jointly governed organizations for which the District is not financially accountable or that the nature and significance of the relationship with the District are such that exclusion does not cause the District's financial statements to be misleading or incomplete. Among those organizations are the Johnson County Conference Board, Iowa City Conference Board, Johnson County Compensation Board and the Iowa City Assessors Examining Board.

Significant accounting policies:

Government-wide financial statements: The statement of net position and the statement of activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. However, interfund services provided and used are not eliminated in the process of consolidation. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for services.

The statement of net position presents the District's nonfiduciary assets, liabilities and deferred inflows/outflows of resources, with the difference reported as net position.

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

The statement of activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customers or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and 2) grants, contributions and interest that are restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not included among program revenues are reported instead as general revenues.

Fund financial statements: Separate financial statements are provided for governmental, proprietary and fiduciary funds, even though the latter are excluded from the government-wide financial statements. Major individual funds are reported as separate columns in the fund financial statements. Nonmajor funds are aggregated and presented in a single column.

Fund accounting: The accounts of the District are organized on the basis of funds, each of which is considered to be a separate accounting entity. The operations of each fund are accounted for by providing a separate set of self-balancing accounts which comprise its assets, liabilities, deferred inflows/outflows of resources, fund balance/net position, revenues and expenditures or expenses, as appropriate. The District has the following funds:

Governmental Fund Types: Governmental fund types are those funds through which most governmental functions typically are financed. Governmental fund reporting focuses on the sources, uses and balances of current financial resources. Expendable assets are assigned to the various governmental funds according to the purposes for which they may or must be used. Current liabilities are assigned to the fund from which they will be paid. The difference between governmental fund assets, liabilities and deferred inflows/outflows of resources is reported as fund balance. The following is the District's major governmental funds:

General Fund: is the general operating fund of the District. All general tax revenues and other receipts that are not allocated by law or contractual agreement to some other fund are accounted for in this fund. The general operating expenses of the District, including instructional, support and other costs, are paid from the fund.

Physical Plant and Equipment Levy Fund: a capital projects fund, accounts for the property taxes levied and collected by the District to be used for the purchase and improvement of grounds; purchase, construction and remodeling of buildings; and major equipment purchases.

Capital Projects Fund: a capital projects fund, is used to account for all resources restricted for the acquisition and construction of major capital facilities as authorized by the voters in the District. Revenues of the Fund primarily consist of state-wide sales taxes.

The other governmental funds of the District are considered nonmajor and are as follows:

Special Revenue Funds: Accounts for the revenue sources that are legally restricted to expenditures for specific purposes.

Management Fund: Accounts for property taxes levied and collected which are restricted for tort liability insurance premiums, unemployment compensation insurance claims and early retirement incentive payments.

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Student Activity Fund: Accounts for money held by the District which is restricted on behalf of the students who have raised these funds and are responsible for their disposition for co-curricular or extracurricular activities of the District.

Debt Service Fund: Accounts for property taxes levied and collected for the payment of general long-term debt principal, interest and related costs.

Proprietary Fund Types: Proprietary fund types are used to account for the District's ongoing operations and activities which are similar to those often found in the private sector. They are accounted for on the flow of economic resources measurement focus and use the accrual basis of accounting. Under this method, revenues are recorded when earned and expenses are recorded at the time the liabilities are incurred.

Enterprise Funds: Enterprise funds are used to account for those operations for which a fee is charged to extend users for goods and/or services. The following enterprise fund of the District is considered nonmajor.

School Nutrition Fund: Accounts for the food service operations of the District.

Internal Service Fund: The Internal Service Fund is used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis. The District's Internal Service Fund is used to account for the premium and claim payments for the self-insured health insurance and dental plan for District employees and retirees.

The District also reports the following fiduciary fund types:

Private Purpose Trust Fund: This fund is utilized to account for assets held by the District in a fiduciary capacity according to the terms of the donor's request of granting scholarships at City High School.

Agency Funds: These funds are utilized to account for assets held by the District in the fiduciary capacity as an agent on behalf of others. The Agency fund is custodial in nature (assets equal liabilities) and does not involve measurement of results of operations. The Agency funds of the District include:

Flexible benefits account: for the District's flexible benefit plan activity.

School children's aid: for providing services to at risk students at any District building.

Opportunity funds: for providing services to at risk families in two District elementary buildings.

School based health clinics: partnerships with local medical community to provide health services to at risk children.

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

The government-wide financial statements and the proprietary and fiduciary fund financial statements are reported using the “economic resources measurement focus.” The proprietary and private purpose trust fund financial statements are reported using the accrual basis of accounting. Agency funds follow the accrual basis of accounting but do not have a measurement focus as they report only assets and liabilities. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax and income surtax is recognized as revenue in the year for which it is levied and budgeted for. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the District considers revenues to be available if they are collected within 60 days after year-end.

Property tax when levied and budgeted for, other taxes and intergovernmental revenues when eligibility requirements have been met (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be measureable and are recognized as revenue, if available. All other revenue items are recognized only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments, early retirement payments, other postemployment benefits, pension contributions and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital financing and capital leases are reported as other financing sources.

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general resources. Thus, when program expenses are incurred, there are both restricted and unrestricted net position available to finance the program then it is the District’s policy to first apply cost-reimbursement grant resources to such programs then the general revenues.

Proprietary funds distinguish operating revenues and expenses from nonoperating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund’s principal ongoing operations. The principal operating revenues of the District’s proprietary funds are charges for services. Operating expenses for proprietary funds include the cost of sales and services, administrative expenses, depreciation on capital assets and claims. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Cash, cash equivalents and investments: The cash balances of most District funds are nonpooled and separately invested. Investments in the Iowa Schools Joint Investment Trust, nonnegotiable certificates of deposit and IPAS Education Money Market Fund are stated at amortized cost.

The IPAS Education Money Market Fund is a “money market fund” that seeks to maintain a stable net asset value of $1.00 per share. The Fund qualifies as a legal investment for the District under Iowa law.

For purposes of the statement of cash flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash and, at the date of purchase have a maturity date of no more than three months.

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Property tax and income surtax receivable: Property tax receivable is recognized on the levy or lien date, which is the date the tax asking is certified by the Board of Education.

Current year property tax receivable represents unpaid taxes related to April 2015 levy certification. Property taxes become due and collectible in September and March of the following fiscal year with a 1½ percent per month penalty for delinquent payments. This tax levy is based on January 1, 2014 assessed property valuations and is revenue for fiscal year ended June 30, 2016.

The succeeding year property tax receivable represents taxes certified by the Board of Education in April 2016. By statute, the District is required to certify its budget in April of each year for the subsequent fiscal year. The tax asking represents a lien which is effective on the first day of that calendar year. Although the succeeding year property tax receivable has been recorded, the related revenue is a deferred inflow of resources in both the government-wide and fund financial statements and will not be recognized as revenue until the year ended June 30, 2017, the year for which it is levied and budgeted for.

The income surtax receivable represents the fiscal year 2016 levy which will be collected by the District in fiscal year 2017. Although the income surtax receivable has been recorded as of June 30, 2016, the related revenue is a deferred inflow of resources in both the government-wide and fund financial statements and will not be recognized as revenue until the year ended June 30, 2017, the year for which it is levied and budgeted for.

Due from other governments: Due from other governments represent amounts due from the state of Iowa, University of Iowa, other school districts, and other various grants, reimbursements and shared revenues.

	General	Capital Projects	Nonmajor Enterprise
Due from other governments:			
Federal	$ 1,264,110	$ -	$ 29,973
State	278,495	-	-
Local option sales tax	-	2,088,780	-
Other	435,502	-	-
	$ 1,978,107	$ 2,088,780	$ 29,973

Prepaid expenses: Prepaid expenses consist primarily of insurance costs paid for the succeeding year and are recorded as prepaid expenses in both government-wide and fund financial statements on the consumption method.

Inventories: Inventories of the enterprise fund consist of food and supplies. The inventories are valued on a first-in, first-out basis, with purchased inventory valued at the lower of cost or market and government-contributed commodities valued at the acquisition value as of the date received. Unused commodities at balance sheet date are reported as inventory.

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Capital assets: Capital assets, which include land, construction-in-progress, buildings, improvements, furniture, equipment and vehicles, are reported in the applicable governmental or business-type activities columns in the government-wide statement of net position and the proprietary fund statement of net position. Capital assets are recorded at historical cost. Donated capital assets are recorded at estimated acquisition value at the date of donation. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized. Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of one year.

	Threshold
Description:	
Buildings and improvements other than buildings	$ 2,500
Furniture and equipment:	
School Nutrition Fund equipment	500
Other furniture and equipment	2,500
Vehicles	2,500

Capital assets are depreciated using the straight-line method of depreciation over the following estimated useful lives:

	Estimated Lives
Description:	
Buildings	50 years
Improvements other than buildings	20 years
Furniture and equipment:	
School Nutrition Fund equipment	12 years
Other furniture and equipment	5 years
Vehicles:	
School Nutrition Fund vehicles	5 years
Other vehicles	7 years

The District's collection of library books and other similar assets are not capitalized. These collections are unencumbered, held for public exhibition and education, protected, cared for and preserved and subject to District policy that requires proceeds from the sale of these items, if any, to be used to acquire other collection items.

Deferred outflows of resources: In addition to assets, the statement of net position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net position that applies to a future period(s) and so will not be recognized as an outflow of resources (expense/expenditure) until then. The District has two items that qualify for reporting in this category. The first is a deferred charge on refunding that results from the difference in the carrying value of refunded debt and its reacquisition price. This amount is deferred and amortized over the shorter of the life of the refunded or refunding debt. The second deferred outflow is the pension related amounts, which consists of uamortized portion of the differences between expected and actual experience, changes of assumptions, net difference between projected and actual earnings on pension plan investments, and charges in proportion and differences between District contributions and proportionate share of contributions not yet charged to pension expense and contributions from the employer after the measurement date but before the end of the employer's reporting period.

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Salaries and benefits payable: Payroll and related expenditures for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities. Incurred but unpaid payroll expense for all employees as of June 30, 2016, has also been accrued as a liability as of June 30, 2016.

Unearned revenue: Unearned revenue consists of unspent grant proceeds that have not yet been earned as allowable costs have not been incurred.

Deferred inflows of resources: In addition to liabilities, the statement of net position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of net position that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. The governmental funds report unavailable revenues from three sources: property taxes, income surtax and sales tax. These amounts are deferred and recognized as an inflow of resources in the period that the amounts become available.

In the District's government-wide statements, the property tax and income surtax revenues remain a deferred inflow and will become an inflow in the year for which the taxes are levied and budgeted for. The District's government-wide statements also includes pension related amounts as a deferred inflow which consist of the unamortized portion of the net difference between projected and actual earnings on pension plan investments and the change in proportion and differences between District contributions and proportionate share of contributions.

Compensated absences: District employees with a contract of 200 days or more accumulate a limited amount of earned but unused vacation for subsequent use or for payment upon termination, death or retirement. A liability is recorded when incurred in the government-wide financial statements. A liability for these amounts is reported in governmental funds only for employees that have resigned or retired which is considered due. The compensated absences liability has been computed based on rates of pay in effect as of June 30, 2016. The compensated absences liability attributable to the governmental activities will be paid primarily by the General Fund.

Self-insurance: The District is self-insured for health and dental benefits. The District's premiums and claims are accounted for in the Internal Service Fund. Premiums are charged by the Internal Service Fund to operating funds based upon number of employees and selected coverage in each fund.

Long-term liabilities: In the governmental fund financial statements, principal and interest on long-term debt, early retirement payments, other postemployment benefits and compensated absences are recognized as liabilities only when payment has matured, or becomes due. The face amount of debt issued is reported as other financing sources. Premiums/discounts received on debt issuances are reported as other financing sources/uses. Principal payments and bond issuance costs are reported as debt service expenditures. In the government-wide financial statements, long-term debt and other long-term obligations are reported as liabilities in the governmental activities column in the statement of net position. As of June 30, 2016, the District did not have any long-term obligations related to its business-type activities. Bond premiums and deferred amounts on refunding are amortized over the life of the contracts using a method which approximates the effective interest method. Bond issuance costs are recognized as an expense in the period they are incurred.

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Pensions: The net pension liability, deferred inflows and outflows of resources related to pensions, pension expense, information about the fiduciary net position of the Iowa Public Employees Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Fund balance: In the governmental fund financial statements, fund balances are classified as follows:

Nonspendable: Amounts which cannot be spent either because they are in a nonspendable form or because they are legally or contractually required to be maintained intact.

Restricted: Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Committed: Amounts which can be used only for specific purposes pursuant to constraints formally imposed by the District's Board of Education through resolution approved prior to year-end. Those committed amounts cannot be used for any other purpose unless the Board of Education removes or changes the specified use by taking the same action it employed to commit those amounts through resolution.

Assigned: Amounts constrained by the District's intent to use them for a specific purpose. It is the District's policy that the authority to assign fund balance has been delegated by the District's Board of Education to the Chief Financial Officer through the budget process.

Unassigned: All amounts not included in other spendable classifications. The General Fund is the only fund that would report a positive amount in unassigned fund balance. Residual deficit amounts of other governmental funds would also be reported as unassigned.

When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy is to pay the expenditure from restricted fund balance and then from less-restrictive classifications – committed, assigned and then unassigned fund balances.

Net position: Net position represent the difference between assets plus deferred outflows of resources and liabilities plus deferred inflows of resources. Net investment in capital assets consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction or improvement of those assets and also excludes unspent debt proceeds. Unspent debt proceeds for sales tax revenue bonds are $30,457,180 for governmental activities. Net position is reported as restricted when there are limitations imposed on their use either through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors or laws or regulations of other governments.

Net position restricted through enabling legislation consists of $31,557,048 for the capital improvements and equipment.

The District first applies restricted resources when an expense is incurred for purposes for which both restricted and unrestricted net position are available.

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Interfund activity: Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after nonoperating revenues/expenses in proprietary funds. Repayments from funds responsible for particular expenditures/expenses to the funds that initially paid for them are not presented on the financial statements.

Activity between funds that are representative of lending/borrowing arrangements at the end of the fiscal year are referred to as “due to/from other funds” in the fund financial statements. Any residual balances outstanding between the governmental activities and business-type activities are reported in the government-wide financial statements as “internal balances.”

Estimates: The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Budgets and budgetary control: As allowed by GASB Statement No. 41, *Budgetary Comparison Schedules – Perspective Differences*, the District presents budgetary comparison schedules as required supplementary information based on the program structure of functional areas as required by state statute for its legally adopted budget.

Note 2. Cash and Investments

Interest rate risk: As a means of limiting its exposure to fair value losses arising from rising interest rates, the District’s investment policy requires operating funds to be invested in investments that mature within 397 days or less. When investing other than operating funds, the investments must mature according to the needs of the funds. Operating funds of the District are funds which are reasonably expected to be used during a current budget year or within 15 months of receipt.

Credit risk: The Board authorizes the District to invest funds in excess of current needs in interest-bearing savings, money market and checking accounts at the District’s authorized depositories; the Iowa Schools Joint Investment Trust Program; obligations of the United States governments, its agencies and instrumentalities; and certificates of deposit and other evidences of deposit at federally insured Iowa depository institutions. The IPAS Education Money Market Fund is not rated. The Iowa Schools Joint Investment Trust is rated Aaa with Moody’s Investor Services. The District’s policy does not further limit the District’s investments in relation to credit risk.

The IPAS Education Money Market Fund and Iowa Schools Joint Investment Trust are valued at an amortized cost based on the criteria set forth in GASB No. 79.

Note 2. Cash and Investments (Continued)

Concentration of credit risk: The District's general investment policy is to apply the prudent-person rule. In making investments, the District shall exercise the care, skill, prudence and diligence under the circumstances that a prudent person acting in a like capacity and familiar with such matters would use to meet the goals of the investment program.

The investments in Iowa Schools Joint Investment Trust and IPAS Education Money Market Fund are not subject to concentration of credit risk.

Custodial credit risk: For deposits, custodial credit risk is the risk that in the event of a bank failure, the government's deposits may not be returned to it. For an investment, custodial credit risk is the risk that in the event of the failure of the counterparty, the District will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party.

It is the District's policy to require that time deposits in excess of FDIC insurable limits be secured by collateral or private insurance to protect public deposits in a single financial institution if it were to default. Chapter 12c of the Code of Iowa requires all District funds be deposited into an approved depository and be either insured or collateralized.

As of June 30, 2016, none of the District's deposit bank balance or investments were exposed to custodial credit risk. The District's deposits with financial institutions were entirely covered by federal depository insurance or insured by the state through pooled collateral, state sinking funds and by the state's ability to assess for lost funds. In addition, the District's investments were not insured but were held by the District or its Agent in the District's name.

A reconciliation of cash and investments as shown on the financial statements of the District follows:

Depository accounts	$ 64,596,235
Iowa Schools Joint Investment Trust	3
IPAS Education Money Market Fund	27,526,120
Total cash, cash equivalents and investments	$ 92,122,358
Government-wide statement of net position - unrestricted	$ 86,125,314
Government-wide statement of net position - restricted	5,587,205
Statement of fiduciary net position	409,839
Total cash, cash equivalents and investments	$ 92,122,358

Note 3. Interfund Receivables and Payables

Individual interfund receivable and payable balances as of June 30, 2016, are as follows:

Receivable Fund	Payable Fund	Amount
Major Fund, General Fund	Nonmajor Enterprise Fund, School Nutrition Fund	$ 2,944
Major Fund, General Fund	Major Fund, Physical Plant and Equipment Levy Fund	6,185
Major Fund, Capital Project Fund	Major Fund, General Fund	571,353
Major Fund, General Fund	Nonmajor Fund, Management Fund	1,503
Nonmajor Fund, Student Activity Fund	Major Fund, General Fund	89,648
Major Fund, General Fund	Internal Service Fund	500
		$ 672,133

Interfund balances result from the time lag between the dates that (1) interfund goods and services are provided or reimbursable expenditures occur, (2) transactions are recorded in the accounting system and (3) payments between funds are made.

Note 4. Interfund Transfers

Detail of interfund transfers for the year ended June 30, 2016, is as follows:

Transfer To	Transfer From	Amount
Nonmajor Governmental Funds:		
Special Revenue Fund, Student Activity	Major Fund, General Fund	$ 172,000
Debt Service	Major Fund, Capital Projects Fund	5,582,103
Debt Service	Major Fund, Physical Plant and Equipment Levy	975,212
		$ 6,729,315

Transfers are used to (1) move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them and (2) use unrestricted revenues collected in the General Fund to finance various programs accounted for in other funds in accordance with budgetary authorization.

Note 5. Capital Assets

Capital assets activity for the year ended June 30, 2016, is as follows:

	Balance, Beginning of Year	Increases	Decreases	Balance, End of Year
Governmental Activities:				
Capital assets not being depreciated:				
Land	$ 8,941,759	$ 6,202	$ -	$ 8,947,961
Construction-in-progress	40,010,055	43,905,848	26,806,471	57,109,432
Total capital assets not being depreciated	48,951,814	43,912,050	26,806,471	66,057,393
Capital assets being depreciated:				
Buildings	192,119,570	38,858,551	-	230,978,121
Improvements other than buildings	17,424,727	2,315,206	-	19,739,933
Furniture, equipment and vehicles	20,348,671	1,335,732	170,635	21,513,768
Total capital assets being depreciated	229,892,968	42,509,489	170,635	272,231,822
Less accumulated depreciation for:				
Buildings	59,462,806	4,483,367	-	63,946,173
Improvements other than buildings	6,381,068	778,409	-	7,159,477
Furniture, equipment and vehicles	18,431,983	897,709	164,724	19,164,968
Total accumulated depreciation	84,275,857	6,159,485	164,724	90,270,618
Total capital assets being depreciated, net	145,617,111	36,350,004	5,911	181,961,204
Governmental activities capital assets, net	$ 194,568,925	$ 80,262,054	$ 26,812,382	$ 248,018,597
Business-Type Activities:				
Furniture, equipment and vehicles	$ 1,474,555	$ 87,882	$ -	$ 1,562,437
Less accumulated depreciation	956,244	77,790	-	1,034,034
Business-type activities capital assets, net	$ 518,311	$ 10,092	$ -	$ 528,403

Note 5. Capital Assets (Continued)

Depreciation expense was charged by the District as follows:

Governmental activities:	
Instruction:	
Regular	$ 3,954,184
Special	387,098
Other	516,898
Support services:	
Administration services	909,256
Operation and maintenance	356,988
	6,124,424
Unallocated depreciation, excluding direct depreciation	35,061
Total governmental activities depreciation expense	$ 6,159,485
Business-type activities, nutritional services	$ 77,790

Note 6. Long-Term Liabilities

Changes in long-term liabilities for the year ended June 30, 2016, are summarized as follows:

	Balance Beginning of Year	Additions	Reductions	Balance End of Year	Due Within One Year
Governmental activities:					
General obligation bonds	$ 9,345,000	$ -	$ 3,025,000	$ 6,320,000	$ 3,115,000
Capital loan notes	8,630,000	-	800,000	7,830,000	815,000
Premium on general obligation bonds	521,080	-	207,840	313,240	-
Sales tax revenue bonds	-	60,030,000	3,950,000	56,080,000	3,305,000
Premium on sale tax revenue bonds	-	4,694,294	422,042	4,272,252	-
Early retirement	1,367,353	2,072,779	1,318,598	2,121,534	2,110,586
Other postemployment benefits	1,876,000	1,060,683	367,000	2,569,683	-
Net pension liability	52,732,793	10,998,093	-	63,730,886	-
Compensated absences	546,938	1,184,324	980,746	750,516	750,516
Total	$ 75,019,164	$ 80,040,173	$ 11,071,226	$ 143,988,111	$ 10,096,102
Business-type activities, net pension liability	$ 1,092,971	$ 236,510	$ -	$ 1,329,481	$ -

Note 6. Long-Term Liabilities (Continued)

Early retirement: The District provided early retirement incentives for certain employees who met certain qualifications as established by the Board of Education. The cost of the incentives is borne by the District in whole. Eligible participants cannot, and do not, contribute to the incentive program.

Early retirement participation is based on the following criteria:

1. It is available to employees who are at least 55 years of age. The Board of Directors reserves the right to limit the number of early retirements.
2. The employee has completed at least ten (10) years of service to the District and has been actively employed during the school year that they request early retirement benefits.
3. The employee must be eligible for the receipt of IPERS retirement benefits or allowance pursuant to Chapter 97B of the Code of Iowa.
4. The employee submits a written notification of their intent to apply for early retirement benefits prior to March 1 in the year the early retirement is to begin.
5. The benefits offered to District employees shall be a District contribution to a Special Pay Deferral Plan (SPDP) of 50 – 60 percent of current year's base salary depending on years of service and calculated on the average full time equivalence (FTE) during the years of service.

During the year ended June 30, 2016, 47 District employees requested early retirement, to be payable during the year ending June 30, 2017. The benefits to be paid to these employees will be made in October 2016 and January 2017 and the total of $2,072,779 are generally liquidated from the Management Fund. During the year ended June 30, 2016, the District paid $1,318,598 of early retirement benefits approved during the year ended June 30, 2015 from the Management Fund. In addition, $48,756 of insurance benefits is accrued in the Health Self Insurance Internal Service Fund.

Compensated absences: Compensated absences are generally liquidated by the General Fund. The District's liability for compensated absences is expected to be utilized or paid out within one year.

Bonds payable: Details of the District's general obligation bond indebtedness as of June 30, 2016 are as follows:

On March 29, 2012, the District issued $4,480,000 in General Obligation Refunding Bonds, Series 2012A maturing June 1, 2013 through June 1, 2018 with an interest rate of 2 percent to currently refund the $4,630,000 balance of the previously issued General Obligation Bonds, Series 2003 with interest rates from 3.400 percent to 3.875 percent.

	General Obligation Refunding Bonds - Series 2012A		
Year ending June 30,	Interest Rates	Principal	Interest
2017	2.00%	$ 760,000	$ 30,800
2018	2.00	780,000	15,600
		$ 1,540,000	$ 46,400

Note 6. Long-Term Liabilities (Continued)

On March 29, 2012, the District issued $11,410,000 in General Obligation Refunding Bonds, Series 2012B maturing June 1, 2014 through June 1, 2018 with an interest rate of 3 percent to advance refund, on June 1, 2013, $12,000,0000 of the outstanding General Obligation Bonds, Series 2004 with interest rates at 4.00 percent. The net proceeds related to the partial refunding of $12,376,759 were used to purchase U.S. government securities. Those securities were deposited in an irrevocable trust with an escrow agent to provide for all future debt service payments on the General Obligation Bonds, Series 2004 being refunded.

	General Obligation Refunding Bonds - Series 2012B		
Year ending June 30,	Interest Rates	Principal	Interest
2017	3.00%	$ 2,355,000	$ 143,400
2018	3.00	2,425,000	72,750
		$ 4,780,000	$ 216,150

On December 3, 2014, the District issued $9,430,000 in General Obligation School Capital Loan Notes, Series, 2014, maturing June 1, 2015 through June 1, 2025 with a interest rates of 2.00 – 2.25 percent to provide funds to purchase, construct, equip and relocate the One Vision Transitional Schoolhouse; remodel, improve, furnish, and equip Van Allen Elementary; install air-conditioning in and renovate Hoover Elementary; remodel, improve, furnish, and equip Hills Elementary, Weber Elementary and Coralville Central Elementary; Phase I renovation of City High School; and construct, build, furnish and equip East (Hoover) Elementary School. The Notes are general obligations of the District to be paid from a continuing annual levy upon all of the taxable valuation not to exceed one dollar thirty-four cents ($1.34) per one thousand dollars ($1,000).

	Capital Loan Notes, Series 2014		
Year ending June 30,	Interest Rates	Principal	Interest
2017	2.00%	$ 815,000	$ 158,963
2018	2.00	825,000	142,663
2019	2.00	835,000	126,163
2020	2.00	845,000	109,463
2021	2.00	865,000	92,562
2022	2.00	880,000	75,262
2023	2.00	900,000	57,662
2024	2.00	920,000	39,662
2025	2.25	945,000	21,262
		$ 7,830,000	$ 823,662

Note 6. Long-Term Liabilities (Continued)

On August 25, 2015, the District issued $60,030,000 in Sales Tax Revenue Bonds, maturing June 1, 2016 through June 1, 2029 with interest rates of 3.00 – 5.00 percent to provide funds to build, furnish and equip a new high school building; to build, furnish, and equip addition(s) to existing school buildings in the District; to remodel, repair, expand and improve existing school buildings in the District. The Bonds are not general obligations of the District. The Bonds are payable solely from the proceeds of the Bonds and tax revenues received by the District under the tax.

The District has pledged a portion of future sales tax revenues to repay $60,030,000 million in sales tax increment bonds issued in August, 2015 noted above. The bonds are payable solely from the incremental sales taxes generated by increased sale taxes in the District. Total principal and interest remaining on the bonds is $72,598,928, payable through 2029. For the current year, principal and interest paid and total incremental sales tax revenues were $5,581,853 and 12,815,660, respectively.

	Sales Tax Revenue Bonds, Series 2015		
Year ending June 30,	Interest Rates	Principal	Interest
2017	3.00%	$ 3,305,000	$ 2,280,305
2018	4.00	3,405,000	2,181,155
2019	5.00	3,540,000	2,044,955
2020	5.00	3,715,000	1,867,955
2021	5.00	3,900,000	1,682,205
2022	5.00	4,100,000	1,487,205
2023	5.00	4,300,000	1,282,205
2024	5.00	4,515,000	1,067,205
2025	3.00	4,745,000	841,455
2026	3.25	4,885,000	699,105
2027	3.50	5,045,000	540,343
2028	3.50	5,220,000	363,768
2029	3.35	5,405,000	181,067
		$ 56,080,000	$ 16,518,928

As of June 30, 2016, the District did not exceed its legal debt margin computed as follows:

Total assessed valuation	$ 8,821,177,161
Debt limit, 5% of total assessed valuation	$ 441,058,858
Amount of debt applicable to debt limitation, general obligation bonds and capital loan notes	14,150,000
Excess of debt limit over debt outstanding, legal debt margin	$ 426,908,858

Note 7. Pension and Retirement Benefits

Plan description: Employees of the District are provided with pensions through the Iowa Public Employees Retirement System (IPERS)—a cost-sharing multiple-employer defined benefit pension plan administered by the State of Iowa. IPERS provides retirement and death benefits which are established by State statute to plan members and beneficiaries. IPERS issues a publicly available financial report that includes financial statements and required supplementary information. The report may be obtained by writing to IPERS, P.O. Box 9117, Des Moines, Iowa, 50306-9117.

Benefits provided: IPERS provides retirement, disability, and death benefits. Retirement benefits are determined based on the employee's highest five-year average salary and a multiplier based on the years of service. Employees are eligible for full retirement at age 65; at age 62 with at least 20 years of covered employment or when the years of service plus the employee's age equals or exceeds 88. Four years of service is required for nonservice-related disability eligibility. Disability benefits are determined in the same manner as retirement benefits but are payable immediately without an actuarial reduction. Death benefits are calculated based on the actuarial present value of the employee's accrued benefit at the time of death or a calculation based on the employee's contributions, highest covered annual wage and years of service.

Contributions: Per Iowa Code Section 97B.4(4)(d) the required contribution rate is determined by the IPERS actuary as the rate necessary to fully fund the benefits as defined by Iowa Code Chapter 97B. Employees are required to contribute 5.95 percent of their annual pay. The District contractually required contribution rate for the year ended June 30, 2016, was 8.93 percent of annual payroll, actuarially determined as an amount that, when combined with employee contributions, is expected to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability. Contributions to the pension plan from the District were $8,527,680 for the year ended June 30, 2016.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions: At June 30, 2016, the District reported a liability of $65,060,367 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2015, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating governments, actuarially determined. At June 30, 2015, the District's proportion was 1.32 percent. Net pension liability attributable to governmental activities are generally liquidated by the general fund and management fund.

Note 7. Pension and Retirement Benefits (Continued)

For the year ended June 30, 2016, the District recognized pension expense of $5,434,190. At June 30, 2016, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 982,981	$ -
Changes of assumptions	1,791,275	-
Net difference between projected and actual earnings on pension plan investments	9,734,320	(15,149,048)
Changes in proportion and differences between District contributions and proportionate share of contributions	2,285,278	(698,390)
Total deferred amounts to be recognized in pension expense in future periods	14,793,854	(15,847,438)
District contributions subsequent to measurement date	8,527,680	-
Total	$ 23,321,534	$ (15,847,438)

Deferred pension outflows totaling $8,527,680 resulting from the District contributions subsequent to the measurement date, will be recognized as a reduction of the net pension liability in the year ended June 30, 2017. The deferred outflows and deferred inflows resulting from the difference between projected and actual earnings on pension plan investments will be recognized as a reduction of pension expense over five years. The deferred outflows resulting from differences between expected and actual experience, the deferred outflows resulting from changes of assumptions and the deferred outflows and deferred inflows resulting from changes in proportion and differences between District contributions and proportionate share of contributions will be recognized in pension expense using the average expected remaining service lives of all IPERS members. The average is determined by taking the calculated total future service years of the Plan divided by the number of the people in the Plan including retirees. Deferred outflows of resources and deferred inflows of resources will be recognized in pension expense as follows:

Year ending June 30:	Deferred Outflows of Resources	Deferred Inflows of Resources
2017	$ 3,938,117	$ (5,213,623)
2018	3,938,117	(5,213,623)
2019	3,938,117	(5,213,623)
2020	2,946,432	(163,941)
2021	33,071	(42,628)
	$ 14,793,854	$ (15,847,438)

Note 7. Pension and Retirement Benefits (Continued)

Actuarial assumptions: The total pension liability was determined by an actuarial valuation as of June 30, 2015, using the following actuarial assumptions, applied to all periods included in the measurement:

Inflation	3.00 percent
Salary increases	4.00 to 17.00 percent, average, including inflation.
Investment rate of return	7.50 percent, net of pension plan investment expense, including inflation

Mortality rates were based on the RP-2000 Combined Mortality Table for Males or Females, as appropriate, with adjustments for mortality improvements based on Scale AA.

The actuarial assumptions used in the June 30, 2015 valuation were based on the results of an actuarial experience study for the four-year period ending June 30, 2014.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
U.S. equity	24%	6.29%
Non U.S. equity	16	6.75
Private equity	11	11.32
Real estate	8	3.48
Core plus fixed income	28	2.04
Credit opportunities	5	3.63
TIPS	5	1.91
Other real assets	2	6.24
Cash	1	(0.71)
	100%	

Discount rate: The discount rate used to measure the total pension liability was 7.50 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the current contribution rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Note 7. Pension and Retirement Benefits (Continued)

Sensitivity of the District's proportionate share of the net pension liability to changes in the discount rate: The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.50 percent, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.50 percent) or 1-percentage-point higher (8.50 percent) than the current rate:

	1% Decrease (6.50%)	Discount Rate (7.50%)	1% Increase (8.50%)
District's proportionate share of the net pension liability	$ 113,908,998	$ 65,060,367	$ 23,828,618

Pension plan fiduciary net position: Detailed information about the pension plan's fiduciary net position is available in the separately issued IPERS financial report; which can be located at www.ipers.org.

Payables to the pension plan: At June 30, 2016, the District reported payables to the defined benefit pension plan of $1,745,686 for legally required employer contributions and legally required employee contributions which had been withheld from employee wages but not yet remitted to IPERS.

Note 8. Risk Management

The Iowa City Community School District is exposed to various risks of loss related to torts, theft, damage to and destruction of assets, errors and omissions, injuries to employees and natural disasters.

Workers' Compensation, Property, General Liability and Other Insurance: The District is a member of the Iowa Public School Insurance Program (IPSIP), a public entity risk pool formed in July of 2012 between certain Iowa school districts, created in accordance with Chapter 28E of the Code of Iowa. The purpose of IPSIP is to jointly provide or obtain casualty, property, employer liability, general liability, risk management, professional liability, group coverage and other protections so as to effectively manage and contain costs for insurance coverage and related administration. IPSIP has 19 members as of July 1, 2015. IPSIP is governed by an eleven-member board of directors elected by the members of IPSIP. The District has no direct control over budgeting, financing, the governing body or management selection.

IPSIP is not intended to function as an insurance company for the participants; rather, it is a means of combining the administration of claims and of obtaining lower insurance rates through the creation of a self-insurance pool and through the purchase of commercial insurance. The District's participation in IPSIP represents a risk-sharing pool as defined by GASB Statement No. 10 in which the District pools its risks and funds with other members and shares in the cost of losses. The District is required to make annual payments, which are determined by IPSIP, based upon its direct proportion to the pro rata share of insurance costs for coverage administered by IPSIP. IPSIP may require the participating Districts to make supplemental payments if the funds on hand are insufficient to pay expenses of the administration of IPSIP. The District was not required to make any supplemental payments to IPSIP in fiscal years 2016 or 2015. Payments to IPSIP by the District in order to maintain adequate insurance coverage in fiscal year 2016 was $1,181,458.

Note 8. Risk Management (Continued)

Employee Health Insurance: During the year ended June 30, 2016, employees of the District were covered by the District's health and dental self-insurance plan. The contributions made by the District are part of the negotiated agreements with specific employee groups. Employees authorize payroll withholdings to pay contributions for dependents or increased coverage. Claims were paid by a third-party administrator acting on behalf of the District. The plans are authorized by Chapter 509A of the Code of Iowa.

The administrative contract between the District and the third-party administrator is renewable annually and administrative fees and stop loss premiums are included in the contractual provisions. In accordance with state statute, the District was protected against unanticipated catastrophic individual or aggregate loss by stop loss coverage from a private insurance company. Stop loss coverage was in effect for individual claims that exceeded $250,000 and for an aggregate amount of 125 percent of expected claims.

All claim handling procedures are performed by an independent claims administrator. Liabilities are recognized when it is probable that a loss has occurred and the amount of the loss can be reasonably estimated. Recognized liabilities include a provision for all estimated claims incurred but not reported. Changes in the medical claims liability amounts for the years ended June 30, 2016 and 2015 were as follows:

Self-Insurance Liability	Beginning	Claims and Changes in Estimates	Claims Payments	Ending
Health:				
2016	$ 2,127,062	$ 14,092,548	$ 13,755,532	$ 2,464,078
2015	2,027,725	12,251,977	12,152,640	2,127,062

Note 9. Area Education Agency

The District is required by the Code of Iowa to budget for its share of media, educational services and special education services provided through the Area Education Agency. The District's actual amount for this purpose totaled $5,654,082 for the year ended June 30, 2016. The District's actual constructive revenue and constructive expenses are included in the General Fund.

Note 10. Commitments

As of June 30, 2016, the District had outstanding construction commitments totaling approximately $46,579,003.

Note 11. Nonvested Employee Benefits

District employees accumulate sick leave hours for subsequent use and can be carried over in limited amounts for use in future years. The contingent liability for this sick leave is approximately $30,000,000 as of June 30, 2016. This liability does not vest and is not included as a liability in the statement of net position. This contingent liability has been computed based on rates of pay as of June 30, 2016.

Note 12. Lease Commitments

The District leases several special education classrooms as of June 30, 2016. Rental expense during the year ended June 30, 2016 was $48,112.

Lease commitments as of June 30, 2016, for these leases are as follows:

Year ending June 30:	
2017	$ 13,499

Note 13. Contingencies

As of June 30, 2016, the District is involved in various claims and lawsuits against the District that arise in the normal course of operations, which are covered by insurance. The outcome and eventual liability of the District, if any, from these claims and any unasserted claims is not known at this time; however, management does not believe they will be material to the basic financial statements.

Note 14. Jointly Governed Organization

The District is a member of a cooperative agreement with the City of Coralville, Iowa organized under 28E of the Code of Iowa to provide for the operation of a joint swimming pool facility. The mayor of the City of Coralville, Iowa is designated as the administrator of the agreement. Under the agreement, the District is responsible for 30 percent of the City's costs and expenses in operating and maintaining the facility payable monthly throughout the year. For the fiscal year 2016, monthly payments were approximately $7,704 per month, which were paid from the General Fund.

Note 15. Other Postemployment Benefits (OPEB)

Plan description: As required under Iowa Code Chapter 509A-3, the District provides postemployment health benefits through a single employer defined benefit plan. Health benefits include medical, prescription drug and dental. The benefits are provided until the participant is Medicare eligible, are self-insured by the District and administered through First Administrators, Inc. The District does not offer any voluntary postretirement benefits. The plan does not issue a stand-alone financial report.

All participants of the postemployment medical, dental and prescription drug plan are required to contribute an amount equal to the premium equivalent. Since the premium equivalent is developed from the claims experience of active employee and retiree lives, an implicit subsidy is provided to retirees and their spouses. The implicit subsidy results from a lower premium equivalent to what a retiree would otherwise pay had the claims experience been based just on retiree health claims.

Note 15. Other Postemployment Benefits (OPEB) (Continued)

Funding policy: The current funding policy of the District is to pay health claims as they occur. This arrangement does not qualify as OPEB plan assets under Governmental Accounting Standards Board (GASB) Statement No. 43. The District establishes and amends contribution requirements annually.

The required contribution is based on projected pay-as-you-go financing. For fiscal year 2016, the District contributed $367,000. Contributions are required for both retiree and dependent coverage. The active and retiree premium equivalents effective July 1, 2016, are provided in the tables below:

Medical Benefit:	
Rate Tier:	
Retiree only	$ 630.00
Retiree + Family	1,310.00
Dental Benefit:	
Rate Tier:	
Retiree only	30.00
Retiree + Family	90.00

Other postemployment obligations are generally liquidated by the general fund and management fund.

Annual OPEB cost and net OPEB obligation: The District's annual OPEB cost (expense) is calculated based on the annual required contribution (ARC) of the employer, an amount actuarially determined in accordance to the parameters of GASB Statement No. 45. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover the normal cost each year and amortize any unfunded actuarial liabilities over a period not to exceed 30 years. The following table shows the components of the District's annual OPEB cost for the year, the amount actuarially contributed to the plan and changes in the District's annual OPEB obligation:

Annual required contribution	$ 895,000
Interest on net OPEB obligation	84,420
Adjustment to annual required contribution	81,263
Annual OPEB cost (expense)	1,060,683
Contributions and payments made	367,000
Increase in net OPEB obligation	693,683
Net OPEB obligation July 1, 2015	1,876,000
Net OPEB obligation June 30, 2016	$ 2,569,683

The District's annual OPEB cost, the percentage of annual OPEB cost contributed to the plan and the net OPEB obligations for 2016 and the two preceding years follows:

Fiscal Year Ended	Annual OPEB Cost	Percentage of Annual OPEB Cost Contributed	Net OPEB Obligation
6/30/14	$ 710,693	55%	$ 1,341,693
6/30/15	901,307	41	1,876,000
6/30/16	1,060,683	35	2,569,683

Note 15. Other Postemployment Benefits (OPEB) (Continued)

Funded status and funding progress: As of July 1, 2014, the most recent valuation date, the plan was 0 percent funded. The actuarial accrued liability for benefits was $6,243,000 and the actuarial value of assets is none resulting in an unfunded actuarial accrued liability (UAAL) of $6,243,000. The covered payroll (annual payroll of active employees covered by the plan) was $97,549,465 and the ratio of the UAAL to the covered payroll was 6.4 percent.

Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality and the health care cost trend. Amounts determined regarding the funded status of the plan and annual required contributions of the employer are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future. The schedule of funding progress, presented as required supplementary information following the notes to the financial statements, presents multi-year trend information about whether the actuarial value of plan assets is increasing or decreasing over time relative to the actuarial accrued liability.

Actuarial methods and assumptions: Projections of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by the employer and the plan members) and included in the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and plan members to that point. The actuarial methods and assumptions used include techniques that are designed to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

In the July 1, 2014, actuarial valuation, the projected unit credit method was used. The actuarial assumptions included a 4.0 percent investment rate of return, health care cost trend rate of 8 percent reduced 0.5 percent each year until reaching the ultimate rate of 4.5 percent and an inflation rate of 3.5 percent each year. The UAAL is being amortized as level percentage of projected payroll on the open basis. The amortization of UAAL is over a period of 30 years.

Note 16. Fund Balances

GASB Statement No. 54, *Fund Balance Reporting and Governmental Fund Type Definitions,* establishes criteria for classifying fund balances into specifically defined classifications. The details for the District's fund balances are as follows:

Fund Balances:	General	Physical Plant and Equipment Levy	Capital Projects	Nonmajor Governmental	Total
Nonspendable, prepaids	$ 1,127,628	$ -	$ 1,310	$ -	$ 1,128,938
Restricted:					
Categorical funding:					
Gifted and talented program	426,571	-	-	-	426,571
Home school assistance program	773,886	-	-	-	773,886
Supplemental weighting	89,140	-	-	-	89,140
Drop out prevention	592,403	-	-	-	592,403
State preschool	73,400	-	-	-	73,400
Beginning Teacher	25,058	-	-	-	25,058
Teacher salary supplement	612,276	-	-	-	612,276
Teacher quality market factor	18,312	-	-	-	18,312
State class size reduction	55,000	-	-	-	55,000
Rec Ed programs	126	-	-	-	126
State mentoring	14,140	-	-	-	14,140
Early Literacy	155,551	-	-	-	155,551
Teacher quality-core curriculum	193,283	-	-	-	193,283
Teacher leadership program	441,425	-	-	-	441,425
Teacher quality	391,730	-	-	-	391,730
Teacher quality market factor 2008	6,245	-	-	-	6,245
IDEA Part B funding	44,527	-	-	-	44,527
Perkins vocational program	35,154	-	-	-	35,154
Other	15,236	-	-	-	15,236
Debt service	-	-	-	212,235	212,235
Management levy purposes	-	-	-	1,991,707	1,991,707
Student activities	-	-	-	1,130,200	1,130,200
Capital improvements and equipment	-	4,851,589	26,005,459	-	30,857,048
Total restricted	3,963,463	4,851,589	26,005,459	3,334,142	38,154,653
Unassigned	15,339,260	-	-	-	15,339,260
Total fund balances	$ 20,430,351	$ 4,851,589	$ 26,006,769	$ 3,334,142	$ 54,622,851

Note 17. Pending Governmental Accounting Standards Board (GASB) Statements

As of June 30, 2016, the GASB had issued several Statements not yet implemented by the District. The Statements which may impact the District are as follows:

GASB Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*, issued in June 2015, will be effective for the District beginning with its fiscal year ending June 30, 2018. The Statement replaces the requirements of GASB Statement No. 45, *Accounting and Financial Reporting by Employers for Postemployment Benefits Other Than Pensions* and requires governments to report a liability on the face of the financial statements for the OPEB they provide and outlines the reporting requirements by governments for defined benefit OPEB plans administered through a trust, cost-sharing OPEB plans administered through a trust and OPEB not provided through a trust. The Statement also requires governments to present more extensive note disclosures and required supplementary information about their OPEB liabilities. Some governments are legally responsible to make contributions directly to an OPEB plan or make benefit payments directly as OPEB comes due for employees of other governments. In certain circumstances, called special funding situations, the Statement requires these governments to recognize in their financial statements a share of the other government's net OPEB liability.

GASB Statement No. 77, *Tax Abatement Disclosures,* issued August 2015, will be effective for the District beginning with its fiscal year ending June 30, 2017. This statement requires governments to disclose information about their own tax abatements separately from information about tax abatements that are entered into by other governments and reduce the reporting government's tax revenues. The disclosures about the government's own tax abatement agreements includes the purpose of the tax abatement program, the tax being abated, the amount of tax being abated, the provisions of recapturing abated taxes, the types of commitments made by tax abatement recipients, and other commitments made by government in tax abatement agreements. The disclosures about tax abatements that are entered into by other governments and reduce the reporting government's tax revenues includes the name of the government entering into the abatement agreement, the tax being abated, and the amount of the reporting government's tax being abated.

GASB Statement No. 82, *Pension Issues*, issued April 2016, will be effective for the District beginning with its fiscal year ending June 30, 2017. Statement No. 82 is designed to improve consistency in the application of the pension standards by clarifying or amending related areas of existing guidance with respect to Statements No. 67, *Financial Reporting for Pension Plans,* No. 68, *Accounting and Financial Reporting for Pensions,* and No. 73, *Accounting and Financial Reporting for Pensions and Related Assets That Are Not within the Scope of GASB Statement 68, and Amendments to Certain Provisions of GASB Statements 67 and 68.* Specifically, this Statement addresses issues regarding (1) the presentation of payroll-related measures in required supplementary information, (2) the selection of assumptions and the treatment of deviations from the guidance in an Actuarial Standard of Practice for financial reporting purposes, and (3) the classification of payments made by employers to satisfy employee (plan member) contribution requirements.

The District's management has not yet determined the effect these Statements will have on the District's financial statements.

Iowa City Community School District

Required Supplementary Information
Schedule of the District's Proportionate Share of the Net Pension Liability
Iowa Public Employees' Retirement System

	June 30, 2015	June 30, 2014
District's proportion of the net pension liability	1.3168825%	1.3572122%
District's proportionate share of the net pension liability	$ 65,060,367	$ 53,825,764
District's covered-employee payroll	90,210,145	88,810,145
District's proportionate share of the net pension liability as a percentage of its covered payroll	72.12%	60.61%
Plan fiduciary net position as a percentage of the total pension liability	85.19%	87.61%

Note: GASB Statement No. 68 requires ten years of information to be presented in this table. However, until a full 10-year trend is compiled, the District will present for those years which information is available.

Iowa City Community School District

Required Supplementary Information
Schedule of District Contributions
Iowa Public Employees' Retirement System

	Statutorily required contribution	Contributions in relation to the statutorily required contribution	Contributions deficiency (excess)	District's covered-employee payroll	Contributions as a percentage of covered employee payroll
2016	**$ 8,527,680**	**$ 8,527,680**	**$ -**	**$ 95,494,737**	**8.93%**
2015	8,055,766	8,055,766	-	90,210,145	8.93
2014	7,930,746	7,930,746	-	88,810,145	8.93
2013	7,093,021	7,093,021	-	N/A	N/A
2012	6,149,781	6,149,781	-	N/A	N/A
2011	5,160,450	5,160,450	-	N/A	N/A
2010	4,877,682	4,877,682	-	N/A	N/A
2009	4,558,004	4,558,004	-	N/A	N/A
2008	3,996,870	3,996,870	-	N/A	N/A
2007	3,425,786	3,425,786	-	N/A	N/A

N/A - Information was not available.

Note 1. Changes of Benefit Terms

Legislation passed in 2010 modified benefit terms for current Regular members. The definition of final average salary changed from the highest three to the highest five years of covered wages. The vesting requirement changed from four years of service to seven years. The early retirement reduction increased from 3 percent per year measured from the member's first unreduced retirement age to a 6 percent reduction for each year of retirement before age 65.

In 2008, legislative action transferred four groups – emergency medical service providers, county jailers, county attorney investigators, and National Guard installation security officers – from Regular membership to the protection occupation group for future service only.

Benefit provisions for sheriffs and deputies were changed in the 2004 legislative session. The eligibility for unreduced retirement benefits was lowered from age 55 by one year each July 1 (beginning in 2004) until it reached age 50 on July 1, 2008. The years of service requirement remained at 22 or more. Their contribution rates were also changed to be shared 50-50 by the employee and employer, instead of the previous 40-60 split.

Note 2. Changes of Assumptions

The 2014 valuation implemented the following refinements as a result of a quadrennial experience study:

- Decreased the inflation assumption from 3.25 percent to 3.00 percent
- Decreased the assumed rate of interest on member accounts from 4.00 percent to 3.75 percent per year.
- Adjusted male mortality rates for retirees in the Regular membership group.
- Reduced retirement rates for sheriffs and deputies between the ages of 55 and 64.
- Moved from an open 30 year amortization period to a closed 30 year amortization period for the UAL beginning June 30, 2014. Each year thereafter, changes in the UAL from plan experience will be amortized on a separate closed 20 year period.

Iowa City Community School District

Required Supplementary Information
Other Postemployment Benefit Plan

SCHEDULE OF FUNDING PROGRESS

Fiscal Year Ended	Actuarial Valuation Date	Actuarial Value of Net Assets (a)	Actuarial Accrued Liability (AAL) (b)	Unfunded AAL (b-a)	Funded Ratio (a/b)	Covered Payroll (c)	UAAL as a Percentage of Covered Payroll [(b-a)/c]
2014	7/1/2012	$ -	$ 5,125,000	$ 5,125,000	- %	$ 90,327,104	5.67%
2015	7/1/2014	-	6,243,000	6,243,000	-	92,475,127	6.75
2016	**7/1/2014**	**-**	**6,243,000**	**6,243,000**	**-**	**97,549,465**	**6.40**

The information presented in the required supplementary schedules was determined as part of the actuarial valuation date as of July 1, 2014. Additional information follows:

a. The cost method used to determine the ARC is the projected unit credit actuarial cost method.
b. Economic assumptions are as follows: health care cost trend rate of 8 percent with an ultimate rate of 4.5 percent, discount rate of 4.0 percent.
c. The amortization method is open basis as a level percentage of projected payroll.

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Iowa City Community School District

Required Supplementary Information
Budgetary Comparison Schedule
All Governmental Funds and Enterprise Fund
Year Ended June 30, 2016

	Governmental Fund Types Actual	Enterprise Fund Type Actual	Total Actual
Revenues:			
Local sources	$ 85,537,889	$ 2,363,887	$ 87,901,776
State sources	90,008,338	44,987	90,053,325
Federal sources	6,580,460	3,453,817	10,034,277
Total revenues	182,126,687	5,862,691	187,989,378
Expenditures:			
Instruction	101,899,548	-	101,899,548
Support services	44,744,084	-	44,744,084
Noninstructional programs	385,765	6,129,010	6,514,775
Other expenditures	77,558,253	-	77,558,253
Total expenditures	224,587,650	6,129,010	230,716,660
Excess of revenues over (under) expenditures/expenses	(42,460,963)	(266,319)	(42,727,282)
Other financing sources, net	64,724,294	-	64,724,294
Net change in fund balances/net position	22,263,331	(266,319)	21,997,012
Fund balances/net position, beginning of year	32,359,520	1,105,638	33,465,158
Fund balances/net position, end of year	$ 54,622,851	$ 839,319	$ 55,462,170

See note to required supplementary information.

Budgeted Amounts		Final to Actual Variance- Over
Original	Final	(Under)
$ 87,859,645	$ 97,321,977	$ (9,420,201)
89,579,978	89,579,978	473,347
9,434,192	9,434,192	600,085
186,873,815	196,336,147	(8,346,769)
104,173,702	105,306,469	(3,406,921)
47,407,096	46,381,328	(1,637,244)
7,754,746	7,872,386	(1,357,611)
44,934,996	62,637,339	14,920,914
204,270,540	222,197,522	8,519,138
(17,396,725)	(25,861,375)	(16,865,907)
-	-	64,724,294
$ (17,396,725)	$ (25,861,375)	$ 47,858,387

Iowa City Community School District

Note to Required Supplementary Information – Budgetary Reporting

The Board of Education annually adopts and certifies a budget by program which includes all funds except for internal service funds, agency funds and private-purpose trust funds on the GAAP basis following required public notice and hearing in accordance with the Code of Iowa. The budget may be amended during the year utilizing similar statutorily prescribed procedures. Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functional areas, not by fund. These four functional areas are instruction, support services, noninstructional programs and other expenditures. The legal level of control is at the aggregated functional level, not at the fund or fund type level. The Code of Iowa also provides that District expenditures in the General Fund may not exceed the amount authorized by the school finance formula (spending authority).

During the year ended June 30, 2016, the District adopted one budget amendment which increased the budgeted expenditures by $17,926,982.

Actual expenditures for other expenditures exceeded final budget by $14,920,914.

Iowa City Community School District

Combining Balance Sheet
Nonmajor Governmental Funds
June 30, 2016

	Special Revenue			Total
	Management	Student Activity	Debt Service	Nonmajor Governmental Funds
Assets				
Cash, cash equivalents, and investments	$ 1,983,420	$ 1,188,879	$ 201,364	$ 3,373,663
Receivables:				
Property tax:				
Current year	10,661	-	10,871	21,532
Succeeding year	4,082,154	-	3,289,186	7,371,340
Due from other funds	-	89,648	-	89,648
Total assets	$ 6,076,235	$ 1,278,527	$ 3,501,421	$ 10,856,183
Liabilities, Deferred Inflows of Resources and Fund Balances				
Liabilities:				
Accounts payable	$ 871	$ 148,327	$ -	$ 149,198
Due to other funds	1,503	-	-	1,503
Total liabilities	2,374	148,327	-	150,701
Deferred inflows of resources, unavailable revenue - property tax	4,082,154	-	3,289,186	7,371,340
Fund balances, restricted	1,991,707	1,130,200	212,235	3,334,142
Total liabilities, deferred inflows of resources and fund balances	$ 6,076,235	$ 1,278,527	$ 3,501,421	$ 10,856,183

Iowa City Community School District

Combining Statement of Revenues, Expenditures and Changes in Fund Balances
Nonmajor Governmental Funds
Year Ended June 30, 2016

	Special Revenue			Total
		Student	Debt	Nonmajor Governmental
	Management	Activity	Service	Funds
Revenues:				
Local sources:				
Local tax	$ 3,003,877	$ -	$ 3,259,578	$ 6,263,455
State sources	107,751	-	113,200	220,951
Other	1,621	2,727,963	1,287	2,730,871
Total revenues	3,113,249	2,727,963	3,374,065	9,215,277
Expenditures:				
Current:				
Instruction:				
Regular	1,237,186	-	-	1,237,186
Other instruction	-	2,731,395	-	2,731,395
Support services:				
Administration services	709,419	-	1,750	711,169
Operations and maintenance	957,065	11,620	-	968,685
Transportation services	-	340,179	-	340,179
Debt service:				
Principal	-	-	7,775,000	7,775,000
Interest and fiscal charges	-	-	2,064,365	2,064,365
Total expenditures	2,903,670	3,083,194	9,841,115	15,827,979
Excess (deficiency) of revenues over expenditures	209,579	(355,231)	(6,467,050)	(6,612,702)
Other financing sources, transfers in	-	172,000	6,557,315	6,729,315
Net change in fund balances	209,579	(183,231)	90,265	116,613
Fund balances, beginning of year	1,782,128	1,313,431	121,970	3,217,529
Fund balances, end of year	$ 1,991,707	$ 1,130,200	$ 212,235	$ 3,334,142

Iowa City Community School District

Statement of Changes in Fiduciary Assets and Liabilities - Agency Funds Year Ended June 30, 2016

	Balance June 30, 2015	Additions	Deductions	**Balance June 30, 2016**
Flexible Benefits Account				
Assets,				
cash and cash equivalents	$ 266,347	$ 1,021,061	$ 1,015,727	**$ 271,681**
Liabilities,				
due to private individuals	$ 266,347	$ 1,021,061	$ 1,015,727	**$ 271,681**
School Children's Aid				
Assets,				
cash and cash equivalents	$ 18,292	$ 18,821	$ 25,893	**$ 11,220**
Liabilities,				
due to private individuals	$ 18,292	$ 18,821	$ 25,893	**$ 11,220**
Opportunity Funds				
Assets,				
cash and cash equivalents	$ 2,188	$ -	$ -	**$ 2,188**
Liabilities,				
due to private individuals	$ 2,188	$ -	$ -	**$ 2,188**
School Based Health Clinics				
Assets,				
cash and cash equivalents	$ 91,707	$ 130,613	$ 169,146	**$ 53,174**
Liabilities,				
due to private individuals	$ 91,707	$ 130,613	$ 169,146	**$ 53,174**
Total Agency Funds				
Assets,				
cash and cash equivalents	$ 378,534	$ 1,170,495	$ 1,210,766	**$ 338,263**
Liabilities,				
due to private individuals	$ 378,534	$ 1,170,495	$ 1,210,766	**$ 338,263**

Iowa City Community School District

Statistical Section
Contents

The statistical section of the District's comprehensive annual financial report presents detailed information as a context for understanding what the information presented in the financial statements, note disclosures and required supplementary information say about the District's overall financial health.

Sources: Unless otherwise noted, the information in these schedules is derived from the comprehensive annual report for the relevant year.

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Iowa City Community School District

Net Position by Component
Last Ten Fiscal Years
(accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2007	2008	2009	2010
Governmental activities:				
Net investment in capital assets	$ 64,933,021	$ 73,555,648	$ 80,393,020	$ 93,159,408
Restricted	9,460,390	5,669,654	5,416,705	6,784,465
Unrestricted	6,659,080	17,882,764	32,018,847	33,609,893
Total governmental activities net position	$ 81,052,491	$ 97,108,066	$ 117,828,572	$ 133,553,766
Business-type activities:				
Net investment in capital assets	$ 456,833	$ 496,000	$ 490,509	$ 498,303
Unassigned	2,111,394	2,345,817	2,560,254	2,752,849
Total business-type activities net position	$ 2,568,227	$ 2,841,817	$ 3,050,763	$ 3,251,152
Primary government:				
Net investment in capital assets	$ 65,389,854	$ 74,051,648	$ 80,883,529	$ 93,657,711
Restricted	9,460,390	5,669,654	5,416,705	6,784,465
Unrestricted	8,770,474	20,228,581	34,579,101	36,362,742
Total primary government net position	$ 83,620,718	$ 99,949,883	$ 120,879,335	$ 136,804,918

Fiscal Year					
2011	2012	2013	2014	2015	**2016**
$ 103,461,937	$ 118,552,457	$ 127,010,427	$ 144,275,207	$ 176,170,719	**$ 203,709,702**
34,107,364	38,265,060	38,547,315	34,835,478	18,444,336	**36,650,711**
20,434,179	26,988,542	28,366,297	21,012,594	(33,554,068)	**(60,864,399)**
$ 158,003,480	$ 183,806,059	$ 193,924,039	$ 200,123,279	$ 161,060,987	**$ 179,496,014**
$ 434,533	$ 372,306	$ 577,047	$ 528,075	$ 518,311	**$ 528,403**
3,102,508	3,340,591	3,227,351	2,983,964	1,418,780	**1,081,678**
$ 3,537,041	$ 3,712,897	$ 3,804,398	$ 3,512,039	$ 1,937,091	**$ 1,610,081**
$ 103,896,470	$ 118,924,763	$ 127,587,474	$ 144,803,282	$ 176,689,030	**$ 204,238,105**
34,107,364	38,265,060	38,547,315	34,835,478	18,444,336	**36,650,711**
23,536,687	30,329,133	31,593,648	23,996,558	(32,135,288)	**(59,782,721)**
$ 161,540,521	$ 187,518,956	$ 197,728,437	$ 203,635,318	$ 162,998,078	**$ 181,106,095**

Iowa City Community School District

Expenses, Program Revenues and Net (Expense) Revenue
Last Ten Fiscal Years
(accrual basis of accounting)
(Unaudited)

	Fiscal Year		
	2007	2008	2009
Expenses:			
Governmental activities:			
Instruction	$ 67,906,615	$ 75,311,719	$ 80,135,420
Support services:			
Student services	2,945,952	3,151,173	3,410,990
Instructional services	5,125,575	6,292,532	6,277,063
Administration services	8,663,947	9,585,085	9,177,313
Operation and maintenance of plant	10,391,249	10,149,107	11,020,902
Pupil transportation services	3,764,939	5,011,447	5,670,355
Other, primarily AEA flowthrough	5,998,900	5,188,131	4,986,103
Noninstructional programs	13,762	17,660	44,222
Interest on long-term debt	1,167,068	1,065,987	1,028,590
Total governmental activities expenses	105,978,007	115,772,841	121,750,958
Business-type activities, nutrition	3,451,139	3,806,588	4,044,118
Total primary government expenses	$ 109,429,146	$ 119,579,429	$ 125,795,076
Program revenues:			
Governmental activities:			
Charges for services:			
Instruction	$ 3,375,102	$ 3,544,907	$ 3,875,751
Support services	19,701	11,919	113,293
Operating grants and contributions	10,904,544	13,447,339	17,401,300
Capital grants and contributions	709,601	181,603	-
Total governmental activities program revenues	15,008,948	17,185,768	21,717,231
Business-type activities:			
Charges for services, nutrition	2,153,019	2,258,569	2,321,754
Operating grants and contributions	1,545,561	1,759,123	1,906,739
Capital grants and contributions	11,000	-	-
Total business-type program revenues	3,709,580	4,017,692	4,228,493
Total primary government program revenues	$ 18,718,528	$ 21,203,460	$ 25,945,724
Net (expense) revenue:			
Governmental activities	$ (90,969,059)	$ (98,587,073)	$ (100,033,727)
Business-type activities	258,441	211,104	184,375
Total primary government net expense	$ (90,710,618)	$ (98,375,969)	$ (99,849,352)

			Fiscal Year			
2010	2011	2012	2013	2014	2015	**2016**
$ 85,736,202	$ 88,288,063	$ 91,391,355	$ 100,951,730	$ 104,733,457	$ 100,335,876	**$ 107,177,328**
4,189,268	3,833,693	4,612,635	4,942,088	4,686,664	4,499,186	**4,835,646**
5,950,476	6,017,524	6,708,676	6,962,932	7,427,014	6,446,914	**9,576,097**
9,894,942	9,113,670	10,421,294	11,401,516	12,506,153	12,221,714	**13,741,415**
12,031,969	12,285,578	13,348,760	14,845,156	15,423,524	14,800,540	**15,242,048**
4,440,490	4,791,918	5,489,138	5,396,481	5,726,049	5,565,497	**4,593,145**
4,798,409	4,973,519	4,616,969	4,889,195	5,224,132	5,585,294	**5,689,143**
47,444	6,026	93,018	466,024	563,138	605,079	**368,506**
958,922	882,375	857,422	390,685	200,128	229,081	**1,925,504**
128,048,122	130,192,366	137,539,267	150,245,807	156,490,259	150,289,181	**163,148,832**
4,177,028	4,158,824	4,432,821	4,821,834	5,491,953	5,822,005	**6,189,701**
$ 132,225,150	$ 134,351,190	$ 141,972,088	$ 155,067,641	$ 161,982,212	$ 156,111,186	**$ 169,338,533**
$ 3,494,113	$ 3,703,065	$ 3,213,735	$ 1,891,858	$ 2,071,749	$ 1,360,834	**$ 1,013,403**
102,924	122,442	107,478	176,884	205,142	210,215	**250,620**
25,053,119	23,180,191	21,043,495	20,880,498	20,109,977	24,461,796	**28,901,876**
-	-	-	1,889,776	207,457	939,553	**641,945**
28,650,156	27,005,698	24,364,708	24,839,016	22,594,325	26,972,398	**30,807,844**
2,262,408	2,175,411	2,244,238	2,245,333	2,260,342	2,320,574	**2,357,084**
2,106,387	2,262,074	2,358,944	2,662,433	2,929,125	3,212,336	**3,498,804**
-	-	-	-	-	-	
4,368,795	4,437,485	4,603,182	4,907,766	5,189,467	5,532,910	**5,855,888**
$ 33,018,951	$ 31,443,183	$ 28,967,890	$ 29,746,782	$ 27,783,792	$ 32,505,308	**$ 36,663,732**
$ (99,397,966)	$ (103,186,668)	$ (113,174,559)	$ (125,406,791)	$ (133,895,934)	$ (129,078,091)	**$ (132,340,988)**
191,767	278,661	170,361	85,942	(302,486)	(289,094)	**(333,813)**
$ (99,206,199)	$ (102,908,007)	$ (113,004,198)	$ (125,320,849)	$ (134,198,420)	$ (129,367,185)	**$ (132,674,801)**

Iowa City Community School District

General Revenues and Total Change in Net Position
Last Ten Fiscal Years
(accrual basis of accounting)
(Unaudited)

	Fiscal Year		
	2007	2008	2009
Net (expense) revenue:			
Governmental activities	$ (90,969,059)	$ (98,587,073)	$ (100,033,727)
Business-type activities	258,441	211,104	184,375
Total primary government net expense	(90,710,618)	(98,375,969)	(99,849,352)
General revenues and other changes in net position:			
Governmental activities:			
Taxes:			
Property taxes levied for general purposes	43,260,607	46,156,268	50,280,460
Property taxes levied for capital projects	6,463,349	6,715,464	7,131,726
Property taxes levied debt service	3,603,181	3,117,301	3,573,769
Sales taxes provided for capital projects *	-	13,952,660	12,870,778
Unrestricted grants and contributions	38,000,023	40,899,909	43,398,531
Investment earnings	1,214,815	756,496	642,596
Gain on sale of capital assets	-	-	-
Other	3,242,981	3,044,550	3,183,260
Total governmental activities	95,784,956	114,642,648	120,754,233
Business-type activities, investment earnings	94,445	62,486	24,571
Total primary government	95,879,401	114,705,134	120,778,804
Change in net position:			
Governmental activities	4,815,897	16,055,575	20,720,506
Business-type activities	352,886	273,590	208,946
Total primary government	$ 5,168,783	$ 16,329,165	$ 20,929,452

* The District began receiving sales tax revenues in July 2007 based upon a voter approved plan from February 2007.

	Fiscal Year					
2010	2011	2012	2013	2014	2015	**2016**
$ (99,397,966)	$ (103,186,668)	$ (113,174,559)	$ (125,406,791)	$ (133,895,934)	$ (123,316,783)	**$ (132,340,988)**
191,767	278,661	170,361	85,942	(302,486)	(289,094)	**(333,813)**
(99,206,199)	(102,908,007)	(113,004,198)	(125,320,849)	(134,198,420)	(123,605,877)	**(132,674,801)**
52,974,155	57,971,131	59,722,769	60,395,065	61,055,235	63,617,123	**66,430,760**
7,481,779	7,769,270	8,026,572	8,389,497	8,705,266	9,151,358	**9,287,340**
3,524,683	3,382,231	3,599,933	3,502,939	3,310,092	3,278,652	**3,259,578**
13,207,890	13,643,664	13,833,210	10,813,815	11,125,642	12,515,712	**12,815,660**
33,877,697	40,987,077	45,509,708	48,024,527	52,004,652	56,396,516	**57,802,551**
317,079	197,048	268,335	253,529	216,168	233,928	**465,432**
-	-	4,384,550	-	4,571	-	**-**
3,739,877	3,685,961	3,632,061	4,145,399	3,673,548	1,462,366	**714,694**
115,123,160	127,636,382	138,977,138	135,524,771	140,095,174	146,655,655	**150,776,015**
8,622	7,228	5,495	5,559	10,127	7,509	**6,803**
115,131,782	127,643,610	138,982,633	135,530,330	140,105,301	146,663,164	**150,782,818**
15,725,194	24,449,714	25,802,579	10,117,980	6,199,240	23,338,872	**18,435,027**
200,389	285,889	175,856	91,501	(292,359)	(281,585)	**(327,010)**
$ 15,925,583	$ 24,735,603	$ 25,978,435	$ 10,209,481	$ 5,906,881	$ 23,057,287	**$ 18,108,017**

Iowa City Community School District

Fund Balances, Governmental Funds
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)

	Fiscal Year		
	2007	2008	2009
General Fund:			
Nonspendable	$ -	$ -	$ -
Restricted	-	-	-
Committed	-	-	-
Assigned	-	-	-
Unassigned	-	-	-
Reserved	1,334,507	1,546,798	1,534,839
Unreserved	9,208,308	3,554,114	5,344,723
Total General Fund	$ 10,542,815	$ 5,100,912	$ 6,879,562
All other governmental funds:			
Nonspendable	$ -	$ -	$ -
Restricted	-	-	-
Committed	-	-	-
Assigned	-	-	-
Unassigned	-	-	-
Reserved	642,360	168,233	178,454
Unreserved, reported in:			
Special revenue funds	9,335,752	5,774,720	5,491,255
Capital projects funds	(8,986,375)	8,161,146	17,028,974
Total all other governmental funds	$ 991,737	$ 14,104,099	$ 22,698,683

GASB Statement No. 54, *Fund Balance Reporting and Governmental Fund Type Definitions,* implemented in fiscal year 2011.

	Fiscal Year						
	2010	2011	2012	2013	2014	2015	**2016**
	$ -	$ 771,671	$ 876,455	$ 996,786	$ 1,174,203	$ 1,095,801	**$ 1,127,628**
	-	3,516,243	3,621,399	3,642,566	3,575,202	3,303,867	**3,963,463**
	-	-	-	-	-	-	**-**
	-	502,365	609,563	669,699	877,237	-	**-**
	-	9,292,774	15,382,598	13,271,679	8,112,212	11,544,614	**15,339,260**
	3,539,004	-	-	-	-	-	**-**
	4,396,154	-	-	-	-	-	**-**
	$ 7,935,158	$ 14,083,053	$ 20,490,015	$ 18,580,730	$ 13,738,854	$ 15,944,282	**$ 20,430,351**
	$ -	$ -	$ 50,372	$ -	$ -	$ 1,540	**$ 1,310**
	-	30,174,302	34,446,676	34,939,533	31,288,237	16,413,698	**34,191,190**
	-	-	-	-	-	-	-
	-	-	-	-	-	-	-
	-	-	-	-	-	-	-
	186,277	-	-	-	-	-	-
				-	-	-	-
	4,944,259	-	-	-	-	-	-
	19,289,186	-	-	-	-	-	-
	$ 24,419,722	$ 30,174,302	$ 34,497,048	$ 34,939,533	$ 31,288,237	$ 16,415,238	**$ 34,192,500**

Iowa City Community School District

Governmental Funds Revenues
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)

	Fiscal Year		
	2007	2008	2009
Federal sources, federal grants	$ 3,846,094	$ 3,691,110	$ 5,440,340
State sources, state grants and other	45,049,784	50,154,765	54,506,988
Local sources:			
Ad valorem taxes	53,327,137	69,075,496	73,835,697
Interest and other income	1,214,815	1,321,185	196,284
Other revenues	6,640,304	7,159,282	7,991,035
Total local sources	61,182,256	77,555,963	82,023,016
Total revenues	$ 110,078,134	$ 131,401,838	$ 141,970,344

Fiscal Year						
2010	2011	2012	2013	2014	2015	**2016**
$ 11,278,777	$ 8,222,274	$ 8,321,085	$ 7,463,516	$ 5,861,754	$ 6,379,586	**$ 6,580,460**
46,487,840	53,955,043	58,148,506	61,319,723	77,184,727	83,805,768	**90,008,338**
76,978,507	83,201,298	85,292,389	82,777,217	72,945,024	76,047,134	**78,977,678**
60,266	42,246	191,372	161,781	125,569	124,419	**407,023**
8,623,115	9,251,854	6,712,504	8,767,902	7,022,831	7,812,866	**6,153,188**
85,661,888	92,495,398	92,196,265	91,706,900	80,093,424	83,984,419	**85,537,889**
$ 143,428,505	$ 154,672,715	$ 158,665,856	$ 160,490,139	$ 163,139,905	$ 174,169,773	**$ 182,126,687**

Iowa City Community School District

Governmental Funds Expenditures and Debt Service Ratio
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)

	Fiscal Year		
	2007	2008	2009
Instruction	$ 65,440,584	$ 71,694,880	$ 79,469,308
Pupil personnel services	2,945,952	3,151,173	3,405,973
Instruction and curriculum development services	5,106,837	6,264,667	6,221,272
School administration	9,074,574	9,619,098	9,624,966
Plant operation and maintenance	10,204,862	9,918,437	10,583,745
Pupil transportation services	3,764,939	5,011,447	5,670,355
AEA flowthrough	3,561,580	3,855,124	4,265,250
Community services	13,762	17,660	24,542
Noncapital facilities acquisition/construction	2,407,038	1,301,574	674,733
Capital outlay, facilities acquisition/construction	4,825,783	9,273,067	8,082,813
Debt service:			
Principal	2,380,000	2,495,000	2,515,000
Interest	1,191,652	1,129,252	1,059,153
Bond issuance costs	-	-	-
Total expenditures	$ 110,917,563	$ 123,731,379	$ 131,597,110
Debt service as a percentage of noncapital expenditures	3.37%	3.01%	2.89%

	Fiscal Year						
	2010	2011	2012	2013	2014	2015	**2016**
	$ 80,550,680	$ 85,334,071	$ 85,181,022	$ 93,842,840	$ 96,348,768	$ 100,113,327	**$ 101,899,548**
	4,082,113	3,853,422	4,609,186	4,854,053	4,464,944	4,877,624	**4,763,197**
	5,796,009	6,119,871	6,585,642	7,040,962	7,409,098	6,585,412	**9,713,120**
	9,817,405	9,474,078	10,180,266	11,052,695	11,578,554	11,955,731	**12,582,260**
	10,468,714	10,877,956	11,207,615	12,219,182	13,580,269	13,229,990	**13,092,362**
	4,440,490	4,791,918	5,489,138	5,396,481	5,726,049	5,565,497	**4,593,145**
	4,766,004	4,940,696	4,587,779	4,861,844	5,193,678	5,551,884	**5,654,082**
	38,690	34,444	27,462	531,573	542,712	623,877	**385,765**
	3,145,655	2,158,361	4,542,517	8,785,850	4,401,635	947,459	**2,188,919**
	14,027,658	11,619,445	16,458,827	9,877,428	19,092,591	42,850,527	**59,615,069**
	2,530,000	2,655,000	7,405,000	2,825,000	2,885,000	3,735,000	**7,775,000**
	988,452	910,978	823,708	669,031	417,400	422,161	**2,325,183**
	-	-	83,266	-	-	-	
	$ 140,651,870	$ 142,770,240	$ 157,181,428	$ 161,956,939	$ 171,640,698	$ 196,458,489	**$ 224,587,650**
	2.78%	2.72%	5.85%	2.30%	2.28%	2.71%	**6.12%**

Iowa City Community School District

Other Financing Sources and Uses and Net Change in Fund Balances
Governmental Funds
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)

	Fiscal Year		
	2007	2008	2009
Excess of revenues over (under) expenditures	$ (839,429)	$ 7,670,459	$ 10,373,234
Other financing sources (uses):			
General long-term debt issued	$ -	$ -	$ -
Premium on bond issuance	-	-	-
Payment to bond escrow agent	-	-	-
Sale of capital assets	-	-	-
Real estate contract financing	-	-	-
Transfers in	200,906	9,149,956	182,000
Transfers out	(200,906)	(9,149,956)	(182,000)
Total other financing sources (uses)	-	-	-
Net change in fund balances	$ (839,429)	$ 7,670,459	$ 10,373,234

	Fiscal Year						
	2010	2011	2012	2013	2014	2015	**2016**
	$ 2,776,635	$ 11,902,475	$ 1,484,428	$ (1,466,800)	$ (8,500,793)	$ (22,288,716)	**$ (42,460,963)**
	$ -	$ -	$ 15,890,000	$ -	$ -	$ 9,430,000	**$ 60,030,000**
	-	-	1,232,599	-	-	191,145	**4,694,294**
	-	-	(12,376,759)	-	-	-	**-**
	-	-	4,499,440	-	7,621	-	**-**
	-	-	-	-	-	-	**-**
	182,000	182,000	182,000	172,000	182,000	1,056,061	**6,729,315**
	(182,000)	(182,000)	(182,000)	(172,000)	(182,000)	(1,056,061)	**(6,729,315)**
	-	-	9,245,280	-	7,621	9,621,145	**64,724,294**
	$ 2,776,635	$ 11,902,475	$ 10,729,708	$ (1,466,800)	$ (8,493,172)	$ (12,667,571)	**$ 22,263,331**

Iowa City Community School District

Assessed Value and Actual Value of Taxable Property
Last Ten Fiscal Years
(Unaudited)

	Actual Value					
Fiscal Year	Residential Property	Commercial Property	Agricultural and Other Property	Total Actual Value	Total Taxable Value	Total Direct Rate
2007	$ 5,289,104,944	$ 1,715,633,816	$ 123,868,204	$ 7,263,293,532	$ 3,855,126,078	13.632%
2008	5,582,528,754	1,783,998,259	123,600,803	7,490,127,816	4,011,810,830	13.852
2009	5,573,480,587	1,956,025,455	147,983,455	7,677,489,497	4,272,156,417	14.192
2010*	5,712,285,320	1,959,711,962	148,264,569	7,820,261,851	4,473,488,984	14.191
2011	5,868,493,394	1,985,199,157	147,989,706	8,001,682,257	4,643,640,687	14.690
2012	6,051,524,322	1,943,695,634	154,268,256	8,149,488,212	4,806,027,801	14.590
2013	6,300,549,300	2,064,767,753	182,998,016	8,548,315,069	5,010,901,831	14.073
2014	6,560,418,660	2,080,459,785	180,298,716	8,821,177,161	5,200,640,964	13.688
2015	7,083,834,010	2,025,642,591	189,592,895	9,299,069,496	5,471,006,291	13.700
2016	**7,287,199,580**	**2,082,744,148**	**187,200,825**	**9,557,144,553**	**5,600,477,037**	**13.868**

Source: Johnson County Auditor.

Note: The actual values are determined as of January 1, of the fiscal year indicated. These actual values are used to calculate the taxable values for the second budget following assessment date. For example, the total actual value of $8,149,488,212 from January 1, 2012 are used for the taxable values for fiscal year 2014.

* Utility and gas and electric valuations are not included for 2014 as they have not been certified by the Department of Revenue

Iowa City Community School District

Direct and Overlapping Property Tax Rates
Last Ten Fiscal Years
(rate per $1,000 of assessed value)
(Unaudited)

Fiscal Year Ended June 30	District Direct Rates				Overlapping Rates			
	General Purposes	Capital Purposes	Debt Service Purposes	Total	County	City of Iowa City	Area School	Other
2007	11.031	$ 1.670	$ 0.931	$ 13.632	$ 6.113	$ 17.302	$ 0.872	$ 0.307
2008	11.407	1.670	0.775	13.852	6.494	17.297	0.855	0.332
2009	11.685	1.670	0.837	14.192	7.486	17.717	0.852	0.320
2010	11.734	1.670	0.787	14.191	7.386	17.853	0.840	0.326
2011	12.293	1.670	0.727	14.690	7.222	17.756	0.926	0.321
2012	12.171	1.670	0.749	14.590	6.990	17.842	0.999	0.333
2013	11.706	1.670	0.697	14.073	6.749	17.269	1.079	0.329
2014	11.383	1.670	0.635	13.688	6.737	16.805	1.065	0.344
2015	11.432	1.670	0.598	13.700	6.742	16.705	1.058	0.323
2016	**11.612**	**1.670**	**0.586**	**13.868**	**6.903**	**16.651**	**1.061**	**0.328**

Source: Johnson County Auditor and Iowa Department of Management.

Iowa City Community School District

Principal Property Taxpayers
Current Year and Nine Years Ago
(Unaudited)

	2016			2007		
Taxpayer	Taxable Value	Rank	Percentage of Total Taxable Value	Taxable Value	Rank	Percentage of Total Taxable Value
Coral Ridge Mall LLC	$ 84,586,495	1	1.51%			-
American College Testing Program, Inc.	53,041,610	2	0.95	$ 34,669,777	3	0.90
City of Coralville	33,730,300	3	0.60	24,831,820	5	0.64
Hawk Landlord LLC	28,671,900	4	0.51			
Hawkeye Housing LLC	26,919,660	5	0.48			
Individual	25,744,860	6	0.46			
CCAL 100 Hawk Ridge Drive LLC	25,216,230	7	0.45			
MidwestOne Bank	24,742,660	8	0.44			
HyVee, Inc.	22,396,870	9	0.40			
Dealer Properties IC LLC	21,041,730	10	0.38			
GGP Limited Partnership		-	-	75,640,000	2	1.96
Mid American Energy Co		-	-	78,594,797	1	2.04
Individual		-	-	30,052,327	4	0.78
Raycal Iowa LTD		-	-	24,547,440	6	0.64
Southgate Development Co, Inc.		-	-	23,975,684	7	0.62
Plaza Towers LLC		-	-	19,403,630	9	0.50
Individual		-	-	19,795,050	8	0.51
Hawkeye Real Estate Investment		-	-	18,301,800	10	0.47
		-	-			
All other taxpayers	5,254,384,722	-	-	3,505,313,753	-	-
Total	$ 5,600,477,037			$ 3,855,126,078		

Source: Johnson County Auditor.

Iowa City Community School District

Property Tax Levies and Collections
Last Ten Fiscal Years
(Unaudited)

Fiscal Year	Taxes Levied for the Fiscal Year	Collected Within the Fiscal Year of the Levy		Collections In Subsequent Years	Total Collections to Date	
		Amount	Percentage of Levy		Amount	Percentage of Levy
2007	$ 48,721,318	$ 48,621,898	99.80%	$ 10,614	$ 48,632,512	99.82%
2008	51,074,963	50,994,354	99.84	15,344	51,009,698	99.87
2009	55,532,389	55,450,275	99.85	23,440	55,473,715	99.89
2010	58,801,491	58,703,329	99.83	-	58,703,329	99.83
2011	63,761,728	63,688,547	99.88	11,073	63,699,620	99.90
2012	65,691,101	65,569,688	99.82	3,721	65,573,409	99.82
2013	66,443,766	66,421,113	99.96	4,512	66,425,625	99.97
2014	65,648,860	65,594,662	99.92	-	65,594,662	99.92
2015	68,524,114	69,442,154	101.34	3,060	69,445,214	101.34
2016	**71,037,013**	**71,874,564**	**101.18**	**-**	**71,874,564**	**101.18**

Source: Johnson County Auditor and District records.

Iowa City Community School District

Ratios of Outstanding Debt by Type
Last Ten Fiscal Years
(Unaudited)

Fiscal Year	General Obligation Bonds Outstanding	Percent of Actual Taxable Value of Property	Per Capita	Percentage of Personal Income
2007	$ 31,951,608	0.82%	$ 317.00	*
2008	29,387,275	0.73	280.82	*
2009	26,842,483	0.62	256.63	*
2010	24,284,620	0.54	232.31	*
2011	21,603,863	0.46	195.50	*
2012	18,874,126	0.37	163.55	*
2013	16,048,419	0.30	137.86	*
2014	12,874,476	0.24	111.64	*
2015	9,866,080	0.18	89.69	*
2016	**6,633,240**	**0.12**	**60.30**	*

	Other Governmental Activities Debt				
	Capital Loan Notes	Sales Tax Revenue Bonds	Total Primary Government	Less Amount Restricted for Debt Service	Net Debt
2007	$ -	$ -	$ -	$ -	$ -
2008	-	-	-	-	-
2009	-	-	-	-	-
2010	-	-	-	-	-
2011	-	-	-	-	-
2012	-	-	-	-	-
2013	-	-	-	-	-
2014	-	-	-	-	-
2015	8,630,000	-	18,496,080	85,927	18,410,153
2016	7,830,000	56,080,000	70,432,240	5,587,205	64,845,035

Source: District records

* Information not available

Iowa City Community School District

Direct and Overlapping Governmental Activities Debt
As of June 30, 2016
(Unaudited)

Governmental Unit	Debt Outstanding	Estimated Percentage Applicable*	Estimated Share of Direct and Overlapping Debt
City of Iowa City	57,445,000	99.999%	$ 57,444,425
City of Coralville	208,213,251	75.415	157,024,023
City of North Liberty	30,570,000	71.219	21,771,648
City of Hills	1,912,000	100.000	1,912,000
Kirkwood Community College	96,426,000	74.391	71,732,266
Johnson County	12,690,000	74.338	9,433,492
City of University Heights	30,000	100.000	30,000
Subtotal, overlapping debt			319,347,854
District direct debt			14,463,240
Total direct and overlapping debt			$ 333,811,094

Source: Johnson County Auditor

* Estimate is based upon overlapping total assessed value and assessed value within Iowa City Community School District boundaries.

Iowa City Community School District

Legal Debt Margin Information
Last Ten Fiscal Years
(Unaudited)

	2007	2008	2009
Debt limit	$ 317,997,232	$ 332,855,691	$ 363,164,677
Total net debt applicable to limit	31,700,000	29,205,000	26,690,000
Legal debt margin	$ 286,297,232	$ 303,650,691	$ 336,474,677
Total net debt applicable to the limit as a percentage of debt limit	11.07%	9.62%	7.35%

Source: Johnson County Auditor and District records.

Legal Debt Margin Calculation for Fiscal Year 2016	
Assessed value - 2014 valuation	**$ 8,821,177,161**
Debt limit (5% of assessed value)	**$ 441,058,858**
Debt applicable to limit	**6,320,000**
Legal debt margin	**$ 434,738,858**

2010	2011	2012	2013	2014	2015	**2016**
$ 374,506,391	$ 383,874,475	$ 391,013,093	$ 400,084,113	$ 407,474,411	$ 427,415,753	**$ 441,058,858**
24,160,000	21,505,000	17,990,000	15,165,000	12,280,000	9,345,000	**6,320,000**
$ 350,346,391	$ 362,369,475	$ 373,023,093	$ 384,919,113	$ 395,194,411	$ 418,070,753	**$ 434,738,858**
6.45%	5.60%	4.60%	3.79%	3.01%	2.19%	**1.43%**

Iowa City Community School District

Demographic and Economic Statistics
Last Ten Calendar Years
(Unaudited)

Calendar Year	Iowa City Population	Total District Population (approximate)	Personal Income (000's) (Johnson County)	Per Capita Personal Income (Johnson County)	Iowa City MSA Unemployment Rate
2006	62,220	98,000	*	*	2.70%
2007	67,062	104,000	*	*	2.90
2008	67,062	104,000	*	*	4.50
2009	67,062	104,000	*	*	5.10
2010	67,862	110,000	*	*	5.00
2011	67,862	110,000	*	*	4.30
2012	67,862	110,000	*	*	3.80
2013	67,862	110,000	*	*	3.10
2014	67,862	110,000	*	*	2.50
2015	**67,862**	**110,000**	*	*	**3.30**

* Information not available

Source: City of Iowa City and Regional Economic Information System, Bureau of Economic Analysis, U.S. Department of Commerce, Iowa Workforce Development (August 2015) and Johnson County Auditor.

Iowa City Community School District

Principal Employers
Current Year and Nine Years Ago
(Unaudited)

	2016			2007		
Employer	**Employees**	**Rank**	**Percentage of Total Employment**	Employees	Rank	Percentage of Total Employment
The University of Iowa	**18,650**	**1**	**19.76%**	17,855	1	20.55%
The University of Iowa Hospitals and Clinics	**8,704**	**2**	**9.22**	7,638	2	0.09
Iowa City Community School District	**2,346**	**3**	**2.49**	1,200	7	0.01
Veterans Administration Hospital	**1,562**	**4**	**1.65**	1,232	6	1.42
Mercy Hospital	**1,559**	**5**	**1.65**	1,262	5	1.45
American College Testing	**1,350**	**6**	**1.43**	1,426	4	1.64
Pearson Educational Measurement	**1,200**	**7**	**1.27**	1,101	8	1.27
Hy-Vee Food Stores, Inc.	**1,166**	**8**	**1.24**	1,500	3	1.73
City of Iowa City	**1,108**	**9**	**1.17**			-
Systems Unlimited	**890**	**10**	**0.94**	760	12	0.87
International Automotive Comp (formerly United Tech)	**750**	**11**	**0.79**	772	11	0.89
Rockwell International	**700**	**13**	**0.74**	828	10	0.95
Riverside Casino and Golf Resort	**759**	**12**	**0.80**	950	9	-
All other employers	**53,656**	-	**-**	50,376	-	-
Total	**94,400**		**43.16%**	86,900		42.03%

Source: City of Iowa City, as last updated October 2007 and Iowa Department of Economic Development (2015 data).

Iowa City Community School District

Full-Time Equivalent District Employees By Type
Last Ten Fiscal Years
(Unaudited)

	Full-Time Equivalent Employees as of June 30			
	2007	2008	2009	2010
Supervisory:				
Instructional administrators	2.00	2.00	2.00	1.50
Noninstructional administrators	7.00	7.50	7.50	8.00
Athletic/activity directors	2.00	2.00	2.00	2.00
Principals	24.00	24.00	24.00	23.50
Assistant principals	6.00	8.00	8.00	8.50
Total supervisory	41.00	43.50	43.50	43.50
Instruction:				
Elementary classroom teachers	337.84	354.27	356.34	349.46
Secondary classroom teachers	223.55	235.59	239.68	230.25
Other classroom teachers	182.58	196.90	207.42	214.85
Paraprofessionals	318.00	344.00	323.00	311.90
Total instruction	1,061.97	1,130.76	1,126.44	1,106.46
Student services:				
Guidance counselors	28.30	28.38	28.93	29.05
Media specialists	26.00	25.80	26.80	26.80
Other professionals (noninstructional)	24.23	26.51	20.00	27.00
Consultants/supervisory	12.00	14.00	12.30	14.33
Total student services	90.53	94.69	88.03	97.18
Support and administration:				
Clerical/secretarial	96.50	104.50	107.75	109.00
Food service workers	65.00	79.70	81.00	93.00
Physical plant	122.00	120.10	121.80	117.80
Other	19.00	19.00	16.00	16.00
Total support and administration	302.50	323.30	326.55	335.80
Total	1,496.00	1,592.25	1,584.52	1,582.94

Source: District records

						Percentage
Full-Time Equivalent Employees as of June 30						Change
2011	2012	2013	2014	2015	**2016**	2007 - 2016
1.00	1.00	1.00	1.00	1.00	**2.00**	0.00%
9.00	9.60	10.60	17.20	16.50	**14.50**	107.14%
2.00	2.00	2.00	2.50	2.50	**2.50**	25.00%
24.00	23.50	23.50	23.50	23.50	**24.50**	2.08%
7.00	7.00	6.00	7.50	6.50	**7.00**	16.67%
43.00	43.10	43.10	51.70	50.00	**50.50**	23.17%
349.08	349.71	372.77	390.44	384.64	**403.48**	19.43%
230.82	238.13	260.50	267.56	255.64	**265.83**	18.91%
219.01	204.40	208.82	229.12	235.97	**243.38**	33.30%
307.70	336.18	382.95	382.12	383.96	**362.71**	14.06%
1,106.61	1,128.42	1,225.04	1,269.24	1,260.21	**1,275.40**	20.10%
29.93	29.30	31.10	33.40	29.72	**27.79**	-1.80%
26.82	26.80	25.80	27.00	26.00	**25.80**	-0.77%
29.00	33.00	29.00	39.00	39.00	**45.00**	85.72%
11.98	9.14	11.03	8.70	9.76	**8.50**	-29.17%
97.73	98.24	96.93	108.10	104.48	**107.09**	18.29%
111.00	109.50	112.00	122.00	122.00	**124.00**	28.50%
87.00	76.63	81.38	78.63	73.00	**84.33**	29.74%
116.20	117.70	116.90	123.75	130.06	**124.44**	2.00%
14.00	16.00	11.00	15.00	18.00	**20.00**	5.26%
328.20	319.83	321.28	339.38	343.06	**352.77**	16.62%
1,575.54	1,589.59	1,686.35	1,768.42	1,757.75	**1,785.76**	19.37%

Iowa City Community School District

Operating Statistics
Last Ten Fiscal Years
(Unaudited)

Fiscal Year	Official Enrollment	Operating Expenditures	Cost Per Pupil	Percentage Change
2007	11,267	$ 104,810,939	$ 9,302	5.89%
2008	11,716	114,706,854	9,790	5.25
2009	11,749	120,722,368	10,275	4.95
2010	11,903	127,089,200	10,677	3.91
2011	12,011	129,309,991	10,766	0.83
2012	12,454	136,681,845	10,975	1.94
2013	12,774	149,855,123	11,731	6.89
2014	13,159	156,290,131	11,877	1.23
2015	13,328	150,289,181	11,276	(5.06)
2016	13,671	163,148,832	11,934	5.83

Source: District records

Note: Operating expenditures represents governmental activity expenditures less interest on long-term debt. Expenses represent business-type activity expenses, which includes the District's School Nutrition Fund.

* The District began to report accrual information when it implemented GASB Statement No. 34 in 2003.

Expenses	Cost Per Pupil	Percentage Change	Teaching Staff (in FTE)	Pupil-Teacher Ratio	Percentage of Students Receiving Free or Reduced-Priced Meals
$ 3,451,139	$ 306	5.52%	743.97	15.14	28.28%
3,806,588	325	6.21	786.76	14.89	27.40
4,044,118	344	5.85	803.44	14.62	27.45
4,177,029	351	2.03	794.56	14.98	29.05
4,158,824	346	(1.42)	798.91	15.03	29.60
4,432,821	356	2.89	792.24	15.72	29.43
4,821,834	377	5.89	842.09	15.17	33.76
5,507,940	419	11.14	887.12	14.83	35.06
5,822,005	437	4.29	876.25	15.21	33.74
6,189,701	453	3.67	912.69	14.98	35.70

Iowa City Community School District

School Building Information
Last Ten Fiscal Years
(Unaudited)

School	Fiscal Year 2007	2008	2009	2010
Elementary:				
Coralville Central Elementary (1948,1959)				
Square feet	52,967	52,967	52,967	52,967
Capacity	462	462	462	462
Enrollment	448	423	427	430
Samuel Kirkwood Elementary (1963,1968,1987)				
Square feet	48,045	48,045	48,045	48,045
Capacity	352	352	352	352
Enrollment	441	438	439	345
Herbert Hoover Elementary (1954, 1968, 1986)				
Square feet	36,643	36,643	36,643	36,643
Capacity	330	330	330	330
Enrollment	306	308	306	362
Hills Elementary (1965, 1969)				
Square feet	24,449	24,449	24,449	24,449
Capacity	220	220	220	220
Enrollment	152	132	137	126
Ernest Horn Elementary (1969, 1978, 2011)				
Square feet	35,303	35,303	35,303	35,303
Capacity	286	286	286	286
Enrollment	288	292	279	331
Helen Lemme Elementary (1970, 1975, 1998)				
Square feet	36,293	36,293	36,293	36,293
Capacity	308	308	308	308
Enrollment	283	289	296	332
Lincoln Elementary (1926, 1988)				
Square feet	25,832	25,832	25,832	25,832
Capacity	220	220	220	220
Enrollment	256	260	253	263
Longfellow Elementary (1917)				
Square feet	30,148	30,148	30,148	30,148
Capacity	308	308	308	308
Enrollment	284	317	305	311
Robert Lucas Elementary (1962, 1978, 1990)				
Square feet	42,080	42,080	42,080	42,080
Capacity	418	418	418	418
Enrollment	426	415	424	416
Horace Mann Elementary (1917)				
Square feet	29,360	29,360	29,360	29,360
Capacity	286	286	286	286
Enrollment	249	257	244	259
Penn Elementary (1961, 1985, 1995)				
Square feet	38,838	38,838	38,838	38,838
Capacity	418	418	418	418
Enrollment	391	417	461	511

(Continued)

Fiscal Year					
2011	2012	2013	2014	2015	**2016**
52,967	52,967	52,967	52,967	52,967	52,967
462	462	506	506	506	506
430	437	445	426	40	422
48,045	48,045	48,045	48,045	48,045	48,045
352	352	437	437	437	437
314	321	319	378	363	314
36,643	36,643	36,643	36,643	36,643	36,643
330	330	437	437	437	437
377	375	372	325	311	272
24,449	24,449	24,449	24,449	24,449	24,449
220	220	276	276	276	276
98	110	112	100	111	184
35,303	50,603	50,603	50,603	50,603	50,603
286	436	506	506	506	506
363	364	461	464	493	500
36,293	36,293	36,293	36,293	36,293	36,293
308	308	368	368	368	368
338	344	372	399	407	395
25,832	25,832	25,832	25,832	25,832	25,832
220	220	253	253	253	253
250	241	246	239	237	239
30,148	30,148	30,148	30,148	30,148	30,148
308	308	391	391	391	391
318	349	334	322	329	338
42,080	42,080	42,080	42,080	42,080	42,080
418	418	506	506	506	506
411	441	436	424	405	442
29,360	29,360	29,360	29,360	29,360	29,360
286	286	345	345	345	345
250	245	260	245	223	222
38,838	38,838	38,838	38,838	38,838	38,838
418	418	460	460	460	460
464	502	516	524	530	552

Iowa City Community School District

School Building Information (Continued)
Last Ten Fiscal Years
(Unaudited)

School	Fiscal Year 2007	2008	2009	2010
Elementary:				
Theodore Roosevelt Elementary (1931, 1961) *				
Square feet	29,008	29,008	29,008	29,008
Capacity	264	264	264	264
Enrollment	298	340	365	309
Bouhmil Shimek Elementary (1970, 1991)				
Square feet	28,130	28,130	28,130	28,130
Capacity	242	242	242	242
Enrollment	220	204	191	201
Mark Twain Elementary (1954, 1961)				
Square feet	40,204	40,204	40,204	40,204
Capacity	330	330	330	330
Enrollment	220	239	234	229
Irving Weber Elementary (1993, 2001)				
Square feet	47,820	48,400	48,400	48,400
Capacity	484	484	484	484
Enrollment	494	523	540	544
Grant Wood Elementary (1969, 1993, 2006)				
Square feet	59,890	59,890	59,890	59,890
Capacity	484	484	484	484
Enrollment	486	524	510	492
Kate Wickham Elementary (1997)				
Square feet	56,049	56,049	56,049	56,049
Capacity	418	418	418	418
Enrollment	452	491	493	492
James Van Allen Elementary (2005)				
Square feet	61,081	61,081	61,081	61,081
Capacity	484	484	484	484
Enrollment	484	551	599	661
Buford Garner Elementary (2010)				
Square feet	-	-	-	-
Capacity	-	-	-	-
Enrollment	-	-	-	-
Norman Borlaug Elementary (2012)				
Square feet	-	-	-	-
Capacity	-	-	-	-
Enrollment	-	-	-	-
Alexander Elementary (2015)				
Square feet				
Capacity				
Enrollment				
Junior High:				
Northwest Junior High School (1971, 1995)				
Square feet	124,436	124,436	124,436	124,436
Capacity	875	875	875	875
Enrollment	620	610	622	615

* During fiscal year 2013, the District changed the name of this school to Theodore Roosevelt Education Center and are serving students for various programs in this building.

(Continued)

Fiscal Year					
2011	2012	2013	2014	2015	**2016**
29,008	29,008	29,008	29,008	29,008	29,008
264	264	264	264	264	264
299	283	40	40	40	40
28,130	28,130	28,130	28,130	28,130	28,130
242	242	276	276	276	276
202	208	228	215	210	212
40,204	40,204	40,204	40,204	40,204	40,204
330	330	460	460	460	460
203	226	299	323	378	262
48,400	48,400	48,400	48,400	48,400	48,400
484	484	506	506	506	506
553	568	477	492	490	422
59,890	59,890	59,890	59,890	59,890	59,890
484	484	575	575	575	575
474	523	569	525	511	360
56,049	56,049	56,049	56,049	56,049	56,049
418	418	506	506	506	506
489	477	481	482	503	529
61,081	61,081	61,081	61,081	61,081	61,081
484	484	552	552	552	552
425	446	499	500	507	524
63,715	63,815	63,815	63,815	63,815	63,815
500	500	529	529	529	529
388	429	504	539	581	609
-	-	67,029	67,029	67,029	67,029
-	-	552	552	552	552
-	-	352	382	403	431
					67,714
					500
					348
124,436	124,436	124,436	124,436	124,436	124,436
875	875	875	875	875	875
638	641	650	679	641	628

Iowa City Community School District

School Building Information (Continued)
Last Ten Fiscal Years
(Unaudited)

School	Fiscal Year 2007	2008	2009	2010
Junior High (continued):				
South East Junior High School (1959, 1982, 1995)				
Square feet	115,604	111,183	138,806	138,806
Capacity	775	775	775	775
Enrollment	660	701	705	688
North Central Junior High School (2006)				
Square feet	82,612	82,612	82,612	82,612
Capacity	450	450	450	450
Enrollment	308	349	359	398
High School:				
City High School				
(1939, 1974, 1982, 1985, 1990, 1995, 2005, 2013)				
Square feet	267,752	267,752	267,752	267,752
Capacity	1,600	1,600	1,600	1,600
Enrollment	1,356	1,507	1,383	1,371
West High School				
(1969, 1983, 1986, 1993, 1996, 2005)				
Square feet	309,943	339,217	339,217	339,217
Capacity	1,800	1,800	1,800	1,800
Enrollment	1,838	1,764	1,754	1,770
Elizabeth Tate High School (2005)				
Square feet	19,700	19,700	19,700	19,700
Capacity	160	160	160	160
Enrollment	121	118	110	120
Portable Classrooms (Various)				
Square feet	24,992	33,296	33,296	33,296
Capacity				
Number	34	37	37	37
Other:				
Central Administration Building (1917)				
Square feet	24,588	24,588	24,588	24,588
Educational Services Center (2011)				
Square feet	-	-	-	-
Physical Plant Building (1984)				
Square feet	19,638	19,638	19,638	19,638
Athletics:				
Football fields	5	5	5	5
Soccer fields	1	1	1	1
Running tracks	2	2	2	2
Baseball/softball fields	4	4	4	4
Tennis Courts	2	2	2	2
Playgrounds	18	18	18	18

Source: District records

Fiscal Year					
2011	2012	2013	2014	2015	**2016**
138,806	138,806	138,806	138,806	138,806	138,806
775	775	775	775	775	775
674	733	761	771	800	801
82,612	82,612	82,612	82,612	82,612	82,612
450	450	450	450	450	450
400	414	469	467	478	504
267,752	267,752	267,752	287,047	287,047	287,047
1,600	1,600	1,600	1,600	1,600	1,600
1,409	1,410	1,414	1,494	1,599	1,668
339,217	339,217	339,217	339,217	339,217	339,217
1,800	1,800	1,800	1,800	1,800	1,800
1,863	1,910	1,956	1,941	1,985	2,001
19,700	19,700	19,700	19,700	19,700	19,700
160	160	160	160	160	160
118	162	149	135	151	158
33,296	33,296	36,000	35,100	35,100	35,100
37	37	40	39	39	40
24,588	-	-	-	-	-
-	41,776	41,776	41,776	41,776	41,776
19,638	19,638	19,638	19,638	19,638	19,638
5	5	5	5	5	5
1	2	2	2	2	2
2	2	2	2	2	2
4	4	4	4	3	3
2	2	2	2	2	2
19	19	19	19	19	20

Iowa City Community School District

Schedule of Expenditures of Federal Awards
Year Ended June 30, 2016

Federal Grantor/Pass-Through Grantor/Program Title	Federal CFDA Number	Pass-Through Entity Identifying Number	Federal Expenditures
U.S. Department of Agriculture:			
Passed through the State Department of Agriculture and			
State of Iowa Department of Education:			
Child Nutrition Cluster:			
USDA Commodities (Noncash)	10.555	77-1737	$ 427,599
National School Lunch Program	10.555	77-1737	2,320,374
National School Summer Program	10.559	77-1737	65,650
National School Breakfast Program	10.553	77-1737	557,612
National School Lunch Program - After School Snacks	10.555	77-1737	22,671
			3,393,906
Fresh Fruit & Vegetable Grant	10.582	N/A	52,584
Total U.S. Department of Agriculture			3,446,490
U.S. Army Corps of Engineers:			
Passed through Johnson County, Iowa:			
Flood Control Projects	12.106	N/A	5,176
U.S. Department of Education:			
Passed through State of Iowa Department of Education:			
Title I - Grants to Local Educational Agencies	84.010A	N/A	1,861,456
Title I - Grants to Local Educational Agencies - Schools in Need of Assistance	84.010A	N/A	75,803
Subtotal			1,937,259
IDEA - High Cost Claim	84.027	N/A	17,550
IDEA-Non-nimas Work Groups	84.027	N/A	540
Subtotal			18,090
Vocational Education Basic Grants to States	84.048A	77-6957	106,662
Education for Homeless Children and Youth	84.196	N/A	36,000
Twenty-First Century Learning Centers	84.287A	N/A	422,306
Title II - Improving Teacher Quality State Grant	84.367	N/A	318,227
Title VI, Part A - Iowa Technical Adequacy Project (ITAP)	84.369	N/A	52,951
Passed through Grant Wood Area Education Agency:			
Special Education Grants to States	84.027	N/A	607,812
Title III - English Language Acquisition	84.365	N/A	136,488

(Continued)

Iowa City Community School District

Schedule of Expenditures of Federal Awards (Continued)
Year Ended June 30, 2016

Federal Grantor/Pass-Through Grantor/Program Title	Federal CFDA Number	Pass-Through Entity Identifying Number	Federal Expenditures
U.S. Department of Education (Continued):			
Direct Program:			
Comprehensive School Health Programs - Youth Survey	84.215F	N/A	620
Fund for the Improvement of Education - PE	84.215H	N/A	270,953
Total U.S. Department of Education			3,907,368
U.S. Department of Health and Human Services:			
Passed through State of Iowa Department of Health and Human Services, Child Care and Development Block Grant	93.575	N/A	35,717
Total expenditures of federal awards			$ 7,394,751

See notes to schedule of expenditures of federal awards.

Iowa City Community School District

Notes to Schedule of Expenditures of Federal Awards
Year Ended June 30, 2016

Note 1. Basis of Presentation

The accompanying schedule of expenditures of federal awards presents the activity of all federal financial assistance programs of Iowa City Community School District for the year ended June 30, 2016. All federal financial assistance received directly from federal agencies as well as federal financial assistance passed through other governmental agencies is included in the schedule. The information in this schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards (Uniform Guidance). Therefore, some amounts presented in this schedule may differ from amounts presented in, or used in the preparation of, the basic financial statements.

Note 2. Significant Accounting Policies

Expenditures of federal awards are recognized in the accounting period in which the liability is incurred. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement.

Note 3. Total Expenditures by Program

Total expenditures for the Special Education Grants to States IDEA Part B CFDA No. 84.027 is $625,902.

Note 4. Indirect Cost Rate

The District has elected not to use the 10 percent de minimus indirect cost rate allowed under the Uniform Guidance.

Note 5. Subrecipients

For the year ended June 30, 2016, the District did not pass through any Federal funds to subrecipients.

Iowa City Community School District

Summary Schedule of Prior Audit Findings
Year Ended June 30, 2016

Finding	Status	Corrective Action Plan or Other Explanation

None reported.

Report on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance With *Government Auditing Standards*

Independent Auditor's Report

To the Board of Education
Iowa City Community School District
Iowa City, Iowa

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of Iowa City Community School District (the District), as of and for the year ended June 30, 2016, and the related notes to the financial statements, which collectively comprise the District's basic financial statements, and have issued our report thereon dated November 21, 2016.

Internal Control over Financial Reporting
In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that were not identified. We did identify a deficiency in internal control, described in the accompanying schedule of findings and questioned costs as item 2016-001 that we consider to be a material weakness.

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Compliance and Other Matters
As part of obtaining reasonable assurance about whether the District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2016 are based exclusively on knowledge obtained from procedures performed during our audit of the basic financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes. We noted an immaterial instance of noncompliance or other matter that is described in Part IV of the accompanying schedule of findings and questioned costs.

Purpose of this Report
The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

RSM US LLP

Davenport, Iowa
November 21, 2016

Report on Compliance For the Major Federal Program and Report on Internal Control Over Compliance Required by the Uniform Guidance

Independent Auditor's Report

To the Board of Education
Iowa City Community School District
Iowa City, Iowa

Report on Compliance for the Major Federal Program
We have audited Iowa City Community School District's (the District) compliance with the types of compliance requirements described in the *OMB Compliance Supplement* that could have a direct and material effect on the District's major federal program for the year ended June 30, 2016. The District's major federal program is identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

Management's Responsibility
Management is responsible for compliance with the requirements of laws, regulations, contracts and grants applicable to its federal programs.

Auditor's Responsibility
Our responsibility is to express an opinion on compliance for the District's major federal program based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards* (Uniform Guidance). Those standards and Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about the District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for the major federal program. However, our audit does not provide a legal determination of the District's compliance.

Opinion on the Major Federal Program
In our opinion, the District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on its major federal program for the year ended June 30, 2016.

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Report on Internal Control Over Compliance
Management of the District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered the District's internal control over compliance with the types of requirements that could have a direct and material effect on the major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for the major federal program and to test and report on internal control over compliance in accordance with Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the District's internal control over compliance.

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

RSM US LLP

Davenport, Iowa
November 21, 2016

Iowa City Community School District

Schedule of Findings and Questioned Costs
Year Ended June 30, 2016

I. Summary of the Independent Auditor's Results

Financial Statements

Type of auditor's report issued: Unmodified

Internal control over financial reporting:

▪ Material weakness(es) identified?	☑ Yes	☐ No
▪ Significant deficiency(ies) identified?	☐ Yes	☑ None Reported
▪ Noncompliance material to financial statements noted?	☐ Yes	☑ No

Federal Awards

Internal control over major programs:

▪ Material weakness(es) identified?	☐ Yes	☑ No
▪ Significant deficiency(ies) identified?	☐ Yes	☑ None Reported

Type of auditor's report issued on compliance for major programs: Unmodified

▪ Any audit findings disclosed that are required to be reported in accordance with Section 2 CFR 200.516	☐ Yes	☑ No

Identification of major program:

CFDA Number	Name of Federal Program
10.553, 10.555, 10.559	Child Nutrition Cluster

Dollar threshold used to distinguish between type A and type B programs: $750,000

Auditee qualified as low-risk auditee?	☑ Yes	☐ No

(Continued)

II. Findings Relating to the Financial Statement Audit as Required to be Reported in Accordance with Generally Accepted *Government Auditing Standards*

A. Material Weakness

2016-001

Finding: The District does not have adequate procedures in place to ensure year-end balances calculated using end user applications are accurate. The District uses multiple steps and processes during the completion of year-end balances using end user application. However, interim processing steps did not identify a formula error in these computations.

Criteria: A system of internal control requires timely reconciliation of account balances in order to prepare GAAP financial statements.

Condition: The District uses end user computing to assist in preparing year-end entries and reconciliation of account balances but these computations are not reviewed by other members of the finance department. In the current year, a formula error resulted in a miscalculation of capital assets and cash. Adjustments were made subsequently by the District to correct the errors.

Context: Errors in capital assets and cash.

Cause: There is no review of the computations made using end user computing applications.

Effect: Material misstatement of the Governmental Activities financial statements by approximately $11,400,000.

Recommendation: We recommend the District develop a process to review calculations made in end user computing applications to ensure their accuracy including a review separate from the preparer.

Response and corrective action plan: The end of year balances are computed and reviewed using multiple steps. The initial steps of these computations did not properly compute the amounts to be recorded for the amounts to be recorded on the District's Comprehensive Annual Financial Report for the capital assets as disclosed in Note 5 to the financial statements. The District procedures would have identified these computations during the review and reconciliation of the report preparation. In addition, the computations did not impact the recording of revenues and expenditures within the District's operating funds, but were for the report presentation only.

B. Instances of Noncompliance

None reported.

III. Findings and Questioned Costs for Federal Awards

A. Internal Control

None reported.

B. Instances of Noncompliance

None reported.

IV. Other Findings Related to Required Statutory Reporting

16-IV-A – Certified Budget and General Fund Spending Authority

Finding: Other expenditures for the year ended June 30, 2016 exceeded the amended certified budget.

Recommendation: The certified budget should have been amended in accordance with Chapter 24.9 of the Code of Iowa before expenditures are allowed to exceed the budget.

Response and corrective action plan: The expenditures in the "other expenditure" category relate to the construction and renovation of buildings within the facility master plan. These expenditures were due to a favorable construction schedule that exceeded the District's revised budget amounts and includes approximately $8 million of accrued expenses and retainage payables that were required to be reported in accordance with generally accepted accounting principles, but will be paid in the next fiscal period. The District will review its cash flow models for construction projects to monitor these types of expenditures compared to budgets in future periods.

16-IV-B – Questionable Disbursements

No expenditures that may not meet the requirements of public purpose defined in the Attorney General's opinion dated April 25, 1979, were noted.

16-IV-C – Travel Expenses

No disbursements of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

16-IV-D – Business Transactions with District Officials and Employees

No business transactions between the District and District officials and/or employees were noted.

16-IV-E – Bond Coverage

Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage is reviewed annually to ensure the coverage is adequate for current operations.

16-IV-F – Board Minutes

No transactions requiring Board approval which had not been approved in the Board minutes were noted.

16-IV-G – Certified Enrollment

No variances in the basic enrollment data certified to the Iowa Department of Education were noted.

16-IV-H – Supplementary Weighting

No variances regarding the supplementary weighting certified to the Iowa Department of Education were noted.

16-IV-I – Deposits and Investments

No instances of noncompliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Iowa Code and the District's investment policy were noted.

16-IV-J – Certified Annual Report

The Certified Annual Report (CAR) was filed with the Department of Education timely.

16-IV-K – Categorical Funding

No instances were noted of categorical funding being used to supplant rather than supplement other funds.

16-IV-L – State-Wide Sales, Services and Use Tax

No instances of noncompliance with the use of the state-wide sales, services and use tax revenue provisions of Chapter 423F.3 of the Code of Iowa were noted.

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the state-wide sales, services and use tax revenue. For the year ended June 30, 2016, the District's financial activity and other required information for the state-wide sales, services and use tax revenue are as follows:

Beginning balance	$ 4,879,464
State-wide sales, services and use tax	12,715,660
Interest	301,669
Contributions and rebates	498,324
Sale of revenue tax bonds, net of premium	64,463,476
Expenditures/transfers out:	
Family Resource Programs	(358,818)
School infrastructure:	
Buildings	(49,322,378)
Equipment	(1,588,525)
Transfer to debt service	(5,582,103)
	$ 26,006,769

The state-wide sales, services and use tax revenue received during the year ended June 30, 2016 is equivalent to a reduction in the following levies:

	Per $1,000 of Taxable Valuation	Property Tax Dollars
Physical plant and equipment levy	$ 1.45827	$ 12,715,660

16-IV-M – Deficit Balances

None of the District's funds had deficit fund balances as of June 30, 2016.

16-IV-N – Revenue Bonds

The District has an appropriate sinking fund set up for revenue bonds outstanding as of June 30, 2016.

16-IV-O – Student Activity Fund

No instances of noncompliance with the use of student activity funds provisions of Chapter 298A.8 of the Code of Iowa and Iowa Administrative Rule 281-12.6(1).

16-IV-P – Early Childhood Iowa Area Board

The District is not the fiscal agent for the Early Childhood Iowa Area Board.

Iowa City Community School District

Corrective Action Plan
Year Ended June 30, 2016

Current Number	Comment	Corrective Action Plan	Anticipated Date of Completion	Contact Person
2016-001	End user computing calculation errors.	See corrective action plan at 2016-001.	June 30, 2017	Director of Budget and Finance

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APPENDIX C

FORM OF CONTINUING DISCLOSURE CERTIFICATE

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CONTINUING DISCLOSURE CERTIFICATE

This Continuing Disclosure Certificate (the "Disclosure Certificate") is executed and delivered by the Iowa City Community School District, State of Iowa (the "Issuer"), in connection with the issuance of $58,955,000 General Obligation School Bonds, Series 2017C (the "Bonds") dated December 12, 2017. The Bonds are being issued pursuant to a Resolution of the Issuer approved on November 28, 2017 (the "Resolution"). The Issuer covenants and agrees as follows:

Section 1. Purpose of the Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the Issuer for the benefit of the Holders and Beneficial Owners of the Bonds and in order to assist the Participating Underwriters in complying with S.E.C. Rule 15c2-12(b)(5).

Section 2. Definitions. In addition to the definitions set forth in the Resolution, which apply to any capitalized term used in this Disclosure Certificate unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

"Annual Financial Information" shall mean financial information or operating data of the type included in the final Official Statement, provided at least annually by the Issuer pursuant to, and as described in, Sections 3 and 4 of this Disclosure Certificate.

"Beneficial Owner" shall mean any person which (a) has the power, directly or indirectly, to vote or consent with respect to, or to dispose of ownership of, any Bonds (including persons holding Bonds through nominees, depositories or other intermediaries), or (b) is treated as the owner of any Bonds for federal income tax purposes.

"Business Day" shall mean a day other than a Saturday or a Sunday or a day on which banks in Iowa are authorized or required by law to close.

"Dissemination Agent" shall mean the Issuer or any Dissemination Agent designated in writing by the Issuer and which has filed with the Issuer a written acceptance of such designation.

"Holders" shall mean the registered holders of the Bonds, as recorded in the registration books of the Registrar.

"Listed Events" shall mean any of the events listed in Section 5(a) of this Disclosure Certificate.

"Municipal Securities Rulemaking Board" or "MSRB" shall mean the Municipal Securities Rulemaking Board, 1300 I Street NW, Suite 1000, Washington, DC 20005.

"National Repository" shall mean the MSRB's Electronic Municipal Market Access website, a/k/a "EMMA" (emma.msrb.org).

"Official Statement" shall mean the Issuer's Official Statement for the Bonds, dated November 29, 2017.

"Participating Underwriter" shall mean any of the original underwriters of the Bonds required to comply with the Rule in connection with offering of the Bonds.

"Rule" shall mean Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

"State" shall mean the State of Iowa.

Section 3. Provision of Annual Financial Information.

a) The Issuer shall, or shall cause the Dissemination Agent to, not later than Two Hundred Ten (210) days after the end of the Issuer's fiscal year (presently June 30th), commencing with information for the 2017/2018 fiscal year, provide to the National Repository an Annual Financial Information filing consistent with the requirements of Section 4 of this Disclosure Certificate. The Annual Financial Information filing must be submitted in such format as is required by the MSRB (currently in "searchable PDF" format). The Annual Financial Information filing may be submitted as a single document or as separate documents comprising a package. The Annual Financial Information filing may cross-reference other information as provided in Section 4 of this Disclosure Certificate; provided that the audited financial statements of the Issuer may be submitted separately from the balance of the Annual Financial Information filing and later than the date required above for the filing of the Annual Financial Information if they are not available by that date. If the Issuer's fiscal year changes, it shall give notice of such change in the same manner as for a Listed Event under Section 5(c).

b) If the Issuer is unable to provide to the National Repository the Annual Financial Information by the date required in subsection (a), the Issuer shall send a notice to the Municipal Securities Rulemaking Board, if any, in substantially the form attached as Exhibit A.

c) The Dissemination Agent shall:

i. each year file Annual Financial Information with the National Repository; and

ii. (if the Dissemination Agent is other than the Issuer), file a report with the Issuer certifying that the Annual Financial Information has been filed pursuant to this Disclosure Certificate, stating the date it was filed.

Section 4. Content of Annual Financial Information. The Issuer's Annual Financial Information filing shall contain or incorporate by reference the following:

a) The last available audited financial statements of the Issuer for the prior fiscal year, prepared in accordance with generally accepted accounting principles promulgated by the Financial Accounting Standards Board as modified in accordance with the governmental accounting standards promulgated by the Governmental Accounting Standards Board or as otherwise provided under State law, as in effect from time to time, or, if and to the extent such financial statements have not been prepared in accordance with generally accepted accounting principles, noting the discrepancies therefrom and the effect thereof. If the Issuer's audited financial statements for the preceding years are not available by the time Annual Financial Information is required to be filed pursuant to Section 3(a), the Annual Financial Information filing shall contain unaudited financial statements of the type included in the final Official Statement, and the audited financial statements shall be filed in the same manner as the Annual Financial Information when they become available.

b) A table, schedule or other information prepared as of the end of the preceding fiscal year, of the type contained in the final Official Statement under the captions "Property Valuations", "Larger Taxpayers", "Debt Limit", "Direct Debt", and "Tax Levies and Collections".

Any or all of the items listed above may be included by specific reference to other documents, including official statements of debt issues of the Issuer or related public entities, which have been filed with the National Repository. The Issuer shall clearly identify each such other document so included by reference.

Section 5. Reporting of Significant Events.

a) Pursuant to the provisions of this Section, the Issuer shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds in a timely manner not later than 10 Business Days after the day of the occurrence of the event:

i. Principal and interest payment delinquencies;

ii. Non-payment related defaults, if material;

iii. Unscheduled draws on debt service reserves reflecting financial difficulties;

iv. Unscheduled draws on credit enhancements relating to the Bonds reflecting financial difficulties;

v. Substitution of credit or liquidity providers, or their failure to perform;

vi. Adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax-exempt status of the Series Bonds, or material events affecting the tax-exempt status of the Bonds;

vii. Modifications to rights of Holders of the Bonds, if material;

viii. Bond calls (excluding sinking fund mandatory redemptions), if material, and tender offers;

ix. Defeasances of the Bonds;

x. Release, substitution, or sale of property securing repayment of the Bonds, if material;

xi. Rating changes on the Bonds;

xii. Bankruptcy, insolvency, receivership or similar event of the Issuer;

xiii. The consummation of a merger, consolidation, or acquisition involving the Issuer or the sale of all or substantially all of the assets of the Issuer, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material; and

xiv. Appointment of a successor or additional trustee or the change of name of a trustee, if material.

b) Whenever the Issuer obtains the knowledge of the occurrence of a Listed Event, the Issuer shall determine if the occurrence is subject to notice only if material, and if so shall as soon as possible determine if such event would be material under applicable federal securities laws.

c) If the Issuer determines that knowledge of the occurrence of a Listed Event is not subject to materiality, or determines such occurrence is subject to materiality and would be material under applicable federal securities laws, the Issuer shall promptly, but not later than 10 Business Days after the occurrence of the event, file a notice of such occurrence with the Municipal Securities Rulemaking Board through the filing with the National Repository.

Section 6. Termination of Reporting Obligation. The Issuer's obligations under this Disclosure Certificate with respect to each Series of Bonds shall terminate upon the legal defeasance, prior redemption or payment in full of all of the Bonds of that Series or upon the Issuer's receipt of an opinion of nationally recognized bond counsel to the effect that, because of legislative action or final judicial action or administrative actions or proceedings, the failure of the Issuer to comply with the terms hereof will not cause Participating Underwriters to be in violation of the Rule or other applicable requirements of the Securities Exchange Act of 1934, as amended.

Section 7. Dissemination Agent. The Issuer may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Disclosure Certificate, and may discharge any such Agent, with or without appointing a successor Dissemination Agent. The Dissemination Agent shall not be responsible in any manner for the content of any notice or report prepared by the Issuer pursuant to this Disclosure Certificate. The initial Dissemination Agent shall be the Issuer.

Section 8. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Certificate, the Issuer may amend this Disclosure Certificate, and any provision of this Disclosure Certificate may be waived, provided that the following conditions are satisfied:

a) If the amendment or waiver relates to the provisions of Section 3(a), 4, or 5(a), it may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature or status of an obligated person with respect to the Bonds, or the type of business conducted;

b) The undertaking, as amended or taking into account such waiver, would, in the opinion of nationally recognized bond counsel, have complied with the requirements of the Rule at the time of the original issuance of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances; and

c) The amendment or waiver either (i) is approved by the Holders of the Bonds in the same manner as provided in the Resolution for amendments to the Resolution with the consent of Holders, or (ii) does not, in the opinion of nationally recognized bond counsel, materially impair the interests of the Holders or Beneficial Owners of the Bonds.

In the event of any amendment or waiver of a provision of this Disclosure Certificate, the Issuer shall describe such amendment in the next Annual Financial Information filing, and shall include, as applicable, a narrative explanation of the reason for the amendment or waiver and its impact on the type (or in the case of a change of accounting principles, on the presentation) of financial information or operating data being presented by the Issuer. In addition, if the amendment relates to the accounting principles to be followed in preparing financial statements, (i) notice of such change shall be given in the same manner as for a Listed Event under Section 5(c), and (ii) the Annual Financial Information filing for the year in which the change is made will present a comparison or other discussion in narrative form (and also, if feasible, in quantitative form) describing or illustrating the material differences between the financial statements as prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles.

Section 9. Additional Information. Nothing in this Disclosure Certificate shall be deemed to prevent the Issuer from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Financial Information filing or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Certificate. If the Issuer chooses to include any information in any Annual Financial Information filing or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Certificate, the Issuer shall have no obligation under this Certificate to update such information or include it in any future Annual Financial Information filing or notice of occurrence of a Listed Event.

Section 10. Default. In the event of a failure of the Issuer to comply with any provision of this Disclosure Certificate, any Holder or Beneficial Owner of the Bonds may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the Issuer to comply with its obligations under this Disclosure Certificate. Direct, indirect, consequential and punitive damages shall not be recoverable by any person for any default hereunder and are hereby waived to the extent permitted by law. A default under this Disclosure Certificate shall not be deemed an event of default under the Resolution, and the sole remedy under this Disclosure Certificate in the event of any failure of the Issuer to comply with this Disclosure Certificate shall be an action to compel performance.

Section 11. Duties, Immunities and Liabilities of Dissemination Agent. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Certificate, and the Issuer agrees to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which it may incur arising out of or in the exercise or performance of its powers and duties hereunder, including the costs and expenses (including attorneys' fees) of defending against any claim of liability, but excluding liabilities due to the Dissemination Agent's negligence or willful misconduct. The obligations of the Issuer under this Section shall survive resignation or removal of the Dissemination Agent and payment of the Bonds.

Section 12. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the Issuer, the Dissemination Agent, the Participating Underwriters and Holders and Beneficial Owners from time to time of the Bonds, and shall create no rights in any other person or entity.

Date: 12th day of December, 2017.

IOWA CITY COMMUNITY SCHOOL
DISTRICT, STATE OF IOWA

By: ___________________________________
President

ATTEST:

By: ________________________________
Secretary of the Board of Directors

EXHIBIT A

NOTICE TO NATIONAL REPOSITORY OF FAILURE
TO FILE ANNUAL FINANCIAL INFORMATION

Name of Issuer: Iowa City Community School District, Iowa.

Name of Bond Issue: $58,955,000 General Obligation School Bonds, Series 2017C

Dated Date of Issue: December 12, 2017

NOTICE IS HEREBY GIVEN that the Issuer has not provided Annual Financial Information with respect to the above-named Bonds as required by Section 3 of the Continuing Disclosure Certificate delivered by the Issuer in connection with the Bonds. The Issuer anticipates that the Annual Financial Information will be filed by ____________________.

Dated: __________ day of _______________, 20___.

IOWA CITY COMMUNITY SCHOOL
DISTRICT, STATE OF IOWA

By: ______________________________________
Its: ______________________________________

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